

COMPREHENSIVE ANNUAL FINANCIAL REPORT

FOR THE YEAR ENDED JUNE 30, 2018



Des Moines Independent Community School District
DES MOINES, IOWA

Des Moines Independent Community School District, Des Moines, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2018

Official Issuing Report:

**Thomas Harper
Chief Financial Officer**

**Office Issuing Report:
Business and Finance Department**

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October 31, 2018

The Board of Education and Residents
Des Moines Independent Community School District

We are pleased to submit the Comprehensive Annual Financial Report (CAFR) for the Des Moines Independent Community School District (the District) for the fiscal year ending June 30, 2018.

The District operates in compliance with Generally Accepted Accounting Principles (GAAP) and prepares its financial statements in accordance with Governmental Accounting Standards Board (GASB) Statement No. 34. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

RSM US LLP, Certified Public Accountants, has issued an unmodified ("clean") opinion on the District's financial statements for the year ended June 30, 2018. The independent auditor's report is located at the front of the financial section of this report.

The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with management of the District. Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that has been established for this purpose. The District believes that the data presented herein is accurate in all material respects, the data is presented fairly to set forth the financial position and results of operations of the District as measured by the financial activity of the various funds, and all necessary disclosures have been included, enabling the reader to gain the maximum understanding of the District's financial affairs.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the District's basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

As is the case every year, the District was required to undergo a single audit in conformity with the provisions of the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Information related to this Single Audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs, and corrective action plans (if any) are included in the single audit compliance section of this report.

Profile of the Government

In May 2017, the Iowa Legislature created limited home rule for Iowa school districts. The change provides more flexibility to school districts in their exercise of powers where the law or administrative rule does not already prescribe or prohibit the action. All Iowa school districts remain under the control of a local board of directors and have fiscal independence from other governmental entities. The District is a political subdivision of the State of Iowa, and, as such, operates public schools and supporting programs for children in preschool through grade twelve.

The District is governed by a seven-member Board of Education; members serve overlapping four-year terms and are elected on a non-partisan basis. The Board of Education operates under the policy governance model and, thus, is a policymaking and planning body whose decisions are carried out by the Superintendent.

The District serves more than 200,000 people who live in Polk and Warren Counties. Covering nearly 86 square miles, the District has developed in the heart of the Des Moines city center, east into Pleasant Hill, west into Windsor Heights, and south into Warren County. The District benefits from having strong and diverse neighborhoods and a citizenry deeply involved in its public education.

Here's what others have to say about Des Moines being a great place to live and work:

- 2018 – #1 Most Popular City for Millennial Homebuyers – Lending Tree, 2018
- 2018 – #8 Best Job Market for 2018 – ZipRecruiter, 2018
- 2018 – One of “5 Up-and-Coming Tech Hotspots” – Livability, 2018
- 2018 – #8 Best City to Find Small Business Jobs – ZipRecruiter, 2018
- 2018 – #7 Place Where Jobs Will Be In 2018 – Forbes, 2017
- 2017 – #1 Best Place for Millennials to Live in the Midwest – Growella
- 2017 – #1 Best Affordable Place to Live in the U.S. – U.S. News and World Report
- 2017 – #4 Best Place for Children – SmartAsset
- 2017 – #3 Best Place to Live with a Low Cost of Living – Business Insider
- 2017 – The best city for young professionals – thespruce.com
- 2016 – Best City for the Middle Class – BusinessInsider
- 2016 – Ranked in the Top 10 Hippest Mid-Sized Cities in America – Gogobot.com
- 2016 – #4 Best Mid-Sized Cities for Making a Living – MoneyGeek.com
- 2016 – #4 Best Cities for Young Families – ValuePenguin.com
- 2016 – #10 Best City to Live and Work – Robert Half
- 2015 – #2 Best City to Find a Job – WalletHub
- 2015 – Emerging Start Up City – Investopedia
- 2015 – #3 Top City for New College Graduates – SmartAsset
- 2015 – #6 Midsize Metro Where College Grads Move for Jobs – AIER
- 2015 – #4 Best City for Technology Workers to Start their Career – Computer Training Schools
- 2015 – Best Places for Business and Careers – Forbes
- 2014 – Des Moines is the #1 Best City for Young Professionals – Forbes
- 2014 – Des Moines is the #3 Best City with the most job opportunities per Capita – Beyond.com
- 2014 – Des Moines is the #2 Best City for Business and Careers – Forbes
- 2014 – Des Moines is the #1 Wealthiest City in America – Today show
- 2014 – Des Moines is the #1 City with an Up and Coming Downtown – Forbes
- 2014 – Des Moines is the #6 City for raising a family – Forbes

The District provides a full range of programs and services including instructional, preschool, student services, school building administration, maintenance of sites and facilities, transportation, food service, child care, custodial, extra co-curricular and athletic activities, and community education. The District provides a comprehensive educational program appropriate to students in preschool through grade twelve. These services include regular and enriched academic

education, special education, vocational education and numerous individualized programs such as instruction for at-risk students, gifted and talented students, and students in the English Language Learner (ELL) program.

The District's enrollment for 2017 was 33,057, making it by far the largest public school district in Iowa. Students are served in 39 elementary schools, 10 middle schools, one standalone ninth grade academy, five comprehensive high schools, one alternative high school, a secondary career and technical institute, an advanced learning central academy, a virtual school, and other specialty schools and programs. The District also operates preschool programs for more than 1,900 children in a few elementary schools, four preschool centers, and multiple community partner locations. The District also maintains a maintenance/warehouse facility, a print shop, and athletic complexes. The average age of the District's buildings is 68 years. However, using Statewide Penny revenues, the District has ensured these buildings are well maintained for many additional years of future use. The District prefers to renovate and maintain current structures, as opposed to building new ones to replace them.

Des Moines Public Schools may be the biggest provider of public education in Iowa, but the district takes anything but a one-size-fits-all approach to educating students. In fact, families in Des Moines can find more educational options than anywhere in the state, including:

- *Advanced Placement.* Central Academy, attended by students from 10 central Iowa school districts, is one of Iowa's top AP programs, dedicated to providing a challenging curriculum. Central Academy provides additional services for students in comprehensive schools by offering the Gifted Core Pathway and unique AP, IB and World Language courses. The Gifted Core Pathway fosters academic excellence through the challenge of compacted curricula by offering acceleration and enrichment for students who demonstrate early readiness for advanced work. Students, especially those under-represented in gifted programs, develop competence, connection, and confidence as they embrace challenging coursework. The Belin-Blank Center for Gifted Education and Talent Development placed Central Academy "in a class by itself" as a college preparatory school. In addition, DMPS has completed a significant expansion of AP course offerings throughout all five comprehensive high schools, providing thousands of student's access to rigorous and advanced courses.
- *International Baccalaureate.* Home to the first IB program in Iowa, DMPS offers this world-class educational opportunity at five elementary schools (Hubbell, Park Avenue, Stowe, Moore, and Walnut Street) and four middle schools (Brody, Goodrell, Meredith, and Merrill). Central Academy and Hoover are the only high schools in Iowa to offer these programs.
- *Career & Technical Institute.* Located at Central Campus, CTI presents students with learning opportunities in several high-skill areas, including graphic design, broadcasting & film, culinary arts, fashion, skilled trades, and automotive technology. Also, DMPS offers one of only three high school aviation programs certified by the FAA and has the largest marine biology program of any non-coastal high school. Central Campus is the first Iowa school named by the Department of Labor (DOL) as a "high-quality pre-apprenticeship" program.
- *Higher Education Partnerships.* Des Moines Public Schools' proximity to Drake University, Iowa State University, Des Moines University, Grandview University, Des Moines Area Community College, and other institutions of higher education have created numerous partnerships and collaborative efforts that support students, teachers, and administrators. This includes the District's Master's Degree Program available exclusively through Drake University offered to teachers who are part of the Blue Teaching Contract at little or no cost.
- *Downtown School.* The Downtown School, located in Central Campus, is a national model where students learn in multiage classes. The school has been nationally recognized for its innovative programming, including an extended calendar, and is a great option for parents who work in the heart of the city.
- *Montessori.* Cowles Montessori School is the only public Montessori program in Iowa, serving students in grades K-8. Students learn in multiage classrooms and children's natural curiosities are exploited to the fullest as they advance at their own pace.
- *Alternative Programs.* Scavo Alternative High School, Future Pathways, Orchard Place, Des Moines Alternative, and Middle School Alternative offer programming for students who may be struggling with attendance requirements at a comprehensive school or have other personal issues and need alternative programming.

- *Ruby Van Meter and Smouse schools.* Ruby Van Meter School (serving secondary-age children) and Smouse Opportunity School (serving elementary-age children) provide high-quality, specialized instruction to physically and mentally disabled students.
- *Virtual School.* The District started a virtual school for high school students interested in attending classes virtually as opposed to the traditional brick and mortar route. This can be for a multitude of outcomes including blended learning, credit recovery, or credit towards graduation. The District continues to expand course offerings each semester to fully maximize the virtual opportunities for students.

Des Moines educators and staff are recognized as being among the very best in their fields. These are just some of the awards and honors they have earned in recent years:

- 2018 Presidential Awards for Excellence in Mathematics and Science Teaching (PAEMST) – National Science Foundation, on behalf of the White House Office of Science and Technology Policy
- 2018 Iowa Middle School Physical Education Teacher of the Year - Iowa Association for Health, Physical Education, Recreation and Dance
- 2018 Des Moines Police Department Officer of the Year – Des Moines Rotary Club
- Ten awards in NSPRA's 2018 Publications and Electronic Media Awards competition, including six entries earning an Award of Excellence, the highest honor in each category
- 2018 Ally of the Year – Capital City Pride
- 2018 Iowa's Educator of the Year - National Speech & Debate Association
- 2018 Friend of Children Award - Iowa School Social Workers Association
- 2017 Stephen Tsai Award for Excellence in Autism Education - Autism Society of Iowa
- 2017 Iowa High School Press Association's Administrator of the Year - Iowa High School Press Association
- 2017 PBS Digital Innovator
- 2017 Six-time Energy Star Partner of the Year
- 2016 AP Teacher of the Year
- 2016 ISPPRA Communicator of the Year
- 2016 Five-time Energy Star Partner of the Year
- 2016 Des Moines Register Coach of the year
- 2015 Magna Award – National School Board Association
- 2015 Iowa Teacher of the Year
- 2015 Ten National Award Winners
- 2015 "Why Des Moines Can be a Model for Urban Education" – National Journal
- 2015 District of Distinction – District Administration Magazine
- 2014 Iowa Elementary School Counselor of the Year
- 2014 Presidential Award for Excellence in Mathematics and Science Teaching finalists
- 2014 Prostart Educator of Excellence Award
- 2014 Iowa School Social Worker of the Year by the Iowa School Social Workers Association
- 2014 Four Rotary Educators of the Year
- 2014 Rising Star by the Journalism Education Association
- 2014 Two Finalists for Iowa Teacher of the Year
- 2013 Finalist for Iowa Teacher of the Year
- 2013 recipient of a Sunny Award for having one of the most transparent government websites in the nation
- 2017, 2016, 2015 – Meritorious Budget Award from the Association of School Business Officials
- 2017, 2016, 2015, 2014, 2013 – Distinguished Budget Presentation Award from the Government Finance Officer's Association
- 2017, 2016, 2015, 2014, 2013, 2012, 2011, 2010, 2009, 2008, and 2007 Certificate of Excellence in Financial Reporting from the Association of School Business Officials Association for the school district's comprehensive annual financial report

- 2017, 2016, 2015, 2014, 2013, 2012, 2011, 2010, 2009, 2008, and 2007 Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association for the school district's comprehensive annual financial report

Economic Condition and Outlook

Local Economy - The Des Moines Independent Community School District is in the center of Iowa, primarily in the city of Des Moines (the City). The City is the industrial, technology, commercial, financial, trade, transportation, and governmental center of Iowa. The City's insurance industry is the third largest in the world, after London and Hartford, with more than 200 insurance offices/headquarters located in Des Moines. Insurance activities are part of a strong local economy that is also based in agriculture, manufacturing, technology, education, health care, and other services. Principal Financial Group, Inc. and UnityPoint Health Systems are the major private employers within the District. Des Moines, the city proper, is comprised of 80.87 square miles of land with a population of 217,000, approximately 25% of which is younger than 18. The median household income (2016) in Des Moines was \$48,088, and approximately 19% of persons live below the poverty line.

Today, Iowa's economy stands on firm ground and currently has the second lowest unemployment rate in the United States. A steady employment outlook resulted in Iowa's unemployment rate decreasing to 2.5 percent in September 2018 from 3.0 percent in August 2017. According to a report issued by the Iowa Legislative Services Agency (LSA) for FY 2020, the REC estimates growth will be positive 3.9%. In dollar terms, net revenue is projected to increase \$301.6 million for FY 2020. (LSA Fiscal Update March 2018).

The District has experienced slow but steady increases in its tax base, averaging approximately one percent per year. At the same time, enrollment taken on October 1, 2017, which affects fiscal year 2019 state aid, increased by 0.3%, as compared to the October 1, 2016 count. The amount of state supplemental aid for fiscal year 2019 is 1.0%. Enrollment is projected to remain stable or increase slightly in future years.

Long-Term Financial Planning and Relevant Financial Policies - The district's solvency ratio is a measure of the district's fund equity position and is defined as the unassigned fund balance (commonly referred to as the cash reserves) divided by the district's total General Fund revenues, less AEA flow-through. Board guidelines state that the solvency ratio should not go below three percent, without prior knowledge of the Board. The Iowa Association of School Boards (IASB) considers a solvency ratio of zero to five percent to be adequate for short-term credit purposes, while a ratio of five to 10 percent is within "Target" or "Good" and therefore "can handle the unexpected." In addition, during the 2012-13 school year, the District's School Board approved a 15.0% target for the District's solvency ratio. The solvency ratio for the district remained steady at 12.7% as of June 30, 2018, compared to 13.0% in the prior year.

In addition, the Board monitors the district's unspent spending ratio. This ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as the district's unspent spending authority divided by the district's maximum budget authority. It should be noted that reaching the maximum budget authority level would require the board to authorize and levy additional property taxes. The IASB recommends this ratio be in the target range of 10 - 20%. The projected unspent spending authority balance ratio is 2.8%, down from 6.3% for the prior year.

Major Initiatives: The District has completed the fifth phase of bonding ahead on the Statewide Penny. The District sold Revenue Bonds in FY 2018 to minimize future inflationary increases by condensing repair and renovation costs from a 10-year plan into a five-year plan. The bonds will be paid back using Statewide Penny revenue.

The District is in the process of continuing to invest heavily in technology in the classroom. This is slated to be accomplished through the District's IT Blueprint. The District has installed state-of-the-art interactive projectors in every classroom and has rolled out students' devices in every building. The District is also incorporating a blended learning approach in the classroom as well as a virtual school. This is an ongoing initiative to ensure each student is taught in a 21st century learning environment.

The District continues to treat energy savings/consumption as a priority. Currently 100% of our classrooms are air conditioned. This is a 26% increase since 2008. Forty-one (41) of our schools utilize the earth's natural temperatures to heat and cool our buildings. Forty-nine (49) schools are ENERGY STAR qualified which means they operate in the upper 25% of like buildings nationally. Recognition of our sustainability is that the district was recognized with these major awards:

- 2018 Energy Star Partner of the Year: Sustained Excellence for Energy Management – Environmental Protection Agency, Department of Energy
- 2017 Facilities Maintenance Decisions Achievement Award (FMDAA)
- 2017 Energy Star Partner of the Year
- 2016 ENERGY STAR Climate Communicator
- 2016 Governor's Iowa Environmental Excellence Award in Energy Efficiency/Renewable Energy
- 2016, 2015, 2014 ENERGY STAR Partner of the Year – Sustained Excellence
- 2015 Environmental Protection Agency's ENERGY STAR National Building Competition: Operations Center and Greenwood Elementary School top finishers in the category of water-use reduction for individual buildings. DMPS High Schools team finished #5 for water-use reduction out of all teams entered.
- 2014 Environmental Protection Agency's ENERGY STAR National Building Competition: Findley Elementary School ranked #1 in education category for the most energy-consumption reduction among all entered K-12 facilities. Pleasant Hill a top finisher in the category of water-use reduction with five additional facilities posting more than 20-percent reductions in water use.
- 2014, 2015 ENERGY STAR Partner of the Year – Climate Communications
- 2014 Building Operations Managements FMXcellence Recognition

Voters approved the continuation of the District Property, Plant, And Equipment Levy (PPEL) on September 14, 2010 for another 10 years. With this vote, the District will continue to receive PPEL funds through fiscal year 2021.

Other Financial Information

Internal Control. District management is responsible for establishing and maintaining an internal control system designed to ensure that its assets are protected from loss, theft, or misuse and that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. Internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state, and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ending June 30, 2018 provided no instances of material weaknesses in the internal control or violations of applicable laws.

Budgetary Controls. In addition, the District maintains strong budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, Special Revenue funds, Debt Service Fund, Enterprise funds, Capital Projects Fund, and Private Purpose Trust Funds are included in the annual appropriated budget by program. Project length financial plans are adopted for Capital Projects funds and budgeted accordingly on an annual basis. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all combined funds, rather than at the individual fund level.

As demonstrated by the statements and schedules included in the financial section of this report, the District continues to meet its responsibility for sound fiscal management.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Iowa Department of Education. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Independent Audit. The accounting firm RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements, combining and individual fund statements and other schedules, is included in the financial section of this report. The Comprehensive Annual Financial Report also includes a statistical section which is unaudited.

Awards and Acknowledgments

The District is pleased to say that for the eleventh year in a row, the Government Finance Officers Association (GFOA) of the United States and Canada awarded a Certificate of Achievement for Excellence in Financial Reporting to the Des Moines Independent Public-School district for its comprehensive annual financial report (CAFR) for the fiscal year ended June 30, 2017. To be awarded a Certificate of Achievement, a district must publish an easily readable and efficiently organized CAFR. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

In addition, the Association of School Business Officials (ASBO) International has, for the eleventh year in a row, awarded a Certificate of Excellence in Financial Reporting to the district for the fiscal year ended June 30, 2017. This award represents the highest recognition for school district operations offered by ASBO International.

Each Certificate is valid for a period of one year only, and the certificates for fiscal year 2017 are included in this report. The district believes that the current CAFR continues to meet the requirements for the GFOA and ASBO International Certificate of Achievement programs and will be submitting it to the GFOA and ASBO International to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the District's accounting and payroll staff and the auditors from RSM US LLP. The District would like to express its appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,



Dr. Thomas M. Ahart, Superintendent



Thomas L. N. Harper, Chief Financial Officer
CPA, CFM, CMA, CIA, SFO, CGFM, CITP, SBO, CGMA, CPFO

Des Moines Independent Community School District

Board of Education and School District Officials

Year Ended June 30, 2018

Name	Title	Term Expires
Board of Education		
Teree Caldwell-Johnson	President	2021
Cindy Elsbernd	Vice President	2019
Heather Anderson	Board Member	2019
Rob Barron	Board Member	2021
Kyrstin Delagardello Shelley	Board Member	2021
Dionna Langford	Board Member	2021
Natasha Newcomb	Board Member	2019

School District Officials

Thomas Ahart	Superintendent	
Thomas Harper	Secretary and Treasurer	Appointed
Nicholas Lenhardt	Secretary and Treasurer	Acting *

* Note: Nicholas Lenhardt, Controller, served as acting Secretary and Treasurer for a portion of the fiscal year ended June 30, 2018 due to an absence.



Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Des Moines Independent Community
School District, Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2017

Christopher P. Morill

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

**Des Moines Independent Community
School District**

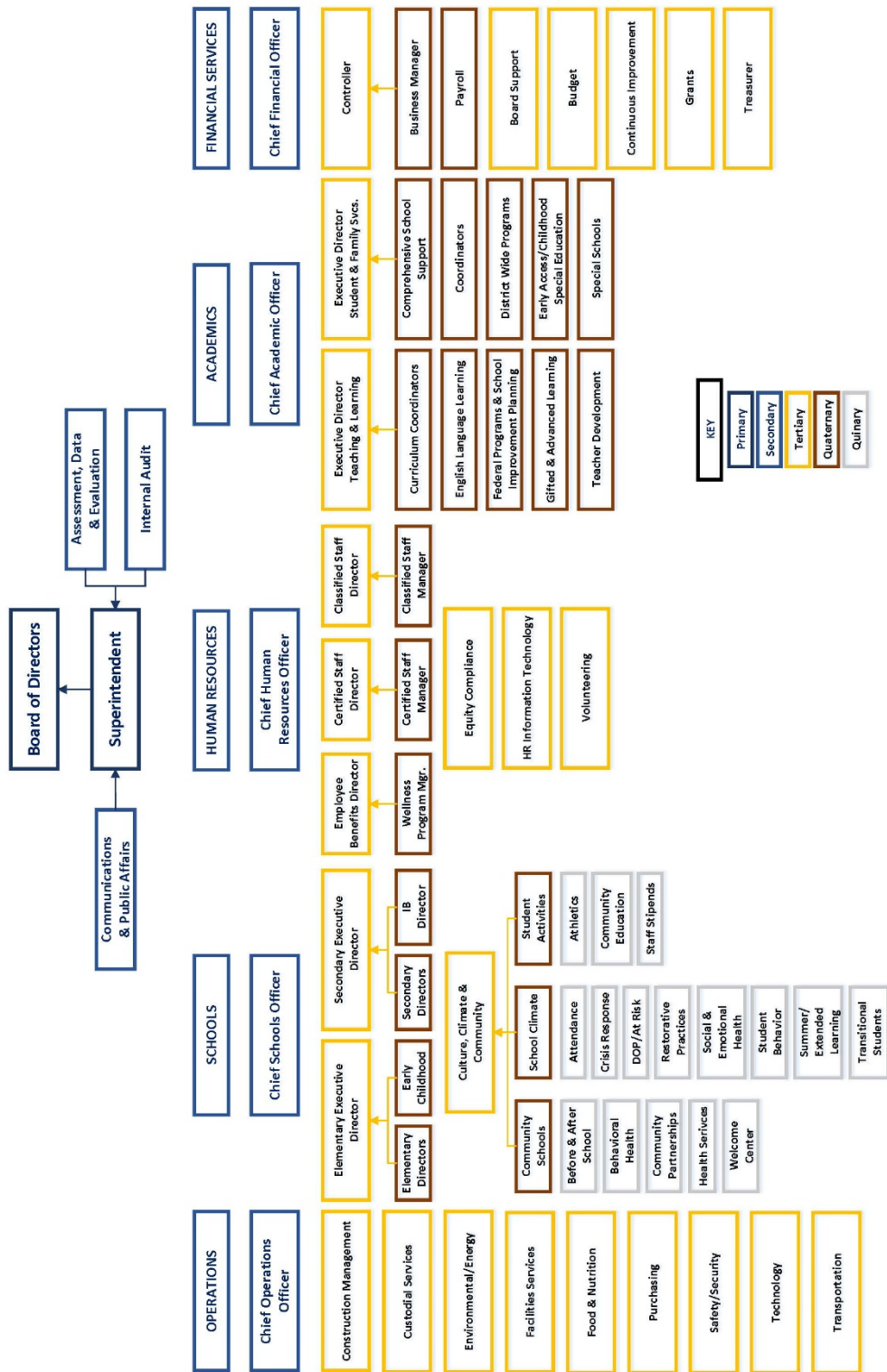
**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2017.**

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



Anthony N. Dragona, Ed.D., RSBA
President

John D. Musso, CAE
Executive Director



Independent Auditor's Report

To the Board of Education
Des Moines Independent Community School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Des Moines Independent Community School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the District as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis on pages 3 through 15, the schedule of changes in the District's total OPEB liability and related ratios on page 65, the Iowa Public Employees' Retirement System pension plan schedules on pages 66 through 68, the Des Moines Teachers' Retirement System pension plan schedules on pages 69 through 75 and the budgetary comparison schedule on pages 76 through 78 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The combining nonmajor fund financial statements and individual fund statements, listed in the table of contents as supplementary information, and the accompanying schedule of expenditures of federal awards, as required by the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) are presented for purposes of additional analysis and are not a required part of the basic financial statements.

This supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections, as listed in the table of contents has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated October 31, 2018 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

RSM US LLP

Des Moines, Iowa
October 31, 2018

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

This Management's Discussion and Analysis is provided by the management of the Des Moines Independent Community School District (the District) to offer readers an overview and analysis of the financial activities of the District for the fiscal year that ended June 30, 2018. We encourage readers to consider the Discussion and Analysis presented here in conjunction with the financial statements, which follow.

Financial Highlights

- **Budget:** The state of Iowa legislatively approved a state supplemental aid factor of 1.11 percent for fiscal year 2018. For fiscal year 2019, the state supplemental aid rate is 1.00 percent.

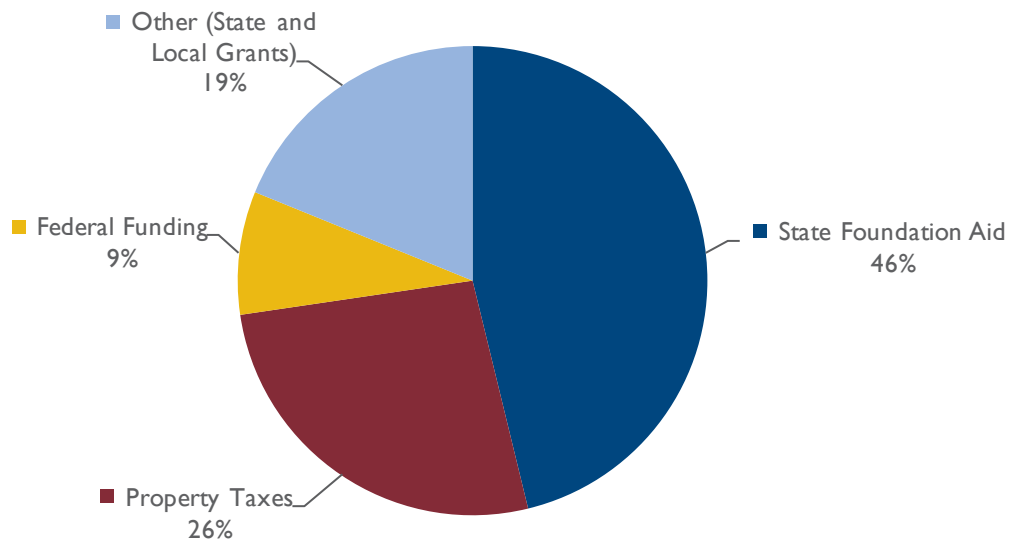
In April 2017, the board approved an expenditure budget for fiscal year 2018 for all funds of \$557.0 million (without transfers) or \$538.8 million (including transfers). In May 2018, the board approved a budget amendment to increase expenditures by \$8.2 million.

This year, actual expenditures for all funds by major function were less than anticipated, \$16.8 million less than budgeted.

- **Revenue:** Government-wide revenues were \$522.6 million, which primarily consisted of state aid, property taxes, federal grants, and local option sales taxes. General Fund revenues accounted for 84.7 percent of the Government-wide revenue. Program specific revenues in the form of charges for services and grants, and contributions accounted for 28.4 percent of total fiscal year 2018 revenues.

The General Fund had \$442.8 million in revenues for fiscal year 2018, which primarily consisted of state aid and property taxes. General Fund revenues increased 2.6 percent in fiscal year 2018, primarily due to an increase in property tax revenue, supplemental state aid, and enrollment.

GENERAL FUND REVENUES



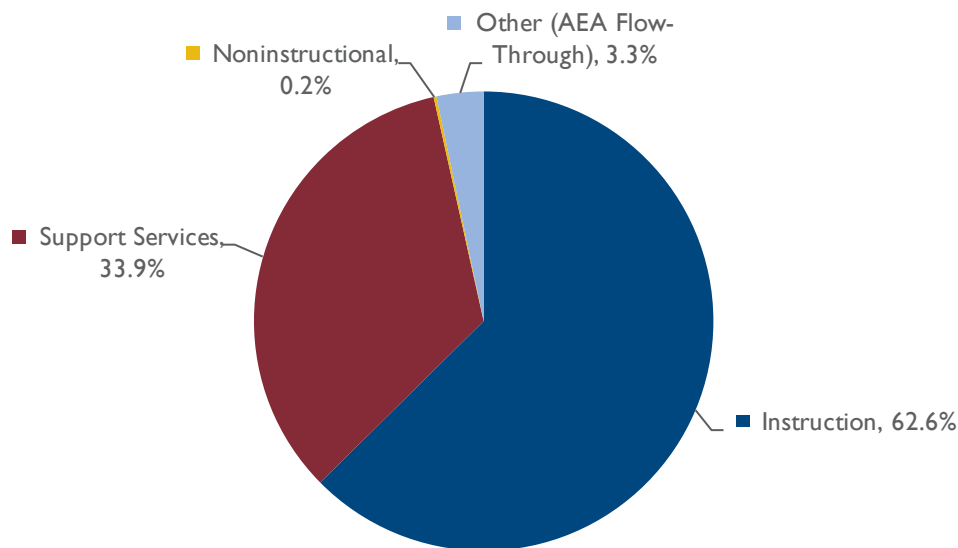
Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Expenses: Government-wide expenses, including business-type activities, were \$531.1 million, of which \$148.3 million of these expenses were offset by program specific charges for services or grants and contributions. General revenues of \$374.3 million provided for the remaining costs of these programs.

The General Fund had \$442.3 million in fiscal year 2018 expenditures, which primarily consisted of instructional expenditures. General Fund expenditures increased 2.8 percent, primarily due to modest cost of living adjustments for the District's staff coupled with increases of expenditures for the District's staff health care plans. In addition, the District continued to invest in incorporating technology into the classroom through the District's technology blueprint.

GENERAL FUND EXPENDITURES



- **General Fund Balance and Solvency Ratio:** The District's overall General Fund balance increased from \$82.3 million as of June 30, 2017 to \$84.1 million as of June 30, 2018, an increase of \$1.8 million. The District, like all school districts in the state, is required to maintain a balanced budget. In an effort to balance the district budget, one of many strategies the district employed was to ensure revenue and expenditures remained balanced.

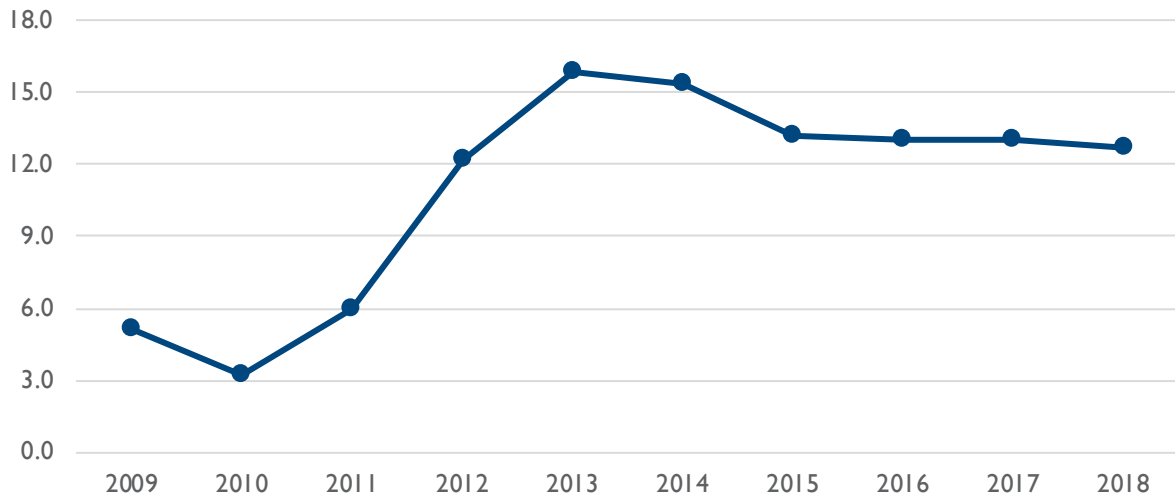
The General Fund unassigned portion of fund balance increased from \$45.3 million as of June 30, 2017 to \$50.4 million as of June 30, 2018, an increase of \$5.1 million.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

The District's solvency ratio also decreased from 13.0 percent as of June 30, 2017 to 12.7 percent as of June 30, 2018.

SOLVENCY RATIO BOARD RANGE



The Board established a solvency ratio minimum of 15 percent during fiscal year 2013. The Iowa Association of School Boards (IASB) considers a solvency ratio of 0-5 percent to be adequate for short-term credit purposes, while a ratio of 5-10 percent is within "target" or "good" and, therefore, "can handle the unexpected." The GFOA recommends at least two months of expenditures of cash on hand, which equates to approximately a 17 percent solvency ratio for the District. The District will continue to focus efforts on increasing their solvency ratio over time to meet the 15 percent objective.

- **Debt:** The District's total long-term debt decreased by a net of \$43.6 million during the current fiscal year due to the issuance of sales tax revenue bonds and continued principal payments on existing bonds. The total outstanding bond debt at the end of the fiscal year is approximately \$206.1 million, consisting of revenue bonds.

Overview of the Financial Statements

This Discussion and Analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements comprise three components: 1) district-wide financial statements, 2) fund financial statements, and 3) notes to basic financial statements. This report also contains required supplementary information in addition to the basic financial statements themselves.

Government-wide financial statements: The Government-wide financial statements are designed to provide readers with a broad overview of the District's finances, in a manner similar to a private-sector business. These statements provide both short-term and long-term information about the District's overall financial status. That is, all of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when the cash is received or paid.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Over time, increases or decreases in the District's net position are an indicator of whether the financial position is improving or deteriorating, respectively. However, to assess the District's overall financial health, nonfinancial factors should also be considered, such as changes in the District's property tax base and the condition of District school buildings.

In the Government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** These are activities primarily supported by property taxes and intergovernmental revenues such as state aid or federal funding, and expenditures are classified by function such as instruction, support services, operation and maintenance of plant, student transportation, operation of noninstructional services, and capital construction.
- **Business-type activities:** These are supported by fees charged by the District to help cover the costs of services such as food services, child care services, home remodeling, and automotive services.

Fund financial statements: A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. These statements focus on individual parts (funds) of the District, reporting the District's operations in more detail than the Government-wide statements. Some funds are required by state law or bond covenants, and some are established to control and manage money for particular purposes.

All of the funds of the District can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

- **Governmental funds:** Governmental funds are used to account for essentially the same functions reported as governmental activities in the Government-wide financial statements. These statements explain how basic services, such as regular program and special education, were financed in the short-term as well as what remains for future spending.

Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate the comparison between governmental funds and governmental activities.

Information is presented separately in the governmental funds balance sheet and in the governmental funds statement of revenues, expenditures and changes in fund balances for the General Fund and the Capital Projects Funds, which are considered to be major funds. Data from the other governmental funds are combined into a single, aggregated presentation. This aggregated information includes the Special Revenue Funds of Student Activity, Management, and DMPS (expendable trust funds); Capital Projects Funds of Physical Plant and Equipment Levy (PPEL) and Public Education and Recreation Levy (PERL); Permanent Funds; and the Debt Service Fund.

Proprietary funds: Proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, i.e. fees are charged to cover the cost of services rendered.

These funds include activities defined as enterprise funds and internal service funds. The District's enterprise funds are all considered nonmajor and include School Nutrition, Child Care, Home Construction, and Automotive.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

The District has three internal service funds: Self-Insurance, Risk Management, and Print Shop. Because all of these services predominately benefit the District's governmental activities, rather than the business-type activities, they have been included in the governmental activities in the Government-wide financial statements. The District did have a fourth internal service fund, Collage, but consolidated those operations with the Print Shop in fiscal year 2017.

- **Fiduciary funds:** Fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others. Fiduciary funds are not reflected in the Government-wide financial statements, because the resources of those funds are not available to support the District's own programs. These funds include Pension Trust, Private Purpose Trust, and Agency Funds.

Notes to basic financial statements: The financial statements also include notes that provide additional information that is essential to a full understanding of the data provided in the Government-wide and fund financial statements.

Major features of the Government-wide and fund financial statements:

Government-Wide Statements		Fund Financial Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	Activities that are not proprietary or fiduciary, such as instruction, administration, and building maintenance	Activities the District operates similar to private businesses such as school nutrition	Activities the District administers resources on behalf of someone else, such as scholarships
Required financial statements	Statement of Net Position	Balance Sheet	Statement of Net Position	Statement of Fiduciary Net Position
	Statement of Activities	Statement of Revenues, Expenditures and Changes in Fund Balances	Statement of Revenues, Expenses and Changes in Net Position Statement of Cash Flows	Statement of Changes in Fiduciary Net Position
Accounting basis	Accrual accounting	Modified accrual accounting	Accrual accounting	Accrual accounting
Measurement focus	Economic resources focus	Current financial focus	Economic resources focus	Economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital and short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term
Type of inflow/outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or within specified periods after year-end of the year; expenditures when goods or services are received and liability is due and payable	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Other information: In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the District's budget process and other postemployment benefit information. The District adopts an annual budget for all budgeted governmental funds, enterprise, and trust funds in total. A budgetary comparison schedule has been provided.

Government-Wide Financial Analysis

Net position: The following table presents a summary of the District's net position for the year ended June 30, 2018 with comparison totals as of June 30, 2017.

	Governmental Activities 2018	Governmental Activities 2017	Business-Type Activities 2018	Business-Type Activities 2017	Total 2018	Total 2017
Current assets and other assets	\$ 448,818,394	\$ 393,460,615	\$ 4,691,144	\$ 4,856,668	\$ 453,509,538	\$ 398,317,283
Capital assets, net	541,262,231	530,619,908	2,370,341	2,522,174	543,632,572	533,142,082
Total assets	990,080,625	924,080,523	7,061,485	7,378,842	997,142,110	931,459,365
Deferred outflows of resources	78,919,129	73,930,469	2,774,796	2,465,552	81,693,925	76,396,021
Current liabilities	96,568,487	93,833,386	871,317	892,974	97,439,804	94,726,360
Long-term liabilities	484,643,835	418,639,223	8,351,913	7,868,801	492,995,748	426,508,024
Total liabilities	581,212,322	512,472,609	9,223,230	8,761,775	590,435,552	521,234,384
Deferred inflows of resources	154,907,635	144,904,710	362,519	92,938	155,270,154	144,997,648
Net position:						
Net investment in capital assets	441,037,719	424,605,987	2,370,341	2,522,174	443,408,060	427,128,161
Restricted	34,985,107	38,432,829	-	-	34,985,107	38,432,829
Unrestricted	(143,143,029)	(122,405,143)	(2,119,809)	(1,532,493)	(145,262,838)	(123,937,636)
Total net position	\$ 332,879,797	\$ 340,633,673	\$ 250,532	\$ 989,681	\$ 333,130,329	\$ 341,623,354

The District's combined net position as of June 30, 2018, was less than the combined net position as of June 30, 2017. The increase pertaining to net investment in capital assets was the result of the capitalization of school renovation, major repair projects that were completed as part of the District's Schools First and Students First Renovation Plans. It should be noted that the District uses these capital assets to provide educational services; consequently, these assets are not available for future spending. The primary reason for the overall decrease in the total net position was the District's early adoption of GASB Statement No. 75 in fiscal year 2017 and the continuation of accounting for the District's pension plans in accordance with GASB Statement No. 68. Statement No. 75 requires the District to report a liability for the other postemployment benefits (OPEB) they provide. Statement No. 68 requires the District to report their proportionate share of the Iowa Public Employees Retirement System (IPERS) as well as the Des Moines Teachers Retirement System (DMTRS). Please refer to Note 9 and Note 10 for further details.

At the end of the current fiscal year, the District is able to report a positive balance in total net position. The same held true for the prior year.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Changes in net position: The following schedule shows the changes in net position for the year ended June 30, 2018 with comparison totals for the year ended June 30, 2017. The difference between revenues and expenditures represents the change in net position.

	Governmental Activities 2018	Governmental Activities 2017	Business-Type Activities 2018	Business-Type Activities 2017	Total 2018	Total 2017
Revenues:						
Program revenues:						
Charges for services	\$ 26,312,044	\$ 25,902,653	\$ 7,547,428	\$ 6,712,750	\$ 33,859,472	\$ 32,615,403
Operating grants and contributions	95,083,902	93,119,480	19,333,214	19,222,218	114,417,116	112,341,698
Capital grants and contributions	-	-	-	-	-	-
General revenues:						
Property taxes	135,168,498	132,712,161	-	-	135,168,498	132,712,161
Sales tax, capital projects	30,737,734	31,115,408	-	-	30,737,734	31,115,408
Investment earnings	2,471,733	1,163,645	-	-	2,471,733	1,163,645
State aid and other state sources	204,551,888	199,399,080	-	-	204,551,888	199,399,080
Other local sources	1,407,681	2,260,799	-	-	1,407,681	2,260,799
Total revenues	495,733,480	485,673,226	26,880,642	25,934,968	522,614,122	511,608,194
Expenses:						
Instruction	314,831,138	299,588,285	-	-	314,831,138	299,588,285
Support services	164,388,581	155,252,094	-	-	164,388,581	155,252,094
Noninstructional	4,982,212	3,414,227	-	-	4,982,212	3,414,227
Other expenses	20,428,299	19,727,480	26,476,917	25,451,036	46,905,216	45,178,516
Total expenses	504,630,230	477,982,086	26,476,917	25,451,036	531,107,147	503,433,122
Increase in net position before transfers	(8,896,750)	7,691,140	403,725	483,932	(8,493,025)	8,175,072
Transfers	1,142,874	462	(1,142,874)	(462)	-	-
Change in net position	(7,753,876)	7,691,602	(739,149)	483,470	(8,493,025)	8,175,072
Net position, beginning	340,633,673	332,942,071	989,681	506,211	341,623,354	333,448,282
Net position, (deficit) ending	\$ 332,879,797	\$ 340,633,673	\$ 250,532	\$ 989,681	\$ 333,130,329	\$ 341,623,354

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

- The main revenue sources were state aid and other state sources, property taxes and sales taxes, which account for 70.9 percent of total revenue.
- The District's expenses primarily relate to instruction and support services which account for 90.2 percent of the total expenses.
- Overall the District had a decrease in net position of \$8.5 million in 2018. The change in net position was an increase of \$8.2 million in 2017.
- Governmental activities decreased the net position by \$7.8 million or 91.3 percent of the total decrease in net position. The change was primarily due to modest cost of living adjustments for staff members as well as increases in the total cost to maintain the District's health care plan for staff members. In addition, the District continues to invest in technology to enhance the classroom experience for all students.

Governmental Activities

- State foundation aid and other state sources, property taxes and sales taxes are the primary sources of revenue for the District, 41.3 percent, 27.3 percent and 6.2 percent, respectively, of total governmental activities revenues for fiscal year 2017 compared to 41.1 percent, 27.3 percent and 6.4 percent, respectively, for fiscal year 2017. Overall revenue increased 2.1 percent primarily due to an increase in state supplemental aid revenue and property tax revenue. Instruction constitutes the largest portion of expenditures at \$314.8 million or 62.4 percent of governmental activities expenses. The District offers a wide array of programs including general and special education, vocational and college preparatory classes.
- The noninstructional and other expenses of the District accounted for 5.0 percent of total costs.

Net Cost: The following table presents the total and net cost of the District's major governmental activities including instruction, other support services, noninstructional programs and other expenses, with comparative totals for 2017:

	2018		2017	
	Total Expenses	Net (Expense) Revenue	Total Expenses	Net (Expense) Revenue
Instruction	\$ 314,831,138	\$ (219,255,661)	\$ 299,588,285	\$ (206,697,349)
Other support services	164,388,581	(153,459,680)	155,252,094	(142,949,563)
Noninstructional programs	4,982,212	(4,842,547)	3,414,227	(3,264,177)
Other expenses	20,428,299	(5,676,396)	19,727,480	(5,564,932)
Total expenses	\$ 504,630,230	\$ (383,234,284)	\$ 477,982,086	\$ (358,476,021)

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Net cost of governmental activities was financed by general revenues, which are made up of primarily property taxes and state aid. Federal and state governments and charges for services subsidized certain programs with federal funds, grants and contributions, and other local revenues of \$121.4 million or 24.1 percent of total governmental activities expenses.

Business-Type Activities – Change in Net Position:

- The School Nutrition and Child Care programs constitute the majority of the business-type activities.
- The School Nutrition's primary sources of revenue are federal revenue and student fees and the primary expenses are staff and commodities. The District's free and reduced participation increased as did the District's involvement with the federal Community Eligibility Program (CEP). These two items increased the amount of federal revenue, while the amount of student fees decreased. The School Nutrition Fund had a decrease in net position of \$0.6 million for fiscal year 2018.
- The primary source of revenue for the Child Care program is child care fees and the primary expense is staff. The Child Care Fund had a decrease in net position of \$0.1 million for fiscal year 2018.

Financial Analysis of the District's Funds

Governmental Funds Highlights

General Fund:

- The General Fund is the principal operating fund of the District. The increase in fund balance in the General Fund for the fiscal year was \$1.8 million. The District's solvency ratio decreased to 12.7 percent primarily due to modest cost of living increases with staff compensation coupled with increases in health care expenditures relating to the District's health care plans.
- The increase in General Fund revenues (2.6 percent) compared to fiscal year 2017 was primarily due to an increase in state revenue of 2.6 percent and increase in federal sources of 11.1 percent.
- The increase in General Fund expenditures (2.8 percent) compared to fiscal year 2017 was primarily due to modest cost of living adjustments for staff members as well as increases in the total cost to maintain the District's health care plan for staff members. In addition, the District continues to invest in technology to enhance the classroom experience for all students.

Capital Projects Fund:

- The Capital Projects Fund has a total fund balance of \$112.5 million for 2018 and \$60.1 million for 2017. The net increase in the Capital Projects fund for the fiscal year was primarily due to the District issuing \$56.2 million of revenue bonds during fiscal year 2018. The District is not planning on issuing any additional revenue bonds at this point in time, unless the statewide penny sales tax gets extended past the current 2029 sunset.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Proprietary Fund Highlights

There are no major enterprise funds. The School Nutrition Fund represents 77.8 percent of the expenses of total enterprise funds. The District's percent of students eligible for free and reduced meals increased from fiscal year 2017 (67 percent) to 2018 (74 percent). The number of schools served through the CEP program increased again this year. The CEP program enables the District to serve meals at no cost to the students for the entire attendance area (school). As such there was a decrease in operating revenues from meal charges to students as more schools shifted to the CEP.

Budgetary Highlights

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with accounting principles generally accepted in the United States of America. As is the District's practice, the District modified its adopted budget once during fiscal year 2018.

- This year, expenditures (including transfers) for all funds by major function were less than anticipated, at \$16.8 million less than the final budget.
- The District's General Fund, its principal operating fund, continues to remain financially solvent.
- The District received 101.1 percent of budgeted General Fund revenues, property taxes collected were slightly above budget, federal revenues were 104.0 percent of budget; other revenues were 102.2 percent of budget. Overall General Fund revenue increased 2.6 percent over the prior year primarily due to increases in property tax revenue and federal sources.
- The District spent 99.6 percent of budgeted General Fund expenditures based on the final budget. General Fund expenditures increased from the prior year primarily due to modest cost of living adjustments for staff members as well as increases in the total cost to maintain the District's health care plan for staff members. In addition, the District continues to invest in technology to enhance the classroom experience for all students.
- At the end of fiscal year 2018, the projected Unspent Authorized Budget (Spending Authority) ratio for the General Fund was 2.8 percent, a decrease when compared to 6.2 percent at the end of fiscal year 2017.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Capital Assets and Debt Administration

Capital Assets: As of June 30, 2018, the District had invested \$543.6 million in capital assets, including school buildings and major repairs, athletic facilities, buses and other vehicles, computers and other equipment. This amount represents a net increase of \$10.5 million from last year, primarily due to the accelerated spending on the Schools First and Students First school renovation plan as a result of the receipt of the proceeds of \$70 million in revenue bonds during fiscal year 2010, again in 2012 (\$71.9 million), as well as additional bonding in 2013 (\$8.78 million) and in 2014 (\$61.9 million). Refunding bonds were issued in fiscal year 2017 to refund the 2010 bonds. The District issued another round of bonds in fiscal year 2018 in the amount of \$56.2 million.

The following schedule presents capital asset balances, net of accumulated depreciation, for the fiscal year ended June 30, 2018, compared with balances as of June 30, 2017:

	Governmental Activities 2018	Governmental Activities 2017	Business-Type Activities 2018	Business-Type Activities 2017	Total 2018	Total 2017
Land	\$ 4,748,051	\$ 4,139,994	\$ -	\$ -	\$ 4,748,051	\$ 4,283,273
Construction-in-progress	19,343,037	16,616,011	177,974	143,279	19,521,011	16,616,011
Land improvements	1,789,759	2,000,274	-	-	1,789,759	2,000,274
Buildings and improvements	504,269,704	495,927,456	-	-	504,269,704	495,927,456
Vehicles, furniture and equipment	11,111,680	11,936,173	2,192,367	2,378,895	13,304,047	14,315,068
Total	\$ 541,262,231	\$ 530,619,908	\$ 2,370,341	\$ 2,522,174	\$ 543,632,572	\$ 533,142,082

Additional information on the District's capital assets can be found in Note 5 to the Basic Financial Statements.

Debt Administration: As of June 30, 2018, the District had \$206.1 million in bonds outstanding, of which \$15.4 million is due within one year. The following table presents a summary of the District's outstanding long-term debt for the year ended June 30, 2018, with comparative information as of June 30, 2017:

	2018	2017
Sales tax revenue bonds	\$ 206,090,000	\$ 162,510,000

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

State statutes currently limit the amount of debt a district may issue to five percent of its total assessed valuation. The current debt limitation for the District is \$631.0 million which is substantially more than the District's outstanding debt.

Additional information about the District's debt can be found in Note 6 to the basic financial statements.

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of the following existing circumstances that could affect its financial health in the future:

- District enrollment increased slightly from October 2016 to October 2017 by approximately 0.3 percent, thus remaining stable overall. The enrollment in October 2017 times the district cost per student determines the amount of state foundation aid the district will receive for fiscal year 2019 from a combination of state aid and property taxes. The cost per student from year to year increases by a factor known as state supplemental aid. Normally, state supplemental aid is set by the legislature two years prior to the year it will affect the cost per student. The state supplemental aid rate for fiscal year 2018 was 1.11 percent, state supplemental aid rate for fiscal year 2019 is 1.00 percent.
- Enrollment per modeling done by the Iowa Department of Education is projected to remain stable or increase slightly in future years.
- The statewide penny sales (SWP) tax was implemented in the District on July 1, 2010. The District's SWP tax revenue for each fiscal year is calculated by multiplying the certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total statewide penny sales tax revenue by the statewide enrollment. For fiscal year 2018, total statewide penny sales tax revenue was projected to be \$465,441,764 while statewide enrollment increased to 485,147, producing a statewide average tax revenue per student of \$959 for fiscal year 2018. The Iowa Department of Management anticipates the statewide average will increase approximately 5 percent for fiscal year 2019.
- Spending Authority implications - The state controls the maximum amount each district can spend each year through the spending authority function. Under the spending authority control, it is illegal for a school district to exceed its maximum authorized budget. (To reach the maximum budget authority level, the Board would have to authorize and levy additional property taxes.) It is important to understand that the limit on spending is the amount of spending authority a district has, not the amount of cash or fund balance a district has. The District's total spending authority includes the current-year authorized budget *plus* the unspent authorized budget from the prior year (e.g., the amount of money that a district was authorized to spend in a fiscal year but did not, similar to "savings").

Spending authority is directly tied to student enrollment, and there are only three general means by which the District's spending authority can increase: (1) increased State Supplemental Aid (i.e., Allowable Growth), (2) increased enrollment, or (3) increased miscellaneous income. The District does not anticipate significant growth in any of those three areas. (Note: for budget planning purposes, the District views consistent enrollment increases of less than 1 percent as insignificant.)

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

The unspent spending authority ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as the district's unspent spending authority divided by the district's maximum budget authority. The Iowa Association of School Boards (IASB) recommends this ratio be in the target range of 10-20 percent. The Board adopted guidelines in FY 2012 setting the target for the district's unspent spending authority ratio at 10 percent; in 2015 the Board raised this target to 15 percent. The unspent spending authority ratio for fiscal year 2017 was 6.3 percent and 2.8 percent for fiscal year 2018. Based on a worst-case-scenario of 1.00 percent growth in Supplemental State Aid (i.e., Allowable Growth), it is projected the unspent spending authority for fiscal year 2019 will continue to decline.

Contacting the District's Financial Management

This financial report is designed to provide our citizens, taxpayers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the resources it receives. If you have questions about this report or need additional information, please contact:

Thomas Harper, Chief Financial Officer
Business and Finance Department
242-7745
Des Moines Independent Community School District
2323 Grand Avenue
Des Moines, Iowa 50312

Des Moines Independent Community School District

**Statement of Net Position
June 30, 2018**

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash and investments	\$ 153,218,005	\$ 2,571,524	\$ 155,789,529
Cash held with agent	21,292,065	-	21,292,065
Property taxes receivable—current year	1,197,666	-	1,197,666
Property taxes receivable—succeeding year	140,189,825	-	140,189,825
Interest receivable	835,777	-	835,777
Other receivables, net	7,197,216	1,458,560	8,655,776
Due from other governments	18,742,862	13,452	18,756,314
Inventories	751,245	637,533	1,388,778
Prepaid expenses	1,916,239	575	1,916,814
Assets held for sale	-	9,500	9,500
Total current assets	345,340,900	4,691,144	350,032,044
Noncurrent assets:			
Restricted cash and investments	93,845,510	-	93,845,510
Net pension asset	9,631,984	-	9,631,984
	103,477,494	-	103,477,494
Capital assets:			
Capital assets—nondepreciable	24,091,088	177,974	24,269,062
Capital assets—depreciable, net	517,171,143	2,192,367	519,363,510
Total capital assets	541,262,231	2,370,341	543,632,572
Total noncurrent assets	644,739,725	2,370,341	647,110,066
Total assets	990,080,625	7,061,485	997,142,110
Deferred Outflows of Resources			
Deferred charge on refunding	1,475,896	-	1,475,896
Pension related amounts	77,443,233	2,774,796	80,218,029
Total deferred outflow of resources	78,919,129	2,774,796	81,693,925

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	11,895,622	160,415	12,056,037
Claims payable	10,540,521	-	10,540,521
Accrued payroll	23,600,773	107,463	23,708,236
Accrued interest payable	650,073	-	650,073
Other current liabilities	14,698,241	-	14,698,241
Due to other governments	13,356,101	669	13,356,770
Unearned revenue	88,975	331,795	420,770
Compensated absences	3,730,193	270,975	4,001,168
Special termination benefits	2,602,988	-	2,602,988
Revenue bonds	15,405,000	-	15,405,000
Total current liabilities	96,568,487	871,317	97,439,804
Noncurrent liabilities:			
Retrospective insurance rating plan	561,625	-	561,625
Compensated absences	357,072	33,486	390,558
Special termination benefits	11,258,687	-	11,258,687
Other postemployment benefits	69,452,570	-	69,452,570
Revenue bonds, net of bond premiums	199,998,683	-	199,998,683
Pollution remediation liability	79,202	-	79,202
Net pension liability	202,935,996	8,318,427	211,254,423
Total noncurrent liabilities	484,643,835	8,351,913	492,995,748
Total liabilities	581,212,322	9,223,230	590,435,552
Deferred Inflows of Resources			
Property taxes—succeeding year	140,189,825	-	140,189,825
Pension related amounts	9,673,584	362,519	10,036,103
OPEB related amounts	5,044,226	-	5,044,226
Total deferred inflows of resources	154,907,635	362,519	155,270,154
Net Position			
Net investment in capital assets	441,037,719	2,370,341	443,408,060
Restricted for:			
DMPS expendable trust	3,183,817	-	3,183,817
Permanent trust	9,459	-	9,459
Categorical funding	15,273,165	-	15,273,165
Shared programs	954,162	-	954,162
Grants	347,703	-	347,703
Special education	402,536	-	402,536
Management levy	3,117,627	-	3,117,627
Physical plant and equipment levy	9,716,205	-	9,716,205
Public education and recreation levy	446,357	-	446,357
Student activities	1,534,076	-	1,534,076
Unrestricted (deficit)	(143,143,029)	(2,119,809)	(145,262,838)
Total net position	\$ 332,879,797	\$ 250,532	\$ 333,130,329

Des Moines Independent Community School District

Statement of Activities Year Ended June 30, 2018

Functions/Programs	Expenses	Program Revenues		Net (Expense)
		Charges for Services	Operating Grants and Contributions	Governmental Activities
Primary Government				
Governmental activities:				
Instruction	\$ 314,831,138	\$ 10,680,233	\$ 84,895,244	\$ (219,255,661)
Student services	29,403,392	-	6,908,602	(22,494,790)
Instructional support services	26,859,782	-	2,765,534	(24,094,248)
General administration	10,643,955	-	-	(10,643,955)
Building administration	23,840,018	-	-	(23,840,018)
Business and central administration	17,079,473	-	-	(17,079,473)
Plant operation and maintenance	41,362,030	-	-	(41,362,030)
Student transportation	15,199,931	826,813	427,952	(13,945,166)
Noninstructional	4,982,212	53,095	86,570	(4,842,547)
AEA support	14,751,903	14,751,903	-	-
Interest and issuance costs on long-term debt	5,676,396	-	-	(5,676,396)
Total governmental activities	504,630,230	26,312,044	95,083,902	(383,234,284)
Business-type activities:				
School nutrition	20,594,344	1,809,975	19,333,214	-
Child care	5,843,523	5,699,860	-	-
Home construction	1,112	9,500	-	-
Automotive	37,938	28,093	-	-
Total business-type activities	26,476,917	7,547,428	19,333,214	-
Total primary government	\$ 531,107,147	\$ 33,859,472	\$ 114,417,116	(383,234,284)
General revenues:				
Property taxes:				
Levied for general purposes				117,223,840
Levied for management				9,330,713
Levied for property, plant and equipment				7,641,516
Levied for playground				972,429
Sales tax, for capital projects				30,737,734
State foundation aid, for general purposes				204,551,888
Investment earnings				2,471,733
Other local sources				1,407,681
Transfers				1,142,874
Total general revenues and transfers				375,480,408
Changes in net position				
(7,753,876)				
Net position, beginning of year				
340,633,673				
Net position, end of year				
\$ 332,879,797				

See notes to basic financial statements.

Revenue and Changes in Net Position

Business-Type		
Activities		Totals
\$	-	\$ (219,255,661)
	-	(22,494,790)
	-	(24,094,248)
	-	(10,643,955)
	-	(23,840,018)
	-	(17,079,473)
	-	(41,362,030)
	-	(13,945,166)
	-	(4,842,547)
	-	-
	-	(5,676,396)
	-	(383,234,284)
	548,845	548,845
	(143,663)	(143,663)
	8,388	8,388
	(9,845)	(9,845)
	403,725	403,725
	403,725	(382,830,559)
	-	117,223,840
	-	9,330,713
	-	7,641,516
	-	972,429
	-	30,737,734
	-	204,551,888
	-	2,471,733
	-	1,407,681
	(1,142,874)	-
	(1,142,874)	374,337,534
	(739,149)	(8,493,025)
	989,681	341,623,354
\$	250,532	\$ 333,130,329

Des Moines Independent Community School District

Balance Sheet Governmental Funds June 30, 2018

	General	Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
Assets				
Cash and investments	\$ 107,286,167	\$ -	\$ 20,596,241	\$ 127,882,408
Restricted cash and investments	-	92,398,961	1,446,549	93,845,510
Cash held with agent	-	21,292,065	-	21,292,065
Property taxes receivable—current year	1,041,160	-	156,506	1,197,666
Property taxes receivable—succeeding year	119,357,613	-	20,832,212	140,189,825
Interest receivable	835,777	-	-	835,777
Other receivables	7,188,300	-	6,094	7,194,394
Due from other governments	14,637,682	4,105,180	-	18,742,862
Inventories	714,205	-	-	714,205
Due from other funds	9,478,302	-	-	9,478,302
Prepaid items	1,830,901	-	85,338	1,916,239
Total assets	\$ 262,370,107	\$ 117,796,206	\$ 43,122,940	\$ 423,289,253
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	\$ 7,483,588	\$ 2,769,347	\$ 1,607,574	\$ 11,860,509
Accrued payroll	23,446,580	-	2,413	23,448,993
Special termination benefits	-	-	1,929,606	1,929,606
Other current liabilities	13,678,818	987,015	32,199	14,698,032
Due to other governments	13,066,913	-	64,432	13,131,345
Compensated absences	433,872	-	-	433,872
Total liabilities	58,109,771	3,756,362	3,636,224	65,502,357
Deferred inflows of resources:				
Succeeding year—property taxes	119,357,613	-	20,832,212	140,189,825
Unavailable revenue—sales tax	-	1,502,881	-	1,502,881
Unavailable revenue—intergovernmental	785,548	-	-	785,548
Total deferred inflows of resources	120,143,161	1,502,881	20,832,212	142,478,254
Fund balances:				
Nonspendable	2,545,106	-	95,216	2,640,322
Restricted	16,977,566	112,536,963	18,559,288	148,073,817
Committed	11,500,000	-	-	11,500,000
Assigned	2,722,083	-	-	2,722,083
Unassigned	50,372,420	-	-	50,372,420
Total fund balances	84,117,175	112,536,963	18,654,504	215,308,642
Total liabilities, deferred inflows of resources and fund balances	\$ 262,370,107	\$ 117,796,206	\$ 43,122,940	\$ 423,289,253

See notes to basic financial statements.

Des Moines Independent Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2018

Total governmental fund balances		\$	215,308,642
Amount reported for governmental activities in the statement of net position are different because:			
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported in the funds:			
Land	\$	4,748,051	
Construction-in-progress		19,343,037	
Land improvements		9,868,310	
Buildings and improvements		669,304,327	
Vehicles, furniture and equipment		28,382,747	
Accumulated depreciation		(190,396,490)	541,249,982
Other long-term assets are not available to pay for current-period expenditures and, therefore, reported as deferred inflows of resources—unavailable revenue, in the governmental funds			2,288,429
Internal service funds are used by management to charge the costs of certain activities, such as self-insurance benefits for employees and print shop services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.			8,788,541
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:			
Deferred outflows of resources—IPERS		65,798,838	
Deferred outflows of resources—DMTRS		11,644,395	
Deferred inflows of resources—IPERS		(4,082,887)	
Deferred inflows of resources—DMTRS		(5,590,697)	
Deferred inflows of resources—OPEB		(5,044,226)	62,725,423
Certain assets and liabilities, including bonds and notes payable, are not due and payable in the current period and, therefore, are not reported as assets or liabilities in the funds. These assets and liabilities at year-end consist of:			
Net pension asset—DMTRS		9,631,984	
Compensated absences		(3,647,092)	
Sales tax revenue bonds		(206,090,000)	
Bond premiums		(9,313,683)	
Accrued interest payable		(650,073)	
Deferred charge on refunding		1,475,896	
Claims payable for workers' compensation		(3,926,790)	
Retrospective insurance rating plan		(561,625)	
Other postemployment benefits		(69,452,570)	
Net pension liability— IPERS		(202,935,996)	
Pollution remediation liability		(79,202)	
Special termination benefits		(11,932,069)	(497,481,220)
Net position of governmental activities		\$	332,879,797

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances Governmental Funds Year Ended June 30, 2018

	General	Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:				
Property taxes	\$ 117,223,840	\$ -	\$ 17,944,658	\$ 135,168,498
Other local sources	22,210,151	9,351	866,673	23,086,175
Sales tax, for capital projects	-	30,706,897	-	30,706,897
Investment earnings	1,771,399	642,427	57,907	2,471,733
Intermediate sources	816,427	-	-	816,427
State foundation aid	204,551,888	-	-	204,551,888
Other state sources	58,562,132	-	-	58,562,132
Federal sources	37,575,065	-	-	37,575,065
Student activities	86,375	-	2,585,948	2,672,323
Total revenues	442,797,277	31,358,675	21,455,186	495,611,138
Expenditures:				
Current:				
Instruction	276,584,727	-	7,109,794	283,694,521
Student services	28,562,340	-	537,756	29,100,096
Instructional support services	26,687,034	-	30,503	26,717,537
General administration	8,158,183	-	938,487	9,096,670
Building administration	23,293,583	-	176,401	23,469,984
Business and central administration	15,620,578	-	274,391	15,894,969
Plant operation and maintenance	36,033,765	-	4,751,406	40,785,171
Student transportation	11,546,060	-	2,809,594	14,355,654
Noninstructional	1,098,492	-	1,593,629	2,692,121
AEA support	14,751,903	-	-	14,751,903
Capital outlay	-	20,887,709	3,467,470	24,355,179
Debt service:				
Principal retirement	-	-	12,655,000	12,655,000
Interest	-	-	5,594,571	5,594,571
Bond issuance costs	-	469,512	-	469,512
Total expenditures	442,336,665	21,357,221	39,939,002	503,632,888
Excess (deficiency) of revenues over expenditures	460,612	10,001,454	(18,483,816)	(8,021,750)
Other financing sources (uses):				
Proceeds from sale of capital assets	229,930	-	10,000	239,930
Issuance of revenue bonds	-	56,235,000	-	56,235,000
Premiums on revenue bonds	-	4,476,168	-	4,476,168
Transfers in	1,142,874	-	18,269,571	19,412,445
Transfers out	(20,000)	(18,249,571)	-	(18,269,571)
Total other financing sources (uses)	1,352,804	42,461,597	18,279,571	62,093,972
Net change in fund balances	1,813,416	52,463,051	(204,245)	54,072,222
Fund balances, beginning of year	82,303,759	60,073,912	18,858,749	161,236,420
Fund balances, end of year	\$ 84,117,175	\$ 112,536,963	\$ 18,654,504	\$ 215,308,642

See notes to basic financial statements.

Des Moines Independent Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2018

Net change in fund balances—total governmental funds	\$	54,072,222
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Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which capital outlay exceeded depreciation in the current period and other transactions involving capital assets:

Capital outlay	\$	25,096,331	
Depreciation expense		(14,236,603)	
Proceeds from sale of capital assets		(239,930)	
Gain on sale of capital assets		<u>23,438</u>	10,643,236

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, which represents the change in deferred inflows of resources—unavailable revenue.

(745,954)

The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of the governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of bond premiums, whereas this amount is reported as a liability and amortized in the statement of activities:

Repayment of bond principal	12,655,000	
Issuance of revenue bonds	(56,235,000)	
Premium on issuance of revenue bonds	(4,476,168)	
Amortization of bond premiums	853,096	
Deferred amount on refunding amortization	<u>(289,119)</u>	(47,492,191)

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:

Increase in compensated absences	(29,950)	
Increase in retrospective insurance rating plan	(110,312)	
Increase in accrued interest expense	(176,290)	
Increase in claims payable for workers' compensation	(337,429)	
Increase in pollution remediation liability	(79,202)	
Pension expense	(9,562,134)	
OPEB expense	(5,999,117)	
Increase in special termination benefits	<u>(5,660,599)</u>	(21,955,033)

Internal service funds are used by management to charge the costs of certain activities, such as self insurance benefits for employees and print shop services, to individual funds. The change in net position in the internal service funds is reported with governmental activities in the statement of activities.

(2,276,156)

Change in net position of governmental activities

\$ (7,753,876)

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Net Position Proprietary Funds June 30, 2018

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Assets		
Current assets:		
Cash and cash equivalents	\$ 2,571,524	\$ 25,335,597
Other receivables, net	1,458,560	2,822
Due from other governments	13,452	-
Inventories	637,533	37,040
Prepaid expenses	575	-
Assets held for sale	9,500	-
Total current assets	4,691,144	25,375,459
Noncurrent assets:		
Capital assets:		
Nondepreciable	177,974	-
Depreciable, net	2,192,367	12,249
Total noncurrent assets	2,370,341	12,249
Total assets	7,061,485	25,387,708
Deferred Outflow of Resources , pension related amounts	2,774,796	-
Liabilities		
Current liabilities:		
Accounts payable	160,415	35,113
Claims payable	-	6,613,731
Accrued payroll	107,463	151,780
Due to other governments	669	224,756
Unearned revenue	331,795	88,975
Compensated absences	270,975	6,301
Due to other funds	-	9,478,302
Other	-	209
Total current liabilities	871,317	16,599,167
Noncurrent liabilities:		
Compensated absences	33,486	-
Net pension liability	8,318,427	-
Total noncurrent liabilities	8,351,913	-
Total liabilities	9,223,230	16,599,167
Deferred Inflow of Resources , pension related amounts	362,519	-
Net Position (Deficit)		
Investment in capital assets	2,370,341	12,249
Unrestricted	(2,119,809)	8,776,292
Total net position	\$ 250,532	\$ 8,788,541

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2018**

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Operating revenues:		
Student activities	\$ 28,093	\$ -
Charges for services:		
Employee benefits	-	68,652,739
Sale of food	1,697,329	-
Child care	5,699,860	-
Miscellaneous	-	1,413,600
Total operating revenues	7,425,282	70,066,339
Operating expenses:		
Student services	20,268,064	-
Depreciation	364,218	913
Community services	5,844,635	-
Claims and related costs	-	70,943,117
Miscellaneous	-	1,398,465
Total operating expenses	26,476,917	72,342,495
Operating loss	(19,051,635)	(2,276,156)
Nonoperating revenues (expenses):		
Other local sources	122,146	-
State sources	180,864	-
Federal sources	19,149,098	-
Gain on disposal of capital assets	3,252	-
Total nonoperating revenues	19,455,360	-
Income (loss) before transfers	403,725	(2,276,156)
Transfers out	(1,142,874)	-
Change in net position	(739,149)	(2,276,156)
Total net position, beginning of year	989,681	11,064,697
Total net position, end of year	\$ 250,532	\$ 8,788,541

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2018

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Cash flows from operating activities:		
Cash received from user charges	\$ 6,819,427	\$ 70,090,738
Cash payments to employees for services	(14,448,409)	(447,259)
Cash payments to suppliers for goods and services	(9,896,715)	(70,016,320)
Net cash used in operating activities	(17,525,697)	(372,841)
Cash flows from noncapital financing activities:		
Payments from other funds	432,100	108,528
Payments to other funds	(1,574,974)	-
Grants and donations received	18,168,754	-
Net cash provided by noncapital financing activities	17,025,880	108,528
Cash flows from capital and related financing activities:		
Proceeds from sale of capital assets	29,285	-
Acquisition of capital assets	(238,418)	-
Net cash used in capital and related financing activities	(209,133)	-
Net decrease in cash and cash equivalents	(708,950)	(264,313)
Cash and cash equivalents, beginning of year	3,280,474	25,599,910
Cash and cash equivalents, end of year	\$ 2,571,524	\$ 25,335,597
Reconciliation of operating loss to net cash used in operating activities:		
Operating loss	\$ (19,051,635)	\$ (2,276,156)
Adjustments to reconcile operating loss to net cash used in operating activities:		
Depreciation	364,218	913
Commodities used	1,303,578	-
Changes in assets and liabilities:		
Receivables	(563,175)	(256)
Inventories	-	43,934
Prepaid items	(475)	193
Accounts payable and due to other governments	(92,646)	(91,881)
Claims payable	-	1,926,886
Unearned revenue	(42,680)	24,399
Accrued liabilities and compensated absences	121,891	(873)
Net pension liability	474,890	-
Deferred outflows of resources	(309,244)	-
Deferred inflows of resources	269,581	-
Net cash used in operating activities	\$ (17,525,697)	\$ (372,841)
Noncash items, noncapital financing activities, commodities received from the U.S. Department of Agriculture	\$ 1,303,578	\$ -
Noncash items, noncapital financing activities, donations received	\$ 9,500	\$ -

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Fiduciary Net Position
Fiduciary and Agency Funds
June 30, 2018**

	Pension Trust	Private Purpose Trust	Agency Faculty and Staff
Assets			
Cash and cash equivalents	\$ -	\$ 716,477	\$ 116,018
Investments:			
Money market mutual funds and certificates of deposit	6,865,058	-	-
U.S. government and agency securities	2,961,472	-	-
Corporate equities	45,907,957	-	-
Mortgage-backed securities	15,635,160	-	-
Corporate obligations	89,874,327	-	-
Preferred stock	771,800	-	-
Municipal bonds	67,365,246	-	-
Other fixed income	5,047,767	-	-
Interest receivable	2,405,250	-	-
Total assets	236,834,037	716,477	\$ 116,018
Liabilities			
Accounts payable	-	-	\$ 13,086
Due to other governments	-	-	-
Due to other entities	-	-	102,932
Total liabilities	-	-	\$ 116,018
Net Position			
Held in trust for:			
Employees' pension benefits	236,834,037	-	
Scholarships	-	716,477	
Total net position	\$ 236,834,037	\$ 716,477	

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Funds

Year Ended June 30, 2018

	Pension Trust	Private Purpose Trust
Additions:		
Contributions:		
Employer	\$ 1,707,565	\$ -
Employee	1,386,268	-
Private sources	-	32,159
Total contributions	3,093,833	32,159
Investment earnings:		
Net decrease in fair value of investments	(4,281,197)	-
Interest	8,511,752	5,710
Dividends	1,415,788	-
Total investment earnings	5,646,343	5,710
Less investment expense	138,658	-
Net investment earnings	5,507,685	5,710
Total additions	8,601,518	37,869
Deductions:		
Benefit payments	16,723,162	-
Resignation refunds	14,789	-
Scholarship awarded	-	43,969
Administrative costs	127,904	-
Total deductions	16,865,855	43,969
Change in net position	(8,264,337)	(6,100)
Net position, beginning of year	245,098,374	722,577
Net position, end of year	<u><u>\$ 236,834,037</u></u>	<u><u>\$ 716,477</u></u>

See notes to basic financial statements.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

The financial statements of the Des Moines Independent Community School District (the District) have been prepared in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) as applied to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Nature of operations: The Board of Education (the Board) is organized under the Iowa Code. Management of the District is independent of other state or local governments. The County Treasurer collects taxes for the District, but exercises no control over its expenditures.

The membership of the Board consists of seven members elected by the public. Under existing statutes, the Board's duties and powers include, but are not limited to, the acquisition, maintenance and disposition of school property; the development and adoption of a school program; and the establishment, organization and operation of schools.

The Board also has broad financial responsibilities, including the approval of the annual budget, and the establishment of a system of accounting and budgetary controls. The District's major operations include education, pupil transportation, construction and maintenance of District facilities and food service.

Reporting entity: The District is a primary government that has a separately elected governing body, is legally separate and is fiscally independent of other state or local governments. The financial statements of the District include all District operations required to be included in accordance with GASB pronouncements concerning the reporting entity. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The GASB has set forth criteria to be considered in determining financial accountability. These criteria are: a) appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and b) fiscal dependency. In addition, GASB Standards, set forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units, or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the District and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. The District evaluated certain alumni foundations, booster clubs and parent-teacher organizations and determined that each of those entities are not significant to the District as a whole. Therefore, the District has no component units which meet the GASB criteria that should be included in these basic financial statements.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not required to be included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the Government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental fund types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets plus deferred outflows of resources and liabilities plus deferred inflows of resources is reported as fund balance. The following is the District's major governmental funds:

General Fund: The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Capital Projects Fund: The Capital Projects Fund accounts for all revenues and expenditures generated through the collection of local option sales tax and expenditures attributable to the Schools First Renovation Program.

The other governmental funds of the District are considered nonmajor and are as follows:

Special revenue funds: Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

Management Fund: This fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

DMPS (Expendable Trust) Fund: This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Debt Service Fund: Accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest.

Capital projects funds: Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment (PPEL) Levy Fund: This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL) Fund: This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Permanent Trust Fund: The Permanent Trust Fund accounts for transactions that are received in trust in which only the interest earned, and not the principal itself, can be used to support the District.

Proprietary fund types: Proprietary fund types are used to account for the District's ongoing activities which are operated similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

Enterprise funds: Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition Fund: This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund: This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund: This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund: This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Internal Service Funds: The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District has the following internal service funds:

Self-Insurance Fund: This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed above.

Risk Management Fund: This fund accounts for transactions for certain health insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed above.

Print Shop Fund: This fund accounts for transactions for print shop and copying services. It also accounts for transactions for materials for arts and crafts and services such as laminating and other related activities.

Fiduciary funds: Fiduciary funds account for assets held by the District in a trustee or agency capacity for the benefit of others and cannot be used to support District activities.

The District has the following fiduciary fund types:

Pension Trust Fund: The Pension Trust Fund (DMTRS) accounts for the District's retirement plan for teachers. The fund provides pension benefits to eligible District teachers and administrators.

Private Purpose Trust Funds: These funds account for transactions that are received in trust in which both the principal and interest earned can be used to support the individuals or other organizations. The District's Private Purpose Trust Funds are primarily comprised of scholarship funds to benefit students.

Agency Fund: This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in these funds. The District only reports assets and liabilities for this fund.

The Government-wide financial statements and the proprietary, pension trust and private purpose trust financial statements are reported using the "economic resources measurement focus" and are reported using the accrual basis of accounting. The agency funds do not have a measurement focus but are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Property tax when levied, intergovernmental revenues when eligibility requirements have been met (shared revenues, grants, and reimbursements from other governments), and interest associated with the current fiscal period are all considered to be measurable and are recorded as revenue, if available. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension related amounts and compensated absences are recognized as expenditures only when the liability has matured and payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. Thus, when program expenses are incurred, there are both restricted and unrestricted resources available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general resources.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses and claims, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Property tax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to the April 2017 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½ percent per month penalty for delinquent payments. This tax levy is based on January 1, 2016 assessed property valuations and is revenue for fiscal year ended June 30, 2018.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2018. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2019, the year for which it is levied.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Due from other governments and other receivables: Due from other governments and other receivables represents amounts due from the state of Iowa, other school districts, and other various grants, reimbursements and shared revenues. All receivables are shown net of an allowance for uncollectibles, if applicable. The District's nonmajor enterprise funds and business-type activities have reported an allowance of \$72,867 as of June 30, 2018 related to other receivables.

Inventories: Inventories are valued at the moving average cost for purchased items and contributed value (acquisition value at the date received) for government commodities and other donated items. Inventories are recorded as expenses when consumed in the Government-wide financial statements and proprietary funds' financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold. The fund balance in the governmental funds relating to inventories is reported as nonspendable.

Prepaid items: Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the Government-wide and fund financial statements on the consumption method. The fund balance in the governmental funds relating to prepaid items is reported as nonspendable.

Investment earnings: Investment earnings are composed of interest, dividends and net changes in the fair value of applicable investments.

Investments: Most of the District's investment are stated at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is a market-based measurement, not an entity-specific measurement. For some assets and liabilities, observable market transactions or market information might be available; for others, it might not be available. However, the objective of a fair value measurement in both cases is the same—that is, to determine the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions. Fair value is an exit price at the measurement date from the perspective of a market participant that controls the asset or is obligated for the liability. See Note 3 for additional information regarding fair value measures. Investments in nonnegotiable certificates of deposit and money market funds are reported at cost.

Capital assets: Capital assets which include land; land improvements; buildings and improvements; vehicles, furniture and equipment; and construction-in-progress are reported in the Government-wide financial statements and the proprietary funds' financial statements.

Capital assets are defined by the District as assets with an initial, individual cost of \$5,000 or more (\$1,000 or more for the School Nutrition Fund) and an estimated useful life of more than one year. Such assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at the acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Land improvements	20 years
Buildings and improvements	20 - 50 years
Vehicles, furniture and equipment	5 - 15 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Deferred outflows of resources: Deferred outflows of resources represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of items not yet charged to pension expense and contributions from the District after the measurement date but before the end of the District's reporting period, and a deferred charge on refunding that will be recognized in interest expense over the shorter of the maturity of the related refunded or refunding bond issuance.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected in the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from sales tax and intergovernmental revenue. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements and governmental fund statements, succeeding year property tax revenues are reported as a deferred inflow of resources and will become an inflow in the year for which they are levied.

The District's government-wide statement of net position also includes pension related amounts and other postemployment benefit (OPEB) related amounts as a deferred inflow of resources. The pension related amounts consist of the unamortized portion of the net difference between projected and actual earnings on pension plan investments, the unamortized portion of the net difference between expected and actual plan experience and changes in proportion. The OPEB related amounts consist of the impact of changes in assumptions and other inputs.

Cash flows: For purpose of the statement of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities in the fund and government-wide financial statements.

Unearned revenue: Unearned revenue in the statement of net position and in the governmental fund financial statements consists primarily of unearned grant proceeds and unearned student nutrition revenue.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Compensated absences: The District's employee vacation and sick leave policies generally provide for granting vacation and sick leave with pay. Accrued sick leave is earned by all full-time employees at the rate of 15 days annually. Sick leave balances are not paid upon termination of employment. Full-time employees earn vacation in accordance with their employment agreement. The current and long-term liabilities for accumulated vacation are accrued when incurred in the Government-wide and proprietary funds' financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee leave, resignations and retirements.

Long-term obligations: In the Government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities on the statement of net position. Bond premiums are reported as a liability and amortized over the life of the bonds using the effective interest method. Bond issuance costs are reported as an outflow in the year in which the expenses were incurred.

In the fund financial statements, governmental fund types recognize bond premiums through current year operations. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Principal payments and bond issuance costs are reported as debt service expenditures.

Pensions: For purposes of measuring the net pension asset (liability), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and Des Moines Teachers' Retirement System (DMTRS) and additions to/deductions from these fiduciary net positions has been determined on the same basis as they are reported by IPERS and DMTRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the Board through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer and Controller, through the adoption of the budget.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of the other governmental funds would also be reported as unassigned.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's procedure is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources in the Government-wide financial statements. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balance of any long-term debt used to build or acquire the capital assets. Net investment in capital assets excludes unspent debt proceeds. Unspent debt proceeds (which includes proceeds reserved for debt retirement) for the Capital Projects Fund was \$113,691,026. Net position is reported as restricted in the Government-wide financial statements when there are limitations imposed on their use through external restrictions imposed by creditors, grantors, or laws or regulations of other governments.

Net position restricted through enabling legislation as of June 30, 2018 consists of \$3,117,627 for management levy, \$9,716,205 for physical plant and equipment levy, and \$446,357 for public education and recreation levy.

Donor restricted net position include \$3,183,817 for net position in the DMPS (Expendable Trust) Fund which is to be used mainly for the Smouse School and \$9,459 in the Permanent Fund to be used for teacher education and training.

Net position restricted for other purposes consists of \$18,511,642 restricted for categorical funding, various grants and sponsored programs, including student activity balances.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" or "advances to/from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Estimates: The preparation of the financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 2. Legal Compliance

The District operates within the budget requirements for school districts as specified by state law and as prescribed by the Iowa Department of Management.

The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is the functional area for budgeted governmental, enterprise and private purpose trust funds in total, rather than by individual fund type. Formal and legal budgetary control is based on four major classes of expenditures known as functional areas. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The District adopts its annual program budget on a U.S. GAAP basis of accounting.

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules—Perspective Differences*, the District presents budgetary comparison as required supplementary information based on the program structure as required by state statute for its legally adopted budget.

The Child Care Fund had a deficit balance as of June 30, 2018, of \$1,150,734. The District will analyze the fund's activity and take the necessary steps to reduce the negative fund balance. The primary cause of the deficit balance is due to accounting for the Child Care Fund's share of the District's proportionate share of deferred outflows of resources, deferred inflows of resources, and net pension liability related to IPERS.

Note 3. Deposits and Investments

As of June 30, 2018, the District's cash, cash equivalents and investments (including fiduciary fund assets) were as follows:

Cash and other deposits	\$ 187,711,022
Investments, primarily pension trust	297,185,299
	<u>\$ 484,896,321</u>

In addition, the District has cash held with agent of \$21,292,065.

Investments:

Authorized investments: The District is authorized by statute to invest public funds not currently needed for operating expenses in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured Iowa depository institutions approved by the Board; prime eligible bankers' acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; and certain joint investment trusts. However, the District's investment policy additionally limits investments in commercial paper to obligations at the time of purchase rated within the two highest ratings issued by nationally recognized statistical rating organizations with a maturity less than 270 days, with no more than 5 percent at the time of purchase placed in the second highest classification. The District's investment policy additionally limits investments in prime bankers' acceptances that mature within 270 days and that are eligible for purchase by a federal reserve bank. Investment income interest is spent according to the fund parameters as outlined by the District.

The above description of authorized investments does not apply to the Des Moines Teachers' Retirement System (DMTRS) Pension Trust Fund, whose investments are governed by the underlying Plan document, or investments donated to the District. The Plan's investment policy authorizes investment in cash, fixed income securities rated AAA to BBB-, investment grade preferred stock, large-, mid-, and small-cap domestic equity securities, international stocks, and domestic real estate. The investment policy also establishes allocation and exposure limitations for each class of investments authorized.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

Interest rate risk: Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Deposits: The District's deposits consist of balances held with financial institutions, including nonnegotiable certificates of deposit and money market funds.

Custodial credit risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized. As of June 30, 2018, the District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds.

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following table that shows the distribution of the District's investments by maturity:

Des Moines Independent Community School District (without DMTRS)

	Fair Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Corporate equities—donated	\$ 1,446,549	N/A	N/A	N/A	N/A
Commercial paper	19,815,812	\$ 19,815,812	\$ -	\$ -	\$ -
U.S. Government securities	32,914,926	32,914,926	-	-	-
U.S. Government agency securities	8,579,225	-	8,579,225	-	-
	<u>\$ 62,756,512</u>	<u>\$ 52,730,738</u>	<u>\$ 8,579,225</u>	<u>\$ -</u>	<u>\$ -</u>

Des Moines Teachers' Retirement System (DMTRS)

	Fair Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Money market mutual funds	\$ 4,906,058	N/A	N/A	N/A	N/A
Certificates of deposit	1,959,000	\$ 1,959,000	\$ -	\$ -	\$ -
U.S. Government and agency securities	2,961,472	395,592	-	1,107,720	1,458,160
Corporate equities	45,907,957	N/A	N/A	N/A	N/A
Mortgage-backed securities	15,635,160	637	230,755	4,167,226	11,236,542
Corporate obligations	89,874,327	3,580,170	12,757,610	29,953,786	43,582,761
Preferred stock	771,800	N/A	N/A	N/A	N/A
Municipal bonds	67,365,246	737,668	3,958,246	29,906,285	32,763,047
Other fixed income	5,047,767	-	-	2,680,490	2,367,277
	<u>\$ 234,428,787</u>	<u>\$ 6,673,067</u>	<u>\$ 16,946,611</u>	<u>\$ 67,815,507</u>	<u>\$ 91,407,787</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

Credit risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment policy does not formally address credit risk. The credit ratings for the District's investments are included in the table below. Investments issued or explicitly guaranteed by the U.S. government are not subject to credit risk in accordance with GASB Statement No. 40.

Fair value measurements. The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. The fair value hierarchy categorizes the inputs to valuation techniques used to measure fair value into three levels. Level 1 inputs are quoted prices (unadjusted) for identical assets or liabilities in active markets that a government can access at the measurement date. Level 2 inputs are inputs—other than quoted prices included within Level 1—that are observable for an asset or liability, either directly or indirectly. Level 3 inputs are unobservable inputs for an asset or liability. The fair value hierarchy gives the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs.

Des Moines Independent Community School District (without DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Corporate entities—donated	\$ 1,446,549	\$ -	\$ -	\$ 1,446,549	Not Rated
Commercial paper	-	19,815,812	-	19,815,812	A1 - A1+
U.S. Government securities	-	32,914,926	-	32,914,926	AA+
U.S. Government agency securities	-	8,579,225	-	8,579,225	AA+
	<u>\$ 1,446,549</u>	<u>\$ 61,309,963</u>	<u>\$ -</u>	<u>\$ 62,756,512</u>	

Des Moines Teachers' Retirement System (DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Money market mutual fund	\$ -	\$ 4,906,058	\$ -	\$ 4,906,058	Not Rated
Certificates of deposit	-	1,959,000	-	1,959,000	Not Rated
U.S. Government and agency securities	-	2,961,472	-	2,961,472	AA+
Corporate equities	45,907,957	-	-	45,907,957	Not Rated
Mortgage-backed securities	-	15,635,160	-	15,635,160	Not Rated
Corporate obligations	-	73,472,132	-	73,472,132	A- - AAA
Corporate obligations	-	16,402,195	-	16,402,195	BBB, BBB+
Preferred stock	-	771,800	-	771,800	Not Rated
Municipal bonds	-	67,365,246	-	67,365,246	AA- - AAA
Other fixed income	-	5,047,767	-	5,047,767	A+
	<u>\$ 45,907,957</u>	<u>\$ 188,520,830</u>	<u>\$ -</u>	<u>\$ 234,428,787</u>	

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

Corporate equities and mutual funds: Corporate equities and mutual funds are reported at fair value based on quoted market prices obtained from exchanges.

Corporate obligations, U.S. government agency securities and other fixed income: These investments are reported at fair value based on evaluation using market sources and integrating relative credit information, observed market movements, and sector news into the evaluated pricing applications and models.

U.S. Government securities: U.S. Government securities are reported at fair value based on a bullet (non-call) spread scale for each issuer for maturities going out to forty years. These spreads represent credit risk and are obtained from the new issue market, secondary trading, and dealer quotes. An Option Adjusted Spread (OAS) model is incorporated to adjust spreads of issues that have early redemption features. Final spreads are added to a U.S. Treasury curve. A special cash discounting yield/price routine calculates prices from final yields to accommodate odd coupon payment dates typical of medium-term notes.

Certificates of deposit: Certificates of deposit are reported at fair value based on a multi-dimensional relational model and/or Option Adjusted Spread (OAS).

Mortgage-backed securities: Mortgage-backed securities are reported at fair value via model using various inputs such as but not limited to daily cash flow, snapshots of the TBA market and the US Treasury market, floating rate Indices such as LIBOR, CMT, and Prime as a benchmark yield, spread over index, periodic and life caps, next coupon adjustment date, and convertibility of the bond.

Municipal bonds: Municipal bonds are reported at fair value based on trades, bid price or spread, two-sided markets, quotes, benchmark curves including but not limited to treasury benchmarks and LIBOR and swap curves, market data feeds such as MSRB, financial statements, discount rate, capital rates, and trustee reports.

Preferred stock: Preferred stock is reported at fair value by calculating the appropriate spread over a comparable U.S. Treasury security for each issue. These spreads represent the amount of additional yield required to account for the risks inherent with preferred stocks, including credit, refunding and liquidity. Evaluators obtain benchmark quotes on liquid issues, follow both the listed and new issue market, and focus on changing market conditions.

The District has no assets reported at fair value on a nonrecurring basis and no other investments meeting the fair value disclosure requirements of Governmental Accounting Standards Board (GASB) Statement No. 72.

Concentration of credit risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet all anticipated cash requirements. The District's policy further restricts investments in prime bankers' acceptances and commercial paper to no more than 10 percent of the investment portfolio for each type of investment, excluding DMTRS investments and no more than 5 percent of the investment portfolio can be invested in the securities of a single issuer.

More than 5 percent of the District's investments are with China Cons Bank Corp., Bank of China Ltd., and Federal Farm Credit Bank. These investments are approximately 18 percent, 6 percent and 14 percent, respectively, of the District's total investments. The investments in U.S. Government Securities, Corporate Equities and Corporate obligations, are not subject to concentration of credit risk due to either being guaranteed by the U.S. government, considered a pooled investment, or none of the securities underlying the total investment type is more than 5 percent in any one issuer.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

Custodial credit risk: The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party.

As of June 30, 2018, none of the District's investments were insured, but they were all registered in the District's name and held by the counterparty or the counterparty's trust department.

Note 4. Interfund Receivables/Payables and Transfers

Due to and from other funds as of June 30, 2018 are as follows:

	Due To Other Funds	Due From Other Funds
General fund	\$ -	\$ 9,478,302
Internal service fund, self insurance	9,478,302	-
	<u>\$ 9,478,302</u>	<u>\$ 9,478,302</u>

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$9,478,302 due to other funds in the internal service funds is attributable to a return of premium. Through analysis performed internally and externally, the Self Insurance Fund net position was deemed high compared to the forecast for future claims. As a result, the portion of premium charged through the general fund has been reduced to yield a fund balance more in line with the District's actual experiences and forecasted claims. Over the course of time, these items will level-set and return to normalized premium levels between the general fund and self-insurance fund.

The balances are expected to be collected in the subsequent year.

Advances to and from other funds as of June 30, 2018 are as follows:

	Advances To Other Funds	Advances From Other Funds
Nonmajor enterprise funds	<u>\$ 460,402</u>	<u>\$ 460,402</u>

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$460,402 of advances from other funds in the nonmajor enterprise funds is attributable \$401,472 to the Child Care fund and \$58,930 to the Home Construction fund. These advances will be repaid when the funds are solvent, but they are not expected to be paid in the subsequent year.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 4. Interfund Receivables/Payables and Transfers (Continued)

The following is a schedule of transfers as included in the basic financial statements of the District:

	Transfers In	Transfers Out
Major funds:		
General fund	\$ 1,142,874	\$ 20,000
Capital projects fund	-	18,249,571
Nonmajor governmental funds	18,269,571	-
Nonmajor enterprise fund, school nutrition	-	1,142,874
	<u>\$ 19,412,445</u>	<u>\$ 19,412,445</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them or (2) use unrestricted revenues collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization or Board approval.

Note 5. Capital Assets

A summary of capital asset activity for the year ended June 30, 2018 is as follows:

Governmental Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated:				
Land	\$ 4,139,994	\$ 608,057	\$ -	\$ 4,748,051
Construction-in-progress	16,616,011	23,010,834	20,283,808	19,343,037
Total capital assets, not being depreciated	20,756,005	23,618,891	20,283,808	24,091,088
Capital assets, being depreciated:				
Land improvements	9,868,310	-	-	9,868,310
Buildings and improvements	648,935,509	20,368,818	-	669,304,327
Vehicles, furniture and equipment	28,231,606	1,392,430	1,227,595	28,396,441
Total capital assets, being depreciated	687,035,425	21,761,248	1,227,595	707,569,078
Less accumulated depreciation for:				
Land improvements	(7,868,036)	(210,515)	-	(8,078,551)
Buildings and improvements	(153,008,053)	(12,026,570)	-	(165,034,623)
Vehicles, furniture and equipment	(16,295,433)	(2,000,431)	(1,011,103)	(17,284,761)
Total accumulated depreciation	(177,171,522)	(14,237,516)	(1,011,103)	(190,397,935)
Total capital assets, being depreciated, net	509,863,903	7,523,732	216,492	517,171,143
Governmental activities capital assets, net	<u>\$ 530,619,908</u>	<u>\$ 31,142,623</u>	<u>\$ 20,500,300</u>	<u>\$ 541,262,231</u>
Business-Type Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated, construction-in-progress	\$ 143,279	\$ 34,695	\$ -	\$ 177,974
Capital assets, being depreciated:				
Vehicles, furniture and equipment	6,244,621	203,723	152,681	6,295,663
Less accumulated depreciation	(3,865,726)	(364,218)	(126,648)	(4,103,296)
Total capital assets, being depreciated, net	2,378,895	(160,495)	26,033	2,192,367
Business-type activities capital assets, net	<u>\$ 2,522,174</u>	<u>\$ (125,800)</u>	<u>\$ 26,033</u>	<u>\$ 2,370,341</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 5. Capital Assets (Continued)

Depreciation expense was charged to the District's functions as follows:

Governmental activities:

Instruction	\$ 12,275,267
Noninstructional	280,279
Business and central administration	738,379
Plant operation and maintenance	241,128
Student transportation	701,550
Capital assets held by the District's internal service funds are charged to the various functions based on their usage of the assets	913
Total	<u><u>\$ 14,237,516</u></u>

Business-type activities:

School nutrition	\$ 363,110
Automotive	1,108
	<u><u>\$ 364,218</u></u>

Note 6. Long-Term Liabilities and Bonds Payable

The following is a summary of changes in bonds payable and other long-term liabilities for the year ended June 30, 2018:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Sales tax revenue bonds	\$ 162,510,000	\$ 56,235,000	\$ 12,655,000	\$ 206,090,000	\$ 15,405,000
Bond premiums	5,690,611	4,476,168	853,096	9,313,683	-
Retrospective insurance rating plan	451,313	222,411	112,099	561,625	-
Special termination benefits	8,703,566	8,697,500	3,539,391	13,861,675	2,602,988
Compensated absences	3,742,931	4,204,251	3,859,917	4,087,265	3,730,193
Other postemployment benefits	64,589,820	9,439,257	4,576,507	69,452,570	-
Net pension liability	192,341,194	10,594,802	-	202,935,996	-
Pollution remediation	-	79,202	-	79,202	-
Long-term liabilities	<u>\$ 438,029,435</u>	<u>\$ 93,948,591</u>	<u>\$ 25,596,010</u>	<u>\$ 506,382,016</u>	<u>\$ 21,738,181</u>
Business-type activities:					
Compensated absences	\$ 178,428	\$ 310,140	\$ 184,107	\$ 304,461	\$ 270,975
Net pension liability	7,843,537	474,890	-	8,318,427	-
Long-term liabilities	<u>\$ 8,021,965</u>	<u>\$ 785,030</u>	<u>\$ 184,107</u>	<u>\$ 8,622,888</u>	<u>\$ 270,975</u>

Compensated absences and other postemployment benefits are generally liquidated by the General Fund and the retrospective insurance rating plan liability is liquidated by the Management Fund, a nonmajor governmental fund. Net pension liabilities will generally be liquidated by the General Fund, School Nutrition and Child Care Funds.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

The District has pledged future statewide penny school infrastructure, services and use tax revenues to repay the \$71,900,000 of bonds issued May 2012 with an interest rate of 4 percent, \$8,780,000 of bonds issued December 2013 with interest rates ranging from 3 percent to 5 percent, and \$61,940,000 of bonds issued May 2014 with interest rates ranging from 3 percent to 5 percent, \$53,655,000 of bonds issued July 2016 with an interest rate of 2 percent and \$56,235,000 of bonds issued April 2018 with interest rates ranging from 3 percent to 5 percent. The bonds were issued for the purpose of financing costs of school infrastructure improvement projects. The bonds are payable solely from the proceeds of the statewide penny school infrastructure, services and use tax revenue received by the District and are payable through 2029. The bonds are not a general obligation of the District; however, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds were expected to require less than 50 percent of the statewide penny school infrastructure, services and use tax revenues. For the current year, principal and interest paid and total statewide penny school infrastructure, services and use tax revenue were \$18,249,571 and \$30,706,897, respectively.

Annual debt service requirements to maturity as of June 30, 2018 for the outstanding sales tax revenue bonds are summarized as follows:

	Governmental Activities		
	Principal	Interest	Total
Year ending June 30:			
2019	\$ 15,405,000	\$ 7,690,026	\$ 23,095,026
2020	16,015,000	6,980,050	22,995,050
2021	16,655,000	6,341,380	22,996,380
2022	17,320,000	5,673,997	22,993,997
2023	18,005,000	4,988,249	22,993,249
2024—2028	100,475,000	14,498,851	114,973,851
2029	22,215,000	782,400	22,997,400
	<u>\$ 206,090,000</u>	<u>\$ 46,954,953</u>	<u>\$ 253,044,953</u>

As of June 30, 2018, the District did not exceed its legal debt margin, computed as follows:

Total assessed valuation	<u>\$ 12,619,183,588</u>
Debt limit of 5% of total assessed valuation	\$ 630,959,179
Amount of debt applicable to debt limit, total general obligation bonded debt	<u>206,090,000</u>
Excess of debt limit over bonded debt issued, legal debt margin	<u>\$ 424,869,179</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

Special termination benefits: Prior to the year ended June 30, 2018, the District offered a special termination benefit to certified teachers and administrators. To be eligible to participate in this Plan, an employee must (1) have attained age 55; (2) have at least 10 consecutive contract years of employment with the District; (3) have worked a minimum of 100 days during the contract year in which he or she elects to participate in this Plan; (4) have not received an official notice of lay off or termination; (5) not be subject to termination pursuant to Iowa Code Section 279.15 or Section 279.27, whether such termination occurs before or after the acceptance of his or her application and (6) otherwise meet the requirements of this Plan. The special termination benefit allows an eligible employee to (1) if at the time of retirement has health insurance, to use the value of their accumulated sick leave benefit and annual special leave to pay for health insurance until they reach the age of 65 and opt for Medicare benefits, with any remaining funds at that time paid out in a single lump sum payment, or (2) if at the time of retirement has no health insurance, or already reached the age of 65, to pay out the value of their accumulated sick leave benefit and annual special leave over five equal annual payments into a tax sheltered annuity of their choice.

Beginning during the year ended June 30, 2018, the District offered a special termination benefit to all employees. To be eligible to participate in this Plan, an employee must (1) have attained age 60; (2) have at least 10 or more years of continuous service as a permanent employee of the District. The special termination benefit allows an eligible employee to receive \$50,000 paid to a tax-sheltered annuity over 1 to 2 years. The amount is prorated based upon the eligible employee's full-time equivalency as of the fiscal year-end date in which the employee elected to participate in the Plan. Eligible employees will also have the option to purchase and participate in the District's group health insurance plan until age 65.

As of June 30, 2018, the District has \$1,929,606 accrued in the Management Fund relating to employees over age 65 as they are considered due and expected to be liquidated with expendable available financial resources, plus an additional amount not due as of June 30, 2018 of \$11,932,069 recorded only in the government-wide financial statements, for a total liability of \$13,861,675. The current year amount paid by the District was \$3,539,391 which consisted of 426 participants in the plan. The special termination benefits are generally liquidated by the Management Fund.

Note 7. Commitments and Contingencies

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal government. The amount, if any, of expenditures that may be disallowed by the grantor cannot be determined at this time, although the District expects such amounts, if any, to be immaterial.

As of June 30, 2018, the District was involved in construction projects with an estimated cost to complete the construction projects of \$9,811,937.

The District leases technology equipment for District schools and administrative offices on a long-term basis. Rental expense for the year ended June 30, 2018 under these leases is \$5,777,800. Following is a schedule of minimum future rentals for noncancelable operating leases in effect at June 30, 2018:

During the year ending June 30:

2019	\$ 5,547,683
2020	4,036,786
2021	2,994,185
2022	1,255,482
	<u>\$ 13,834,136</u>

The above schedule represents operating leases in effect at June 30, 2018. As part of the normal course of business, the District continues to negotiate and/or renegotiate various operating leases.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 8. Risk Management

The District has chosen to establish a risk financing fund for risks associated with the self-insurance plan for medical, dental and vision benefits. The risk financing fund is accounted for as an internal service fund where assets are set aside for claim settlements. The total charge allocated to each of the funds (based upon the percentage of each fund's current year payroll of the District) is calculated using trends in actual claims experience. Losses on medical claims are limited through the purchase of stop-loss insurance to \$150,000 per accident or disease, and 120 percent of actuarially projected claims for the District in total.

The claims liability of \$6,613,731 in the Self Insurance fund is based on the requirements of the Governmental Accounting Standards Board Statement No. 10, *Accounting and Financial Reporting for Risk Financing and Related Insurance Issues*, which requires that a liability for claims be reported if information indicates that it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an estimated amount for claims that have been incurred but not reported (IBNR) which represent estimates of the eventual loss on claims arising prior to year-end. Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Year Ended June 30,	
	2018	2017
Unpaid claims, beginning of year	\$ 4,686,845	\$ 4,734,353
Current year claims and changes in estimates	69,994,248	65,776,295
Claim payments	(68,067,362)	(65,823,803)
Unpaid claims, end of year	<u>\$ 6,613,731</u>	<u>\$ 4,686,845</u>

As of June 30, 2018, the unpaid claims payable of \$6,613,731 is net of \$696,583 of reimbursement receivable that the District expects to receive as it has exceeded its individual stop-loss amount. A total of \$696,583 reinsurance revenue to be received is netted against claims expense.

The District self insures its workers' compensation exposures. As of June 30, 2018, the amount of liabilities recorded for estimated claims payable for workers' compensation was \$4,168,106 of which \$241,316 was recorded in the Management Fund in accounts payable, a nonmajor governmental fund, as that portion of the liability has matured, and an additional \$3,926,790 was recorded in the government-wide statements. Losses on workers' compensation claims are limited through the purchase of stop-loss insurance to \$500,000 per occurrence. Liabilities are reported in the financial statements in accounts payable. Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Year Ended June 30,	
	2018	2017
Unpaid claims, beginning of year	\$ 4,061,956	\$ 3,193,733
Current year claims and changes in estimates	4,676,811	3,033,420
Claim payments	(4,570,661)	(2,165,197)
Unpaid claims, end of year	<u>\$ 4,168,106</u>	<u>\$ 4,061,956</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 8. Risk Management (Continued)

The District's general liability and automobile liability policies are written under a retrospective rating plan where final premium costs are within a specified minimum and maximum premium. For the policy year ended June 30, 2018, various liability claims remain unsettled; therefore, the District has accrued a liability for the maximum potential additional premium that could be payable under the retrospective rating plan of \$561,625. The liability is recorded in the Government-wide financial statements.

The District continues to carry commercial insurance for all other risks of loss. The District has a \$100,000 deductible on property insurance. Settled claims from these risks have not exceeded the planned coverage during any of the past three years.

Note 9. Retirement Systems

Iowa Public Employees' Retirement System:

Plan description: IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension benefits: A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions: Effective July 1, 2012, as a result of a 2010 law change, the contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2018, pursuant to the required rate, Regular members contributed 5.95 percent of pay and the District contributed 8.93 percent for a total rate of 14.88 percent.

The District's contributions to IPERS for the year ended June 30, 2018 were \$22,066,576.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions: At June 30, 2018, the District reported a liability of \$211,254,423 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2017, the District's collective proportion was 3.171386 percent, which was a decrease of 0.009525 percent from its proportion measured as of June 30, 2016.

For the year ended June 30, 2018, the District recognized pension expense of \$10,145,173 and reported deferred outflows of resources and deferred inflows of resources related to the IPERS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,939,517	\$ 1,830,360
Changes of assumptions	36,706,276	-
Net difference between projected and actual earnings on pension plan investments	-	2,206,477
Changes in proportion and differences between District contributions and proportionate share of contributions	7,475,700	408,569
Total deferred amounts to be recognized in pension expense in future periods	46,121,493	4,445,406
District contributions subsequent to the measurement date	22,452,141	-
Total deferred amounts related to pensions	<u>\$ 68,573,634</u>	<u>\$ 4,445,406</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

The \$22,452,141 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2018. Deferred outflows of resources are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of the measurement period, which was 5.30 years and 5.32 years as of June 30, 2018 and 2017, respectively. The deferred inflows relates to the difference between expected and actual investment earnings and is being amortized over a closed 5-year period as of the beginning of each measurement period. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Net
Years ending June 30:	
2019	\$ 8,273,391
2020	18,639,418
2021	10,928,559
2022	1,366,022
2023	2,468,697
	<u>\$ 41,676,087</u>

There were no non-employer contributing entities at IPERS.

Actuarial assumptions: The total pension liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.60 percent
Salary increases	3.25 to 16.25 percent, average, including inflation; rates vary by membership group
Long-term rate of return	7.00 percent, net of investment expense, including inflation

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The demographic actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period ended June 30, 2013.

At the Investment Board's direction, the experience study of IPERS economic assumptions, including the long-term rate of return, was accelerated a year resulting in a full review of the economic assumptions in early 2017. The findings of the experience study on economic assumptions, along with the resulting recommendations, were included in a report dated March 24, 2017.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	27.0%	2.25%
Domestic equity	24.0	6.25
International equity	16.0	6.71
Private equity	11.0	11.15
Public credit	3.5	3.46
Public real assets	7.0	3.27
Private credit	3.0	4.25
Private real assets	7.5	4.18
Cash	1.0	(0.31)
	<u>100.0%</u>	

Discount rate: The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 348,062,539	\$ 211,254,423	\$ 96,309,323

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Payables to the pension plan: At June 30, 2018, the District reported payables to the defined benefit pension plan of \$1,897,620 for legally required employer contributions and \$1,264,372 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Des Moines Teachers' Retirement System:

Plan description: The Des Moines Teachers' Retirement System (DMTRS) Plan and Trust is a single employer pension plan administered by Bankers Trust Capital Management with Wells Fargo Bank, N.A. as custodian of the Plan. The Plan was established in 1953 to offer employees of the school district a choice in planning for their retirement and is a uniquely designed hybrid pension plan as it contains features of both a traditional defined benefit plan, which is very common in the public sector, and a defined contribution plan. The Plan is considered a hybrid plan because investment risk is borne by the participant in the form of a variable account balance, implying a defined contribution plan, however, mortality risk is maintained by the District, which is a defined benefit plan feature. Due to this hybrid feature, the benefit terms cannot be modified.

The District's Board of Education is also the Plan's board and constitutes the trustees. The Plan does not issue a stand-alone financial report.

Basis of accounting: The DMTRS financial statements are prepared on the accrual basis of accounting. Member contributions are recognized in the period in which the contributions are due. The District's contributions are recognized when due and a formal commitment to provide the contributions is made. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan. All plan investments are reported at fair value. Administrative costs of DMTRS are financed through investment earnings.

Employees of the District who are teachers as defined under the Plan are eligible to participate in the Plan. Each teacher may choose to participate in either the Plan or in the Iowa Public Employees Retirement System. The election is made within 30 days of hire. If no election is made, the default is to participate in IPERS. The membership data as of the most recent actuarial valuation date was:

Active members	281
Retirees and beneficiaries currently receiving benefits	855
Inactive members entitled to but not yet receiving benefits	152
	<u>1,288</u>

Plan benefits and death benefits: Upon retirement on or after age 55, the account balance is converted to one of various available forms of monthly benefits payable to the participant, and if elected, a continuing benefit to a surviving spouse.

Contributions: Participants electing to participate in the Plan will have contributions deducted on a pre-tax basis. The contribution will be based on the participant's age at hire and will remain constant for that participant thereafter. The older the participant, the higher the contribution. The Plan's contribution rates range from 6.31 percent to 9.14 percent, dependent on the entry age of the participant. The contribution rates have increased between 30 percent to 45 percent from 2007 to 2015.

An "Employer Matching Contribution" ranging from 7.83 percent to 11.00 percent (120 percent to 124 percent of the employee contribution) will also be made. Both employee and employer contributions are credited to an employee's account balance. The account balance is also credited with plan investment earning allocations.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Investments: The Board of Education established an investment policy guiding the allocation of invested assets. This policy may be amended by the Board of Education. Plan assets are managed on a total return basis with a long-term objective of achieving and maintaining a fully funded status for the benefits provided through the Plan. See additional information about the DMTRS investments in Note 3.

The pension plan shall diversify the investments so as to minimize the risk of large losses unless under the circumstances, it is clearly prudent not to do so.

Asset Class	Asset Allocation	Long-Term Expected Rate of Return
Certificates of deposit	2.6%	2.4%
Money market mutual funds	2.0	2.4
U.S. Government securities	1.3	2.9
Corporate equities	19.4	7.0
Mortgage-backed securities	6.0	3.6
Corporate obligations	39.8	4.1
Preferred stock	0.3	5.5
Municipal bonds	28.1	4.3
Other fixed income	0.5	3.8
	<u>100.0%</u>	

There are no investments in any one organization representing more than 5 percent or more of DMTRS' net position. There are no investments in, loans to, or leases with related parties.

Rate of return: For the year ended June 30, 2018, the annual weighted rate of return on pension plan investments, net of pension plan investment expense was 2.3 percent. The money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Net pension (asset): The total pension liability was determined using an actuarial valuation date of June 30, 2017 rolled forward from the valuation date to the plan's year-end of June 30, 2018 using generally accepted actuarial principles and methods.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

A schedule of the District's changes in its net pension asset for DMTRS for the year ended June 30, 2018 is as follows:

Total pension liability	
Service cost	\$ 3,093,833
Interest	10,600,709
Differences between expected and actual experience	454,936
Changes of assumptions	(205,296)
Benefit payments, including refunds of member contributions	(16,736,075)
Net change in total pension liability	(2,791,893)
 Total pension liability - beginning	 229,993,947
Total pension liability - ending (a)	\$ 227,202,054
 Plan fiduciary net position	
Contributions - employer	\$ 1,707,565
Contributions - members	1,386,268
Net investment income	5,467,803
Benefit payments, including refunds of member contributions	(16,736,075)
Administrative expense	(89,897)
Net change in plan fiduciary net position	(8,264,336)
 Plan fiduciary net position—beginning	 245,098,374
Plan fiduciary net position—ending (b)	\$ 236,834,038
 Net pension (asset)—ending (a) - (b)	 \$ (9,631,984)
 Plan fiduciary net position as a percentage of the total pension liability	 104.2%

Actuarial assumptions: The total pension liability in the June 30, 2017 actuarial valuation was determined using a 4.75 percent investment rate of return with mortality rates based on the RP-2014 Mortality Table for Males or Females, as appropriate, with adjustments for MP-2017 projections. The actuarial assumptions used in the June 30, 2017 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Discount rate: The discount rate used to measure the total pension liability was 4.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Sensitivity of the District's net pension (asset) to changes in the discount rate: The following presents the District's net pension (asset) calculated using the discount rate of 4.75 percent, as well as what the District's net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (3.75 percent) or 1-percentage-point higher (5.75 percent) than the current rate.

	1% Decrease (3.75%)	Discount Rate (4.75%)	1% Increase (5.75%)
District's net pension liability (asset) as of June 30, 2017	\$ 638,075	\$ (9,631,984)	\$ (18,455,400)

Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions: For the year ended June 30, 2018, the District recognized an overall credit to pension expense of \$147,811. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to the DMTRS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 3,172,957	\$ 1,092,005
Changes of assumptions	3,667,076	4,498,692
Net difference between projected and actual earnings on pension plan investments	4,804,362	-
Total deferred amounts related to pensions	<u>\$ 11,644,395</u>	<u>\$ 5,590,697</u>

Deferred outflows of resources and deferred inflows of resources related to the differences between expected and actual experience and changes of assumptions are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of the measurement period, which was 7 years as of both June 30, 2018 and 2017. The deferred inflows of resources related to the difference between expected and actual investment earnings is being amortized over a closed 5-year period as of the beginning of each measurement period. Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Years ending June 30:	
2019	\$ 2,490,673
2020	2,088,485
2021	1,439,225
2022	922,729
2023	(923,076)
Thereafter	35,662
	<u>\$ 6,053,698</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Aggregate pension related amounts for all plans are as follows:

	IPERS	DMTRS	Total
Net pension liability	\$ 211,254,423	\$ -	\$ 211,254,423
Net pension asset	-	9,631,984	9,631,984
Deferred outflows of resources, pension related amounts	68,573,634	11,644,395	80,218,029
Deferred inflows of resources, pension related amounts	4,445,406	5,590,697	10,036,103
Pension expense	10,145,173	(147,811)	9,997,362

Deferred inflows and outflows of resources related to both pension plans will be recognized in pension expense as follows:

Years ended June 30:

2019	\$ 10,764,064
2020	20,727,903
2021	12,367,784
2022	2,288,751
2023	1,545,621
Thereafter	35,662
	<u>47,729,785</u>

Deferred outflows of resources, pension related amounts - District contributions to IPERS subsequent to the measurement date

22,452,141
<u>\$ 70,181,926</u>

Note 10. Other Postemployment Benefits

Plan description: The District sponsors a single-employer health care plan that provides three self-funded medical plans including prescription drug benefits to all active and retired employees and their eligible dependents. Retiree coverage begins for employees who have attained age 55 prior to the beginning of the subsequent contract year and have at least 10 consecutive contract years of employment and continues until the retiree is Medicare eligible at age 65. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements within the sections of the Code. The plan does not issue a stand-alone financial report.

Funding policy: The current funding policy of the District is to pay health claims as they occur through internal allocated funds. For employees who retired on or before June 30, 2002, the District provides a 100 percent subsidy to the full cost of coverage for both retiree and dependent coverage. For employees who retire on or after June 30, 2002, Des Moines School District provides no subsidy. The health insurance plan contributions on behalf of employees are established and amended through negotiation by management and the union and governed by the District's union contracts.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 10. Other Postemployment Benefits (Continued)

The required contribution is based on projected pay-as-you-go financing. For fiscal year 2018, the District contributed \$2,971,963. Retiree and active members receiving benefits contributed through their required monthly contributions of:

Rate Tier	Fiscal Year 2018 Alliance Select	Fiscal Year 2018 Blue Access
Employee	\$ 617.63	\$ 602.17
Employee + One	1,177.82	1,148.34
Family	1,877.60	1,830.60

Employees covered by benefit terms: At June 30, 2018, the following employees were covered by the benefit terms:

Current retirees, beneficiaries and dependents	193
Current active members, fully eligible for benefits	1,007
Current active members, not yet fully eligible for benefits	3,949
	<u>5,149</u>

Total OPEB Liability: The District's total OPEB liability of \$69,452,570 was measured as of June 30, 2018, and was determined by an actuarial valuation as of that date.

The total OPEB liability in the June 30, 2018 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	3.00%
Salary increases	2.00%
Discount rate	3.87%
Healthcare cost trend rates	6.50 percent for medical and perscription benefits for 2018 and 4.00 percent for administrative fees for 2018, decreasing 0.50 percent per year to an ultimate rate of 4.50 percent for 2022 and later years

The discount rate was based on the Bond Buyer 20-Bond GO Index.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 10. Other Postemployment Benefits (Continued)

Mortality rates were based on the RP-2014 generational table scaled using MP-17 and applied on a gender-specific basis. It is assumed that 50 percent of future retirees cover a spouse at retirement. This is based on the current retiree spouse election percentages. All current and future retirees are assumed to be eligible for Medicare at age 65. The participation percentage is the assumed rate of future eligible retirees who elect to continue health coverage at retirement. It is assumed that 70 percent of all employees and their dependents who are eligible for early retiree benefits will participate in the retiree medical plan.

Based on current retiree plan elections, future retirees are assumed to elect plan coverage at the following rates:

Alliance Select	52%
Blue Access	48%

Changes in the Total OPEB Liability:

	Total OPEB Liability
Balance as of June 30, 2017	\$ 64,589,820
Changes for the year:	
Service cost	6,736,438
Interest	2,702,819
Changes in assumptions or other inputs	(1,604,544)
Contributions and payments made	(2,971,963)
Net changes	4,862,750
Balance as of June 30, 2018	<u>\$ 69,452,570</u>

Changes of assumptions and other inputs reflect a change in the discount rate from 3.58 percent in 2017 to 3.87 percent in 2018 and reduction of health care cost trend rates by 0.50 percent as the rates decrease towards the ultimate rates as assumed.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the approximate total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.87 percent) or 1-percentage-point higher (4.87 percent) than the current discount rate:

	1% Decrease (2.87%)	Discount Rate (3.87%)	1% Increase (4.87%)
Total OPEB liability	\$ 63,732,000	\$ 69,453,000	\$ 75,773,000

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 10. Other Postemployment Benefits (Continued)

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the approximate total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (5.50 percent decreasing to 3.50 percent) or 1-percentage-point higher (7.50 percent decreasing to 5.50 percent) than the current healthcare cost trend rates:

	1% Decrease (5.50% decreasing to 3.50%)	Healthcare Cost Trend Rates (6.50% decreasing to 4.50%)	1% Increase (7.50% decreasing to 5.50%)
Total OPEB liability	\$ 59,024,000	\$ 69,453,000	\$ 80,467,000

OPEB expense and deferred outflows of resources and deferred inflows of resources related to OPEB: For the year ended June 30, 2018, the District recognized OPEB expense of \$8,971,080. At June 30, 2018, the District reported deferred inflows of resources related to OPEB from changes in assumptions as other inputs in the amount of \$5,044,226.

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

	Deferred Inflows of Resources
Years ending June 30:	
2019	\$ (468,177)
2020	(468,177)
2021	(468,177)
2022	(468,177)
2023	(468,177)
Thereafter	(2,703,341)
	<u>\$ (5,044,226)</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 11. Tax Abatements

GASB Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2018 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Des Moines, Iowa	Urban renewal and economic development projects	\$ 4,828,333
City of Pleasant Hill, Iowa	Urban renewal and economic development projects	142
City of Windsor Heights, Iowa	Urban renewal and economic development projects	9,185
		<u>\$ 4,837,660</u>

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2018, the District received \$1,648,551 of State Foundation Aid Replacement from the State of Iowa to replace \$5.40/per \$1,000 of assessed valuation lost due to tax increment financing tax abatements paid by the above listed municipalities.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 12. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications and clarifies definitions for governmental fund types. The details for the District's fund balance as of June 30, 2018 are as follows:

Fund Balances:	General	Capital Projects	Nonmajor Governmental	Total
Nonspendable:				
Inventories	\$ 714,205	\$ -	\$ -	\$ 714,205
Prepays	1,830,901	-	85,338	1,916,239
Permanent Trust	-	-	9,878	9,878
Total Nonspendable	2,545,106	-	95,216	2,640,322
Restricted:				
Student activities	-	-	1,534,076	1,534,076
Management levy purposes	-	-	3,679,252	3,679,252
Physical plant and equipment	-	-	9,716,205	9,716,205
Public education and recreation	-	-	446,357	446,357
DMPS expendable trust	-	-	3,183,817	3,183,817
Capital projects	-	112,536,963	-	112,536,963
Permanent trust	-	-	(419)	(419)
Categorical funding	15,273,165	-	-	15,273,165
Shared programs	954,162	-	-	954,162
Special education	402,536	-	-	402,536
Grants	347,703	-	-	347,703
Total restricted	16,977,566	112,536,963	18,559,288	148,073,817
Committed:				
Common core projects	5,000,000	-	-	5,000,000
Technology	6,500,000	-	-	6,500,000
Total committed	11,500,000	-	-	11,500,000
Assigned:				
Technology	1,163,755	-	-	1,163,755
Parent pay reserve	1,558,328	-	-	1,558,328
Total assigned	2,722,083	-	-	2,722,083
Unassigned	50,372,420	-	-	50,372,420
Total fund balances	\$ 84,117,175	\$ 112,536,963	\$ 18,654,504	\$ 215,308,642

Nonspendable:

Inventories: These dollars have been committed and spent on inventories that have yet to be consumed.

Prepaid items: These dollars have been spent on expenditures that relate to subsequent fiscal years.

Permanent trust: The principal of the District's permanent fund is legally or contractually required to be maintained intact.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 12. Fund Balances (Continued)

Restricted:

The following list of funds are restricted per Department of Ed policy or explicitly stated in Iowa code. Please refer to Note 1 for a description of each funds restricted purpose:

- Student Activities
- Management Levy Purposes
- Physical Plant and Equipment (PPEL)
- Public Education and Recreation (PERL)
- DMPS Expendable Trust
- Capital Projects
- Permanent Trust

Categorical funding: These are funds that Des Moines Public Schools has received from State and Federal sources. These dollars have to be spent in accordance with the guidelines defined by each of these categories. These programs include, but are not limited to:

- 4-Year Old Preschool
- Early Childhood
- English Language Learners (Students that English is not their first language)
- Nonpublic Textbooks
- Professional Development
- Professional Development specifically for the Common Core implementation
- Success Early Readers
- Gifted & Talented
- Teacher Leadership/Teacher Mentoring
- Medicaid Reimbursement
- Special Education Reserve to be utilized for special education related expenditures

Grants: These are funds that have been granted to Des Moines Public Schools from Federal, State or Local sources. These funds can only be spent as defined by the grant.

Shared Programs Reserve: These funds have been set aside to allow students to take classes outside of their core classes. These courses allow students to take college level courses and Career courses that will help transfer these credits to a college after graduation.

Committed:

Curriculum: These funds have been set aside to help Des Moines Public Schools continue to develop Common Core Strategies across the district now and in future years. This initiative will require significant resources and manpower to help the District move forward to this goal.

Curriculum Technology: These funds have been set aside for Curriculum Technology as we move toward the Common Core Strategies and continue to move Des Moines Public Schools into the future state of learning in the 21st Century.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 12. Fund Balances (Continued)

Assigned:

Technology: These are funds that have been set aside to make sure that Des Moines Public Schools can maintain and improve its current technology infrastructure. This enables the students and employees to have access to the technology needs for the present and the future.

Parent pay reserve: The District has several pre-school programs serving more than 1,900 students, including multiple funding sources. In most cases, half of the school day is covered through the state-funded Universal Preschool Program. The remaining portion of the day is often covered by fees charged to parents (referred to as parent pay revenue). As a result, the District assigned the remaining funds in the parent pay account to be utilized for future pre-school needs.

Note 13. Pending Governmental Accounting Standards Board (GASB) Pronouncements

The GASB has issued several statements not yet implemented by the District. The Statements which might impact the District are as follows:

- GASB Statement No. 83, *Certain Asset Retirement Obligations*, issued December 2016, will be effective for the District beginning with its fiscal year ending June 30, 2019. Under Statement No. 83, a government that has legal obligations to perform future asset retirement activities related to its tangible capital assets is required to recognize a liability and a corresponding deferred outflow of resources. The Statement identifies the circumstances that trigger the recognition of these transactions. The Statement also requires the measurement of an asset retirement obligation to be based on the best estimate of the current value of outlays expected to be incurred while the deferred outflow of resources associated with the asset retirement obligation will be measured at the amount of the corresponding liability upon initial measurement and generally recognized as an expense during the reporting periods that the asset provides service. The Statement requires disclosures including a general description of the asset retirement obligation and associated tangible capital assets; the source of the obligation to retire the assets; the methods and assumptions used to measure the liability; and other relevant information.
- GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. Statement No. 84 is designed to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities.
- GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. Statement No 87, is designed to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 13. Pending Governmental Accounting Standards Board (GASB) Pronouncements (Continued)

- GASB Statement No. 88, *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placement*, issued March 2018, will be effective for the District beginning with its fiscal year ending June 30, 2019. Statement No. 88 clarifies which liabilities governments should include in their note disclosures related to debt. This Statement defines debt that must be disclosed in the notes to financial statements as a liability that arises from a contractual obligation to pay cash in one or more payments to settle an amount that is fixed at the date the contractual obligation is established. Governments must also disclose amounts of unused lines of credit, assets pledged as collateral for debt and the terms specified in debt agreements related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses. Within the notes, governments should separate information regarding direct borrowings and direct placements of debt from other debt.
- GASB Statement No. 89, *Accounting for Interest Cost Incurred Before the End of a Construction Period*, issued June 2018, will be effective for the District beginning with its fiscal year ending June 30, 2019. Statement No. 89 requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or enterprise fund.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Des Moines Independent Community School District

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

	June 30:	
	2018	2017
Total OPEB Liability:		
Service cost	\$ 6,736,438	\$ 6,485,451
Interest	2,702,819	2,415,343
Changes of assumptions and other inputs	(1,604,544)	(4,247,673)
Contributions and payments made	(2,971,963)	(2,091,035)
Net change in total OPEB liability	4,862,750	2,562,086
Total OPEB liability, beginning	64,589,820	62,027,734
Total OPEB liability, ending	<u>\$ 69,452,570</u>	<u>\$ 64,589,820</u>
Covered employee payroll	<u>\$ 270,536,351</u>	<u>\$ 262,230,859</u>
Total OPEB liability as a percentage of covered-employee payroll	<u>25.67%</u>	<u>24.63%</u>

Notes to schedule:

Changes of assumptions. Changes of assumptions and other inputs reflect the changes in the discount rate each period. The following are discount rates used in each period.

2016	2.85%
2017	3.58
2018	3.87

The following are health care cost trend rates used in each period.

2016-2017—7.00 percent for medical and prescription benefits and 4.50 percent for administrative fees, decreasing 0.50 per year to an ultimate rate of 4.50 percent for 2022 and later years.

2018—6.50 percent for medical and prescription benefits and 4.00 percent for administrative fees, decreasing 0.50 per year to an ultimate rate of 4.00 percent for 2022 and later years.

GASB 75 requires the presentation of 10 years of information. However, until a full 10-year trend is compiled, the District will present information for those years which information is available.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System**

	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015
District's proportion of the net pension liability	3.171386%	3.180910%	3.109113%	2.990126%
District's proportionate share of the net pension liability	\$ 211,254,423	\$ 200,184,731	\$ 153,605,231	\$ 121,012,958
District's covered-employee payroll	\$ 236,726,377	\$ 228,344,150	\$ 213,014,784	\$ 199,662,244
District's proportionate share of the net pension liability as a percentage of its covered payroll	89.24%	87.67%	72.11%	60.61%
Plan fiduciary net position as a percentage of the total pension liability	82.21%	81.82%	85.19%	87.61%

Note: GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present information for those years for which information is available.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of the District's Contributions
Iowa Public Employees' Retirement System**

Fiscal Year Ended June 30,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Valuation Payroll	Actual Contribution as a Percentage of Covered Valuation Payroll
2018	\$ 21,937,488	\$ 21,937,488	\$ -	245,660,552	8.93%
2017	21,139,663	21,139,663	-	236,726,377	8.93
2016	20,391,133	20,391,133	-	228,344,150	8.93
2015	19,022,220	19,022,220	-	213,014,784	8.93
2014	17,947,600	17,947,600	-	199,662,244	8.99
2013	16,364,515	16,364,515	-	N/A	N/A
2012	14,947,018	14,947,018	-	N/A	N/A
2011	12,599,247	12,599,247	-	N/A	N/A
2010	12,066,415	12,066,415	-	N/A	N/A
2009	11,531,747	11,531,747	-	N/A	N/A

N/A - information is not available for this fiscal year.

Des Moines Independent Community School District

Note to Required Supplementary Information Iowa Public Employees' Retirement System

The information presented in the required supplementary schedule was determined as part of the June 30, 2017 and 2016 actuarial valuations.

June 30, 2017 actuarial valuation:

Frequency	Annual
Cost method	Entry age normal
Amortization	The amortization method uses a level percentage of payroll over a closed 30-year period.
Assumptions:	
Long-term rate of return	7.0% per year, net of investment expense, including inflation
Salary increases	3.25% to 16.25% per year, average, including inflation
Inflation rate	2.60% per year
Retirement age	Normal retirement age begins at 55. 65th birthday or age 62 with 20 years of service or rule of 88, with a minimum age of 55.
Mortality	RP-2000 General Mortality Tables, with age setbacks and age set forwards as well as other adjustments based on different membership groups.

June 30, 2016 actuarial valuation:

Frequency	Annual
Cost method	Entry age normal
Amortization	The amortization method uses a level percentage of payroll over a closed 30-year period.
Assumptions:	
Long-term rate of return	7.5% per year, net of investment expense, including inflation
Salary increases	4% to 17% per year, average, including inflation
Inflation rate	3.0% per year
Retirement age	Normal retirement age begins at 55. 65th birthday or age 62 with 20 years of service or rule of 88, with a minimum age of 55.
Mortality	RP-2000 General Mortality Tables, with age setbacks and age set forwards as well as other adjustments based on different membership groups.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Changes in Net Pension (Asset)
Des Moines Teachers' Retirement System**

	2018	2017	2016	2015
Total Pension Liability				
Interest	\$ 10,600,709	\$ 11,061,733	\$ 13,296,891	\$ 11,540,872
Service cost	3,093,833	3,170,939	3,406,928	3,540,132
Benefit payments	(16,736,075)	(16,737,133)	(16,089,811)	(15,741,167)
Difference between expected and actual experience	454,936	(659,353)	4,733,074	-
Changes in assumptions	(205,296)	(6,051,814)	-	-
Unadjusted difference to statement of net position	-	-	-	(2,395,304)
Net change in total pension liability	(2,791,893)	(9,215,628)	5,347,082	(3,055,467)
Total pension liability—beginning of year	229,993,947	239,209,575	233,862,493	236,917,960
Total pension liability—end of year	\$ 227,202,054	\$ 229,993,947	\$ 239,209,575	\$ 233,862,493
Plan Net Position				
Contributions—employer	\$ 1,707,565	\$ 1,809,156	\$ 1,880,180	\$ 1,940,452
Contributions—members	1,386,268	1,383,568	1,526,748	1,599,680
Investment income, net of investment expenses	5,467,803	8,976,669	15,786,080	9,342,942
Benefit payments	(16,736,075)	(16,737,133)	(16,089,811)	(15,741,167)
Administrative expenses	(89,897)	(86,307)	(92,792)	(197,373)
Net change in plan net position	(8,264,336)	(4,654,047)	3,010,405	(3,055,466)
Total plan net position—beginning of year	245,098,374	249,752,421	246,742,016	249,797,482
Total plan net position—end of year	\$ 236,834,038	\$ 245,098,374	\$ 249,752,421	\$ 246,742,016
Net pension (asset)	\$ (9,631,984)	\$ (15,104,427)	\$ (10,542,846)	\$ (12,879,523)

See note to required supplementary information.

2014	2013	2012	2011	2010	2009
\$ 10,694,208	\$ 11,114,714	\$ 11,108,011	\$ 10,494,061	\$ 10,693,221	\$ 11,442,310
3,486,593	3,378,539	3,688,025	4,002,473	4,146,141	4,093,191
(15,527,208)	(14,784,760)	(14,225,762)	(14,507,397)	(13,981,258)	(14,013,785)
(2,173,638)	548,767	(457,090)	2,229,875	1,438,977	717,089
12,834,761	-	-	-	-	-
-	-	-	-	-	-
9,314,716	257,260	113,184	2,219,012	2,297,081	2,238,805
227,603,244	227,345,984	227,232,800	225,013,788	222,716,707	220,477,902
\$ 236,917,960	\$ 227,603,244	\$ 227,345,984	\$ 227,232,800	\$ 225,013,788	\$ 222,716,707
\$ 1,766,655	\$ 1,707,967	\$ 1,990,777	\$ 2,161,435	\$ 2,228,161	\$ 2,188,015
1,719,938	1,670,572	1,697,248	1,841,038	1,917,980	1,905,176
20,652,265	5,954,025	25,620,970	18,665,905	25,353,987	4,467,082
(15,527,208)	(14,784,760)	(14,225,762)	(14,507,397)	(13,981,258)	(14,013,785)
(201,969)	(307,487)	(281,635)	(258,575)	(251,656)	(238,037)
8,409,681	(5,759,683)	14,801,598	7,902,406	15,267,214	(5,691,549)
241,387,802	247,147,485	232,345,887	224,443,481	209,176,267	214,867,816
\$ 249,797,483	\$ 241,387,802	\$ 247,147,485	\$ 232,345,887	\$ 224,443,481	\$ 209,176,267
\$ (12,879,523)	\$ (13,784,558)	\$ (19,801,501)	\$ (5,113,087)	\$ 570,307	\$ 13,540,440

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Net Pension Liability (Asset) and Related Ratios
Des Moines Teachers' Retirement System**

	2018	2017	2016	2015
Total pension liability—end of year	\$ 227,202,054	\$ 229,993,947	\$ 239,209,575	\$ 233,862,493
Plan net position—end of year	236,834,038	245,098,374	249,752,421	246,742,016
Net pension liability (asset)	\$ (9,631,984)	\$ (15,104,427)	\$ (10,542,846)	\$ (12,879,523)
Plan net position as a percentage of the total pension liability	104.2%	106.6%	104.4%	105.5%
Covered employee payroll	\$ 20,381,987	\$ 19,420,566	\$ 19,971,785	\$ 25,125,460
Net pension liability (asset) as a percentage of covered payroll	(47.3)%	(77.8)%	(52.8)%	(51.2)%

See note to required supplementary information.

2014	2013	2012	2011	2010	2009
\$ 236,917,960	\$ 227,603,244	\$ 227,345,984	\$ 227,232,800	\$ 225,013,788	\$ 222,716,707
249,797,483	241,387,802	247,147,485	232,345,887	224,443,481	209,176,267
\$ (12,879,523)	\$ (13,784,558)	\$ (19,801,501)	\$ (5,113,087)	\$ 570,307	\$ 13,540,440
105.4%	106.1%	108.7%	102.3%	99.7%	93.9%
\$ 26,211,873	\$ 27,639,623	\$ 29,907,522	\$ 32,622,539	\$ 35,954,555	\$ 35,852,865
(49.1)%	(49.9)%	(66.2)%	(15.7)%	1.6%	37.8%

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Money-Weighted Rate of Return
Des Moines Teachers' Retirement System**

Plan year ended June 30:

2009	2.1%
2010	12.4
2011	8.5
2012	11.3
2013	2.5
2014	8.8
2015	3.8
2016	6.6
2017	3.7
2018	2.3

See note to required supplementary information.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Contributions From the District
Des Moines Teachers' Retirement System**

Plan Year Ended June 30,	Annual Required Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contributions as a Percent of Covered Payroll
2009	\$ 4,093,191	\$ 4,093,191	\$ -	\$ 35,852,865	11.4%
2010	4,146,141	4,146,141	-	35,954,555	11.5
2011	4,002,473	4,002,473	-	32,622,539	12.3
2012	3,688,025	3,688,025	-	29,907,522	12.3
2013	3,378,539	3,378,539	-	27,639,623	12.2
2014	3,486,593	3,486,593	-	26,211,873	13.3
2015	3,540,132	3,540,132	-	25,125,460	14.1
2016	3,406,928	3,406,928	-	19,971,785	17.1
2017	3,192,724	3,192,724	-	19,420,566	16.4
2018	3,093,833	3,093,833	-	20,381,987	15.1

See note to required supplementary information.

Des Moines Independent Community School District

Note to Required Supplementary Information Des Moines Teachers' Retirement System

The information presented in the required supplementary schedule was determined as part of the June 30, 2017 actuarial valuation.

Actuarial valuation:

Frequency	Annual
Cost method	Not applicable

Amortization	The amortization method used is Level Dollar Over a Closed Period. The weighted average remaining period is 15 years.
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Assumptions:

Long-term rate of return	4.75%
Salary increases	Not applicable
Retirement age	Normal retirement age begins at 55.

Mortality	RP-2014 Mortality with Scale MP-2017—Generational Annuitant and Nonannuitant, male and female.
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Disability	Not applicable
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The information presented in the required supplementary schedule was determined as part of the June 30, 2016 actuarial valuation.

Actuarial valuation:

Frequency	Annual
Cost method	Not applicable

Amortization	The amortization method used is Level Dollar Over a Closed Period. The weighted average remaining period is 15 years.
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Assumptions:

Long-term rate of return	4.75%
Salary increases	Not applicable
Retirement age	Normal retirement age begins at 55.

Mortality	RP-2014 Mortality with Scale MP-2016 - Generational Annuitant and Nonannuitant, male and female.
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Disability	Not applicable
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Des Moines Independent Community School District

**Required Supplementary Information—Budgetary Comparison Schedule—
All Governmental Funds, Enterprise Funds and Private Purpose Trust Funds
Year Ended June 30, 2018**

	Actual			
	Governmental Fund Types	Enterprise Funds	Private Purpose Trust Funds	Total
Revenues:				
Local sources	\$ 163,398,729	\$ 7,550,680	\$ 37,869	\$ 170,987,278
Intermediate sources	816,427	-	-	816,427
State sources	293,820,917	180,864	-	294,001,781
Federal sources	37,575,065	19,149,098	-	56,724,163
Total revenues	495,611,138	26,880,642	37,869	522,529,649
Expenditures/Expenses:				
Instruction	283,694,521	-	-	283,694,521
Support services	159,420,081	133,939	-	159,554,020
Noninstructional	2,692,121	26,342,978	43,969	29,079,068
Other	57,826,165	-	-	57,826,165
Total expenditures/expenses	503,632,888	26,476,917	43,969	530,153,774
Excess (deficiency) of revenues over expenditures/expenses	(8,021,750)	403,725	(6,100)	(7,624,125)
Other financing sources (uses):				
Proceeds from sale of capital assets	239,930	-	-	239,930
Issuance of revenue bonds	56,235,000	-	-	56,235,000
Premiums on revenue bonds	4,476,168	-	-	4,476,168
Transfers in	19,412,445	-	-	19,412,445
Transfers (out)	(18,269,571)	(1,142,874)	-	(19,412,445)
Net change in fund balances/net position	\$ 54,072,222	\$ (739,149)	\$ (6,100)	\$ 53,326,973

Note: Capital project expenditures have been classified according to function for budgetary comparison purposes.

See note to required supplementary information.

Budget		
Original	Final	Final Budget to Actual Variance
\$ 159,802,919	\$ 159,802,919	\$ 11,184,359
681,452	681,452	134,975
298,687,542	298,687,542	(4,685,761)
58,978,782	58,978,782	(2,254,619)
518,150,695	518,150,695	4,378,954
286,941,780	289,621,819	(5,927,298)
150,002,928	160,686,541	(1,132,521)
28,805,391	30,079,332	(1,000,264)
73,040,046	66,552,893	(8,726,728)
538,790,145	546,940,585	(16,786,811)
(20,639,450)	(28,789,890)	21,165,765
10,840	10,840	229,090
-	-	56,235,000
-	-	4,476,168
18,249,571	18,375,170	1,037,275
(18,249,571)	(18,375,170)	(1,037,275)
\$ (20,628,610)	\$ (28,779,050)	\$ 82,106,023

Des Moines Independent Community School District

Note to Required Supplementary Information – Budgetary Comparison Schedule

Note 1. Basis of Presentation

The District operates within the budget requirements for school districts as specified by state law and as prescribed by the Iowa Department of Management. Budgets are prepared in accordance with accounting principles generally accepted in the United States of America (GAAP).

For the fiscal year beginning July 1, a proposed budget is adopted by the Board and filed with the County Auditor no later than April 15. The budget is certified by the County Auditor to the Department of Management.

Once adopted, the budget can be amended by the Board. The amendment must be published and a public hearing conducted prior to the amendment. Any amendments must be certified to the County Auditor no later than May 31. The proposed expenditure budget is advertised in the local newspaper, together with a notice of public hearing.

The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is the functional area for budgeted governmental, enterprise, and private purpose trust funds in total, rather than by individual fund type. Formal and legal budgetary control is based on four major classes of expenditures known as functional areas. These four functional areas are instruction, support services, noninstructional programs and other expenditures. During the year ended June 30, 2018, the District was below budget in all four functional areas. Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. Authorized expenditures cannot exceed the lesser of the certified budget plus any allowable amendments, or the authorized budget, which is the sum of the District's cost for that year plus the actual miscellaneous income received for that year plus the actual unspent balance from the preceding year. Appropriations as adopted and amended lapse at the end of the fiscal year.

During the year, one budget amendment increased budgeted expenditures by \$8,150,440.

The District is required by the Code of Iowa to budget for its share of media, educational services and special education support provided through the local area education agency. The District's actual amount for this purpose totaled \$14,751,903 for the year ended June 30, 2018.

NONMAJOR GOVERNMENTAL FUNDS

Special Revenue Funds

Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

Management: This fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

DMPS (expendable trust funds): This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Debt Service Fund

Accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest.

Capital Projects Funds

Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment Levy (PPEL): This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL): This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Permanent Funds

The Permanent Trust Fund accounts for transactions that are received in trust in which only the interest earned, and not the principal itself, can be used to support the District.

Des Moines Independent Community School District

**Combining Balance Sheet
All Nonmajor Governmental Funds
June 30, 2018**

	Special Revenue		
	Student Activity	Management	DMPS
Assets			
Cash and investments	\$ 1,873,602	\$ 5,828,488	\$ 1,769,119
Restricted investments	-	-	1,446,549
Property taxes receivable—current year	-	83,301	-
Property taxes receivable—succeeding year	-	11,856,240	-
Other receivables	5,198	-	-
Prepaid items	2,005	-	-
Total assets	\$ 1,880,805	\$ 17,768,029	\$ 3,215,668
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 340,310	\$ 241,315	\$ 31,851
Accrued payroll	1,633	-	-
Special termination benefits	-	1,929,606	-
Other current liabilities	-	-	-
Due to other governments	2,781	61,616	-
Total liabilities	344,724	2,232,537	31,851
Deferred inflows of resources, succeeding year, property taxes	-	11,856,240	-
Fund balances:			
Nonspendable	2,005	-	-
Restricted	1,534,076	3,679,252	3,183,817
Total fund balances	1,536,081	3,679,252	3,183,817
Total liabilities, deferred inflows of resources and fund balances	\$ 1,880,805	\$ 17,768,029	\$ 3,215,668

Capital Projects				
Physical Plant and Equipment Levy	Public Education and Recreation Levy	Permanent	Total Nonmajor Governmental Funds	
\$ 10,603,738	\$ 511,836	\$ 9,459	\$ 20,596,241	
-	-	-	1,446,549	
64,427	8,778	-	156,506	
7,975,602	1,000,370	-	20,832,212	
-	896	-	6,094	
-	83,333	-	85,338	
<u>\$ 18,643,767</u>	<u>\$ 1,605,213</u>	<u>\$ 9,459</u>	<u>\$ 43,122,940</u>	

\$ 919,761	\$ 74,338	\$ -	\$ 1,607,574	
-	780	-	2,413	
-	-	-	1,929,606	
32,199	-	-	32,199	
-	35	-	64,432	
<u>951,960</u>	<u>75,153</u>	<u>-</u>	<u>3,636,224</u>	

7,975,602	1,000,370	-	20,832,212	
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-	83,333	9,878	95,216	
9,716,205	446,357	(419)	18,559,288	
<u>9,716,205</u>	<u>529,690</u>	<u>9,459</u>	<u>18,654,504</u>	

<u>\$ 18,643,767</u>	<u>\$ 1,605,213</u>	<u>\$ 9,459</u>	<u>\$ 43,122,940</u>	
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Des Moines Independent Community School District

**Combining Statement of Revenues, Expenditures and Changes in Fund Balances
All Nonmajor Governmental Funds
Year Ended June 30, 2018**

	Special Revenue		
	Student Activity	Management	DMPs
Revenues:			
Property taxes	\$ -	\$ 9,330,713	\$ -
Other local sources	-	-	83,130
Investment earnings (losses)	14,270	-	(36,082)
Student activities	2,507,212	-	19,145
Total revenues	2,521,482	9,330,713	66,193
Expenditures:			
Current:			
Instruction	2,569,776	3,437,177	54,675
Student services	-	537,756	-
Instructional support services	-	-	14,672
General administration	-	938,487	-
Building administration	-	176,401	-
Business and central administration	-	108,101	-
Plant operation and maintenance	-	1,989,055	82,519
Student transportation	-	1,840,003	-
Noninstructional	-	906,780	-
Capital outlay	-	-	-
Debt service:			
Principal retirement	-	-	-
Interest	-	-	-
Total expenditures	2,569,776	9,933,760	151,866
Excess (deficiency) of revenues over expenditures	(48,294)	(603,047)	(85,673)
Other financing sources (uses):			
Issuance of refunding revenue bonds	-	-	-
Payments to escrow agent	-	-	-
Proceeds from sale of capital assets	-	-	-
Transfers in	20,000	-	-
Total other financing sources (uses)	20,000	-	-
Net change in fund balances	(28,294)	(603,047)	(85,673)
Fund balances, beginning of year	1,564,375	4,282,299	3,269,490
Fund balances, end of year	\$ 1,536,081	\$ 3,679,252	\$ 3,183,817

		Capital Projects			
		Physical Plant and Equipment	Public Education and Recreation		
Debt Service		Levy	Levy	Permanent	Total Nonmajor Governmental Funds
\$	-	\$ 7,641,516	\$ 972,429	\$ -	\$ 17,944,658
	-	485,893	297,650	-	866,673
	-	79,635	-	84	57,907
	-	-	59,591	-	2,585,948
	-	8,207,044	1,329,670	84	21,455,186
	-	992,634	55,532	-	7,109,794
	-	-	-	-	537,756
	-	-	15,831	-	30,503
	-	-	-	-	938,487
	-	-	-	-	176,401
	-	109,402	56,888	-	274,391
	-	2,679,832	-	-	4,751,406
	-	969,591	-	-	2,809,594
	-	-	684,623	2,226	1,593,629
	-	3,048,128	419,342	-	3,467,470
12,655,000	-	-	-	-	12,655,000
5,594,571	-	-	-	-	5,594,571
18,249,571	7,799,587	1,232,216	2,226	39,939,002	
(18,249,571)	407,457	97,454	(2,142)	(18,483,816)	
53,655,000	-	-	-	53,655,000	
(53,655,000)	-	-	-	(53,655,000)	
-	10,000	-	-	10,000	
18,249,571	-	-	-	18,269,571	
18,249,571	10,000	-	-	18,279,571	
-	417,457	97,454	(2,142)	(204,245)	
-	9,298,748	432,236	11,601	18,858,749	
\$	-	\$ 9,716,205	\$ 529,690	\$ 9,459	\$ 18,654,504

NONMAJOR ENTERPRISE FUNDS

Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

School Nutrition Fund

This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund

This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund

This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund

This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Des Moines Independent Community School District

**Combining Statement of Net Position
All Nonmajor Enterprise Funds
June 30, 2018**

	School Nutrition	Child Care	Home Construction
Assets			
Current assets:			
Cash and cash equivalents	\$ 2,494,895	\$ 50	\$ -
Other receivables, net	227,911	1,230,649	-
Due from other governments	13,452	-	-
Inventories	637,533	-	-
Prepaid expenses	-	575	-
Assets held for sale	-	-	9,500
Total current assets	3,373,791	1,231,274	9,500
Noncurrent assets:			
Capital assets:			
Nondepreciable	-	-	177,974
Depreciable, net	2,182,874	-	-
Advanced to other funds	460,402	-	-
Total noncurrent assets	2,643,276	-	177,974
Total assets	6,017,067	1,231,274	187,474
Deferred Outflow of Resources,			
Pension related amounts	1,980,996	793,800	-
Liabilities			
Current liabilities:			
Accounts payable	110,486	42,183	6,225
Accrued payroll	36,673	70,790	-
Due to other governments	282	353	34
Unearned revenue	313,190	18,605	-
Compensated absences	218,985	51,990	-
Total current liabilities	679,616	183,921	6,259
Noncurrent liabilities:			
Advances from other funds	-	401,472	58,930
Compensated absences	32,744	742	-
Net pension liability	5,924,343	2,394,084	-
Total noncurrent liabilities	5,957,087	2,796,298	58,930
Total liabilities	6,636,703	2,980,219	65,189
Deferred Inflow of Resources,			
pension related amounts	166,930	195,589	-
Net Position (Deficit)			
Investment in capital assets	2,182,874	-	177,974
Unrestricted (deficit)	(988,444)	(1,150,734)	(55,689)
Total net position (deficit)	\$ 1,194,430	\$ (1,150,734)	\$ 122,285

Automotive		Total	
\$	76,579	\$	2,571,524
	-		1,458,560
	-		13,452
	-		637,533
	-		575
	-		9,500
	76,579		4,691,144
	-		177,974
	9,493		2,192,367
	-		460,402
	9,493		2,830,743
	86,072		7,521,887
	-		2,774,796
	1,521		160,415
	-		107,463
	-		669
	-		331,795
	-		270,975
	1,521		871,317
	-		460,402
	-		33,486
	-		8,318,427
	-		8,812,315
	1,521		9,683,632
	-		362,519
	9,493		2,370,341
	75,058		(2,119,809)
\$	84,551	\$	250,532

Des Moines Independent Community School District

Combining Statement of Revenues, Expenses and Changes in Fund Net Position (Deficit)
All Nonmajor Enterprise Funds
Year Ended June 30, 2018

	School Nutrition	Child Care	Home Construction
Operating revenues:			
Student activities	\$ -	\$ -	\$ -
Charges for services:			
Sale of food	1,697,329	-	-
Child care	-	5,699,860	-
Total operating revenues	1,697,329	5,699,860	-
Operating expenses:			
Student services	20,231,234	-	-
Depreciation	363,110	-	-
Community services	-	5,843,523	1,112
Total operating expenses	20,594,344	5,843,523	1,112
Operating loss	(18,897,015)	(143,663)	(1,112)
Nonoperating revenues (expenses):			
Other local sources	112,646	-	9,500
State sources	180,864	-	-
Federal sources	19,149,098	-	-
Gain on disposal of capital assets	3,252	-	-
Total nonoperating revenues	19,445,860	-	9,500
Transfers out	(1,142,874)	-	-
Income (loss)	(594,029)	(143,663)	8,388
Total net position (deficit), beginning of year	1,788,459	(1,007,071)	113,897
Total net position (deficit), end of year	\$ 1,194,430	\$ (1,150,734)	\$ 122,285

Automotive		Total	
\$	28,093	\$	28,093
	-		1,697,329
	-		5,699,860
	28,093		7,425,282
	36,830		20,268,064
	1,108		364,218
	-		5,844,635
	37,938		26,476,917
	(9,845)		(19,051,635)
	-		122,146
	-		180,864
	-		19,149,098
	-		3,252
	-		19,455,360
	-		(1,142,874)
	(9,845)		(739,149)
	94,396		989,681
\$	84,551	\$	250,532

Des Moines Independent Community School District

Combining Statement of Cash Flows All Nonmajor Enterprise Funds Year Ended June 30, 2018

	School Nutrition	Child Care	Home Construction
Cash flows from operating activities:			
Cash received from user charges	\$ 1,683,603	\$ 5,107,224	\$ -
Cash payments to employees for services	(9,580,545)	(4,867,864)	-
Cash payments to suppliers for goods and services	(8,985,204)	(878,889)	4,067
Net cash provided by (used in) operating activities	(16,882,146)	(639,529)	4,067
Cash flows from noncapital financing activities:			
Payments from other funds	-	401,472	30,628
Payments to other funds	(1,603,276)	-	-
Grants and donations received	18,168,754	-	-
Net cash provided by noncapital financing activities	16,565,478	401,472	30,628
Cash flows from capital and related financing activities:			
Proceeds from sale of capital assets	29,285	-	-
Acquisition of capital assets	(203,723)	-	(34,695)
Net cash used in noncapital financing activities	(174,438)	-	(34,695)
Net increase (decrease) in cash and cash equivalents	(491,106)	(238,057)	-
Cash and cash equivalents, beginning of year	2,986,001	238,107	-
Cash and cash equivalents, end of year	<u>\$ 2,494,895</u>	<u>\$ 50</u>	<u>\$ -</u>
Reconciliation of operating (loss) to net cash provided by (used in) operating activities:			
Operating (loss)	\$ (18,897,015)	\$ (143,663)	\$ (1,112)
Adjustments to reconcile operating (loss) to net cash provided by (used in) operating activities:			
Depreciation	363,110	-	-
Commodities used	1,303,578	-	-
Changes in assets and liabilities:			
Receivables	24,787	(588,469)	-
Prepaid items	-	(475)	-
Accounts payable and due to other governments	(71,509)	(26,457)	5,179
Unearned revenue	(38,513)	(4,167)	-
Accrued liabilities and compensated absences	142,251	(20,360)	-
Net pension liability	317,700	157,190	-
Deferred outflows of resources	(127,047)	(182,197)	-
Deferred inflows of resources	100,512	169,069	-
Net cash provided by (used in) operating activities	\$ (16,882,146)	\$ (639,529)	\$ 4,067
Noncash items:			
Noncapital financing activities, commodities received from U.S. Department of Agriculture	<u>\$ 1,303,578</u>	<u>\$ -</u>	<u>\$ -</u>
Noncapital financing activities, donations received	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 9,500</u>

Automotive		Total	
\$	28,600	\$	6,819,427
	-		(14,448,409)
	(36,689)		(9,896,715)
	(8,089)		(17,525,697)
	-		432,100
	28,302		(1,574,974)
	-		18,168,754
	28,302		17,025,880
	-		29,285
	-		(238,418)
	-		(209,133)
	20,213		(708,950)
	56,366		3,280,474
\$	76,579	\$	2,571,524
\$	(9,845)	\$	(19,051,635)
	1,108		364,218
	-		1,303,578
	507		(563,175)
	-		(475)
	141		(92,646)
	-		(42,680)
	-		121,891
	-		474,890
	-		(309,244)
	-		269,581
\$	(8,089)	\$	(17,525,697)
\$	-	\$	1,303,578
\$	-	\$	9,500

INTERNAL SERVICE FUNDS

The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis.

Self-Insurance Fund

This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed in Note 1.

Risk Management Fund

This fund accounts for transactions for certain health insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed in Note 1.

Print Shop Fund

This fund accounts for transactions for print shop and copying services.

Des Moines Independent Community School District

**Combining Statement of Net Position
All Internal Service Funds
June 30, 2018**

	Self-Insurance	Risk Management	Print Shop	Total
Assets				
Current assets:				
Cash and cash equivalents	\$ 24,915,150	\$ 343,409	\$ 77,038	\$ 25,335,597
Other receivables	-	-	2,822	2,822
Inventories	-	-	37,040	37,040
Total current assets	24,915,150	343,409	116,900	25,375,459
Noncurrent assets, depreciable capital assets, net	-	-	12,249	12,249
Total assets	24,915,150	343,409	129,149	25,387,708
Liabilities				
Current liabilities:				
Accounts payable	-	-	35,113	35,113
Claims payable	6,613,731	-	-	6,613,731
Accrued payroll	-	147,567	4,213	151,780
Due to other governments	224,756	-	-	224,756
Unearned revenue	88,615	-	360	88,975
Compensated absences	-	-	6,301	6,301
Due to other funds	9,478,302	-	-	9,478,302
Other	-	-	209	209
Total current liabilities	16,405,404	147,567	46,196	16,599,167
Net Position				
Investment in capital assets	-	-	12,249	12,249
Unrestricted	8,509,746	195,842	70,704	8,776,292
Total net position	\$ 8,509,746	\$ 195,842	\$ 82,953	\$ 8,788,541

Des Moines Independent Community School District

**Combining Statement of Revenues, Expenses and Changes in Fund Net Position (Deficit)
All Internal Service Funds
Year Ended June 30, 2018**

	Self-Insurance	Risk Management	Collage	Print Shop	Total
Operating revenues:					
Charges for services:					
Employee benefits	\$ 67,698,189	\$ 954,550	\$ -	\$ -	\$ 68,652,739
Miscellaneous	-	-	-	1,413,600	1,413,600
Total operating revenues	67,698,189	954,550	-	1,413,600	70,066,339
Operating expenses:					
Claims and related costs	69,994,248	948,869	-	-	70,943,117
Depreciation	-	-	-	913	913
Miscellaneous	2,268	-	-	1,396,197	1,398,465
Total operating expenses	69,996,516	948,869	-	1,397,110	72,342,495
Change in net position	(2,298,327)	5,681	-	16,490	(2,276,156)
Total net position, beginning of year	10,808,073	190,161	-	66,463	11,064,697
Total net position, end of year	\$ 8,509,746	\$ 195,842	\$ -	\$ 82,953	\$ 8,788,541

Des Moines Independent Community School District

Combining Statement of Cash Flows All Internal Service Funds Year Ended June 30, 2018

	Self-Insurance	Risk Management	Print Shop	Total
Cash flows from operating activities:				
Cash received from user charges	\$ 67,722,408	\$ 954,550	\$ 1,413,780	\$ 70,090,738
Cash payments to employees for services	-	-	(447,259)	(447,259)
Cash payments to suppliers for goods and services	(68,044,635)	(1,044,107)	(927,578)	(70,016,320)
Net cash provided by (used in) operating activities	(322,227)	(89,557)	38,943	(372,841)
Cash flows from noncapital financing activities, proceeds from other funds	108,528	-	-	108,528
Net increase (decrease) in cash and cash equivalents	(213,699)	(89,557)	38,943	(264,313)
Cash and cash equivalents, beginning of year	25,128,849	432,966	38,095	25,599,910
Cash and cash equivalents, end of year	<u>\$ 24,915,150</u>	<u>\$ 343,409</u>	<u>\$ 77,038</u>	<u>\$ 25,335,597</u>
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:				
Operating income (loss)	\$ (2,298,327)	\$ 5,681	\$ 16,490	\$ (2,276,156)
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:				
Depreciation	-	-	913	913
Changes in assets and liabilities:				
Other receivables		-	(256)	(256)
Inventories	-	-	43,934	43,934
Prepaid expenses	20	-	173	193
Accounts payable and due to other governments	24,975	(94,887)	(21,969)	(91,881)
Claims payable	1,926,886	-	-	1,926,886
Unearned revenue	24,219	-	180	24,399
Accrued liabilities	-	(351)	(522)	(873)
Net cash provided by (used in) operating activities	\$ (322,227)	\$ (89,557)	\$ 38,943	\$ (372,841)

AGENCY FUND

This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in these funds. The District only reports assets and liabilities for this fund.

Des Moines Independent Community School District

Statement of Changes in Assets and Liabilities

Agency Fund

Year Ended June 30, 2018

	Balance June 30, 2017	Additions	Deletions	Balance June 30, 2018
Faculty and Staff				
Assets				
Cash and cash equivalents	\$ 137,082	\$ 94,510	\$ 115,574	\$ 116,018
Prepaid expenses	500	-	500	-
Total assets	\$ 137,582	\$ 94,510	\$ 116,074	\$ 116,018
Liabilities				
Accounts payable	\$ 6,277	\$ 61,274	\$ 54,465	\$ 13,086
Due to other entities	131,305	94,390	122,763	102,932
Total liabilities	\$ 137,582	\$ 155,664	\$ 177,228	\$ 116,018

Des Moines Independent Community School District

Statistical Section

Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	98 - 113
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	114 - 120
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	121 - 126
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	127 - 128
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	129 - 151

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial report for the relevant year.

Des Moines Independent Community School District

Net Position By Component Current and Previous Nine Fiscal Years (Accrual Basis Of Accounting) (Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Governmental activities:				
Net investment in capital assets	\$ 295,531,637	\$ 321,900,574	\$ 338,928,488	\$ 359,352,093
Restricted	27,723,729	26,709,665	31,199,263	29,005,666
Unrestricted	17,189,578	10,363,873	14,951,604	35,135,095
Total governmental activities net position	\$ 340,444,944	\$ 358,974,112	\$ 385,079,355	\$ 423,492,854
Business-type activities:				
Investment in capital assets	\$ 2,606,657	\$ 2,411,710	\$ 2,283,505	\$ 1,989,314
Restricted	-	-	-	-
Unrestricted	(2,512,906)	(2,236,234)	(1,365,198)	(245,440)
Total business-type activities net position	\$ 93,751	\$ 175,476	\$ 918,307	\$ 1,743,874
Primary government:				
Net investment in capital assets	\$ 298,138,294	\$ 324,312,284	\$ 341,211,993	\$ 361,341,407
Restricted	27,723,729	26,709,665	31,199,263	29,005,666
Unrestricted	14,676,672	8,127,639	13,586,406	34,889,655
Total primary government net position	\$ 340,538,695	\$ 359,149,588	\$ 385,997,662	\$ 425,236,728

Source: Comprehensive Annual Financial Report

Note: The District adopted GASB Statement Nos. 68 and 71 in fiscal year 2015. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2015.

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year											
2013		2014		2015		2016		2017		2018	
\$	373,455,547	\$	385,508,379	\$	403,601,966	\$	409,270,357	\$	424,605,987	\$	441,037,719
	28,273,606		27,692,220		28,487,506		36,241,306		38,432,829		34,985,107
	50,099,198		55,256,442		(73,620,226)		(77,773,524)		(122,405,143)		(143,143,029)
\$	451,828,351	\$	468,457,041	\$	358,469,246	\$	367,738,139	\$	340,633,673	\$	332,879,797
\$	2,002,716	\$	2,035,725	\$	2,233,660	\$	2,411,601	\$	2,522,174	\$	2,370,341
	-		-		-		-		-		-
	321,461		1,614,094		(3,097,678)		(1,905,390)		(1,532,493)		(2,119,809)
\$	2,324,177	\$	3,649,819	\$	(864,018)	\$	506,211	\$	989,681	\$	250,532
\$	375,458,263	\$	387,544,104	\$	405,835,626	\$	411,681,958	\$	427,128,161	\$	443,408,060
	28,273,606		27,692,220		28,487,506		36,241,306		38,432,829		34,985,107
	50,420,659		56,870,536		(76,717,904)		(79,678,914)		(123,937,636)		(145,262,838)
\$	454,152,528	\$	472,106,860	\$	357,605,228	\$	368,244,350	\$	341,623,354	\$	333,130,329

Des Moines Independent Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Current and Previous Nine Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Expenses:				
Governmental activities:				
Instructional	\$ 238,676,928	\$ 245,423,324	\$ 251,762,378	\$ 256,812,271
Student services	20,471,493	22,488,603	20,562,462	20,196,523
Instructional support services	8,445,248	8,263,149	11,926,860	11,652,847
General administration	5,282,473	4,442,422	4,752,013	4,779,422
Building administration	18,902,199	19,797,129	17,692,429	18,738,332
Business and central administration	8,354,561	7,660,791	7,465,018	11,704,743
Plant operation and maintenance	35,647,890	33,438,106	32,500,882	32,450,434
Student transportation	10,518,100	10,352,087	10,699,109	10,861,366
Noninstructional	2,055,069	3,143,025	6,831,871	4,204,202
AEA support	11,511,318	12,463,876	12,878,207	11,699,768
Interest on long-term debt	709,817	897,462	3,254,529	3,008,867
Total governmental activities expenses	360,575,096	368,369,974	380,325,758	386,108,775
Business-type activities:				
School nutrition	14,790,948	14,429,088	13,730,822	14,063,935
Child care	3,468,091	2,947,012	3,055,421	3,337,286
Other	97,908	138,258	127,902	108,656
Total business-type activities expenses	18,356,947	17,514,358	16,914,145	17,509,877
Total primary government expenses	\$ 378,932,043	\$ 385,884,332	\$ 397,239,903	\$ 403,618,652
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 10,625,291	\$ 9,745,572	\$ 10,548,824	\$ 10,008,887
Support services	12,351,149	13,282,400	13,354,070	12,568,464
Operating grants and contributions	75,779,208	97,746,607	90,715,067	88,937,932
Capital grants and contributions	3,436,715	597,248	89,825	650,000
Total governmental activities program revenues	102,192,363	121,371,827	114,707,786	112,165,283

(Continued)

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ 258,926,988	\$ 269,507,255	\$ 275,533,672	\$ 285,545,061	\$ 299,588,285	\$ 314,831,138
20,673,660	21,897,132	23,458,269	23,906,378	25,416,663	29,403,392
12,021,171	13,454,781	15,425,505	23,602,238	26,269,291	26,859,782
5,186,473	6,199,577	7,383,479	8,571,037	8,078,756	10,643,955
18,779,363	19,406,283	21,862,042	23,089,264	24,415,186	23,840,018
9,892,503	14,198,791	17,476,884	17,624,834	18,899,917	17,079,473
34,339,085	39,242,957	39,177,136	39,189,530	38,016,319	41,362,030
11,151,818	13,022,397	12,735,357	12,982,765	14,155,962	15,199,931
2,904,231	2,171,793	3,991,896	7,497,669	3,414,227	4,982,212
12,235,407	13,086,762	13,829,063	13,974,996	14,162,548	14,751,903
7,368,345	6,216,637	7,291,619	6,758,235	5,564,932	5,676,396
393,479,044	418,404,365	438,164,922	462,742,007	477,982,086	504,630,230
15,869,943	16,888,843	18,413,290	19,257,934	20,596,296	20,594,344
3,589,842	3,804,322	3,455,013	3,911,144	4,829,288	5,843,523
32,246	47,399	29,958	32,125	25,452	39,050
19,492,031	20,740,564	21,898,261	23,201,203	25,451,036	26,476,917
\$ 412,971,075	\$ 439,144,929	\$ 460,063,183	\$ 485,943,210	\$ 503,433,122	\$ 531,107,147
\$ 9,694,289	\$ 9,796,930	\$ 8,118,482	\$ 10,242,839	\$ 10,662,079	\$ 10,680,233
13,396,056	14,256,785	14,997,758	14,870,394	15,240,574	15,631,811
76,875,344	73,477,654	81,089,328	89,892,845	93,119,480	95,083,902
-	13,668	84,894	101,867	-	-
99,965,689	97,545,037	104,290,462	115,107,945	119,022,133	121,395,946

Des Moines Independent Community School District

Expenses, Program Revenues and Net (Expense) Revenue (Continued)

Current and Previous Nine Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Business-type activities:				
Charges for services:				
School nutrition	\$ 4,299,682	\$ 3,722,647	\$ 2,945,912	\$ 2,816,185
Child care	3,221,833	2,695,149	3,053,866	3,451,999
Other	67,550	104,511	96,197	93,344
Operating grants and contributions	10,324,686	11,061,636	11,561,001	11,973,916
Capital grants and contributions	-	-	-	-
Total business-type program revenues	17,913,751	17,583,943	17,656,976	18,335,444
Total primary government program revenues	\$ 120,106,114	\$ 138,955,770	\$ 132,364,762	\$ 130,500,727
Net (expense) revenue:				
Governmental activities	\$ (258,382,733)	\$ (246,998,147)	\$ (265,617,972)	\$ (273,943,492)
Business-type activities	(443,196)	69,585	742,831	(825,567)
Total primary government net expense	\$ (258,825,929)	\$ (246,928,562)	\$ (264,875,141)	\$ (274,769,059)

Source: Comprehensive Annual Financial Report

Note: The District adopted GASB Statement Nos. 68 and 71 in fiscal year 2015. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2015.

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ 2,743,057	\$ 2,753,299	\$ 2,131,101	\$ 1,926,629	\$ 1,810,790	\$ 1,809,975
3,465,978	3,799,779	3,904,107	4,369,310	4,858,437	5,699,860
62,249	53,245	30,043	32,029	43,523	37,593
13,801,050	14,772,639	17,127,503	18,243,464	19,222,218	19,333,214
-	9,365	-	-	-	-
20,072,334	21,388,327	23,192,754	24,571,432	25,934,968	26,880,642
\$ 120,038,023	\$ 118,933,364	\$ 127,483,216	\$ 139,679,377	\$ 144,957,101	\$ 148,276,588
\$ (293,513,355)	\$ (320,859,328)	\$ (333,874,460)	\$ (347,634,062)	\$ (358,959,953)	\$ (383,234,284)
580,303	647,763	1,294,493	1,370,229	483,932	403,725
\$ (292,933,052)	\$ (320,211,565)	\$ (332,579,967)	\$ (346,263,833)	\$ (358,476,021)	\$ (382,830,559)

Des Moines Independent Community School District

General Revenues and Total Change in Net Position Current and Previous Nine Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Net (expense) revenue:				
Governmental activities	\$ (258,382,733)	\$ (246,998,147)	\$ (265,617,972)	\$ (273,943,492)
Business-type activities	(443,196)	69,585	742,831	(825,567)
Total primary government net expense	(258,825,929)	(246,928,562)	(264,875,141)	(274,769,059)
General revenues and other changes in net position:				
Governmental activities:				
Property taxes:				
Levied for general purposes	89,272,177	90,708,731	95,287,091	102,565,196
Levied for management	9,168,606	9,406,937	9,881,280	10,158,367
Levied for property, plant, and equipment	6,313,191	6,522,074	6,716,504	6,877,426
Levied for playground	796,190	816,470	857,952	881,995
Sales tax, for capital projects	28,221,919	28,617,206	24,730,755	26,113,779
State foundation aid	151,858,708	127,914,804	151,836,554	163,593,289
Investment earnings	623,796	189,740	835,448	64,564
Other local sources	1,115,926	999,696	1,130,782	2,102,375
State sources	1,301,720	8,999	76,686	-
Transfers	-	(12,140)	-	-
Gain on sale of assets	-	354,798	370,163	-
Total governmental activities	288,672,233	265,527,315	291,723,215	312,356,991
Business-type activities:				
Transfers	-	12,140	-	-
Total business-type activities	-	12,140	-	-
Total primary government	288,672,233	265,539,455	291,723,215	312,356,991
Change in net position:				
Governmental activities	30,289,500	18,529,168	26,105,243	38,413,499
Business-type activities	(443,196)	81,725	742,831	(825,567)
Total primary government	\$ 29,846,304	\$ 18,610,893	\$ 26,848,074	\$ 37,587,932

Source: Comprehensive Annual Financial Report

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ (293,513,355)	\$ (320,859,328)	\$ (333,874,460)	\$ (347,634,062)	\$ (358,959,953)	\$ (383,234,284)
580,303	647,763	1,294,493	1,370,229	483,932	403,725
(292,933,052)	(320,211,565)	(332,579,967)	(346,263,833)	(358,476,021)	(382,830,559)
100,387,919	103,598,448	101,357,950	110,669,219	115,462,200	117,223,840
9,939,725	10,136,078	12,704,254	8,500,956	8,832,673	9,330,713
6,830,405	6,956,453	6,917,190	7,203,640	7,463,306	7,641,516
863,021	880,069	892,877	921,927	953,982	972,429
27,431,076	27,898,170	30,840,252	30,991,151	31,115,408	30,737,734
174,578,921	186,285,458	193,830,409	195,304,005	199,399,080	204,551,888
377,933	533,415	296,406	1,517,487	1,163,645	2,471,733
1,439,852	1,877,806	1,394,310	1,794,570	2,260,799	1,407,681
-	-	-	-	-	-
-	(677,879)	33,252	-	462	1,142,874
-	-	-	-	-	-
321,848,852	337,488,018	348,266,900	356,902,955	366,651,555	375,480,408
-	677,879	(33,252)	-	(462)	(1,142,874)
-	677,879	(33,252)	-	(462)	(1,142,874)
321,848,852	338,165,897	348,233,648	356,902,955	366,651,093	374,337,534
28,335,497	16,628,690	14,392,440	9,268,893	7,691,602	(7,753,876)
580,303	1,325,642	1,261,241	1,370,229	483,470	(739,149)
\$ 28,915,800	\$ 17,954,332	\$ 15,653,681	\$ 10,639,122	\$ 8,175,072	\$ (8,493,025)

Des Moines Independent Community School District

Fund Balances, Governmental Funds Current and Previous Nine Fiscal Years (modified accrual basis of accounting) (Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
General Fund:				
Nonspendable	\$ -	\$ -	\$ 638,607	\$ 520,900
Restricted	-	-	14,421,417	12,777,279
Committed	-	-	2,935,317	2,916,046
Assigned	-	-	-	-
Unassigned	-	-	20,607,861	45,507,578
Reserved	11,476,112	14,228,420	-	-
Unreserved	12,224,448	6,888,005	-	-
Total General Fund	\$ 23,700,560	\$ 21,116,425	\$ 38,603,202	\$ 61,721,803
All other governmental funds:				
Nonspendable	\$ -	\$ -	\$ -	\$ 10,628
Restricted	-	-	70,379,409	128,843,474
Committed	-	-	-	-
Assigned	-	-	-	-
Unassigned	-	-	-	-
Reserved	2,826,104	7,923,547	-	-
Unreserved, reported in:				
Capital projects funds	6,030,119	67,995,512	-	-
Debt service	-	-	-	-
Permanent funds	1,641	1,647	-	-
Special revenue funds	10,887,744	10,596,876	-	-
Total all other governmental funds	\$ 19,745,608	\$ 86,517,582	\$ 70,379,409	\$ 128,854,102

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, implemented in fiscal year 2011.

Source: Comprehensive Annual Financial Report

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ 427,883	\$ 1,133,969	\$ 1,722,676	\$ 2,022,946	\$ 2,678,098	\$ 2,545,106
9,777,870	8,471,647	12,395,621	19,449,024	20,113,274	16,977,566
6,632,403	11,500,000	11,500,000	11,500,000	11,500,000	11,500,000
8,000,000	8,000,000	4,717,021	2,270,271	2,747,894	2,722,083
49,196,424	47,321,858	43,870,654	45,777,595	45,264,493	50,372,420
-	-	-	-	-	-
-	-	-	-	-	-
\$ 74,034,580	\$ 76,427,474	\$ 74,205,972	\$ 81,019,836	\$ 82,303,759	\$ 84,117,175
\$ 39,965	\$ 16,465	\$ 114,706	\$ 13,350	\$ 97,759	\$ 95,216
97,382,007	152,135,180	125,919,770	94,019,857	78,834,902	131,096,251
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
\$ 97,421,972	\$ 152,151,645	\$ 126,034,476	\$ 94,033,207	\$ 78,932,661	\$ 131,191,467

Des Moines Independent Community School District

Governmental Funds Revenues

Current and Previous Nine Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Federal sources, federal grants and other outside sources	\$ 35,826,527	\$ 55,991,777	\$ 48,798,707	\$ 48,888,317
State sources, state foundation aid and other sources	223,093,252	192,453,672	221,209,615	228,487,920
Intermediate sources	827,589	490,869	425,109	380,240
Local sources, local and other sources	132,472,139	132,623,625	138,629,243	146,897,837
Total revenues	\$ 392,219,507	\$ 381,559,943	\$ 409,062,674	\$ 424,654,314

Source: Comprehensive Annual Financial Report

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ 37,849,720	\$ 30,009,399	\$ 33,148,580	\$ 31,271,845	\$ 33,821,414	\$ 37,575,065
241,334,568	256,973,716	270,150,009	283,148,964	288,229,705	293,820,917
540,171	708,970	767,417	807,026	906,897	816,427
141,367,663	147,356,203	148,062,066	155,787,365	161,068,816	163,398,729
\$ 421,092,122	\$ 435,048,288	\$ 452,128,072	\$ 471,015,200	\$ 484,026,832	\$ 495,611,138

Des Moines Independent Community School District

Governmental Funds Expenditures and Debt Service Ratio

Current and Previous Nine Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Instruction	\$ 232,694,472	\$ 232,362,118	\$ 235,454,394	\$ 242,468,897
Student services	20,831,163	21,746,835	19,847,087	20,447,634
Instructional support services	8,604,544	8,101,158	11,724,151	11,547,096
General administration	5,175,484	4,399,564	4,490,055	4,691,758
Building administration	19,539,562	19,622,589	17,422,604	18,905,852
Business and central administration	7,447,867	7,232,503	7,930,388	11,037,950
Plant operation & maintenance	35,133,406	32,886,528	31,519,245	31,561,906
Student transportation	9,876,399	9,602,623	9,825,338	10,185,732
Non-instructional	2,020,184	2,092,321	2,253,303	2,458,060
AEA support	11,511,318	12,463,876	12,878,207	11,699,768
Capital outlay	22,482,126	38,124,836	39,884,842	41,985,618
Capital outlay not capitalized	4,114,439	3,392,283	7,772,199	5,138,277
Debt service:				
Principal retirement	18,810,000	520,000	3,180,000	2,590,000
Interest	741,648	39,078	4,334,020	3,418,000
Payment to escrow agent	-	-	-	-
Bond issuance costs	-	499,051	-	1,299,592
Total expenditures	\$ 398,982,612	\$ 393,085,363	\$ 408,515,833	\$ 419,436,140
Debt service as a percentage of noncapital expenditures	5.48%	0.16%	2.08%	1.62%

Source: Comprehensive Annual Financial Report

Note: The increase in percentage in fiscal year 2009 is due to early retirement of sales tax revenue bonds. Debt service as a percentage of noncapital expenditures is calculated by dividing total debt service expenditures (principal and interest) by total noncapital expenditures (the difference between total expenditures and capitalized capital outlay expenditures).

Fiscal Year											
2013		2014		2015		2016		2017		2018	
\$	248,569,469	\$	258,355,855	\$	268,167,131	\$	269,163,315	\$	277,942,567	\$	283,694,521
	20,677,284		21,660,306		23,058,840		23,649,011		25,386,339		29,100,096
	12,220,238		13,537,582		14,992,771		23,319,060		25,988,683		26,717,537
	5,086,112		6,217,049		7,287,867		8,604,467		8,031,356		9,096,670
	19,269,977		19,518,195		21,595,487		22,990,624		24,004,917		23,469,984
	9,440,413		12,741,906		16,491,865		16,864,453		17,653,942		15,894,969
	33,601,546		38,768,237		38,400,905		37,564,110		36,891,726		40,785,171
	10,403,066		12,304,303		11,976,509		12,589,191		13,630,046		14,355,654
	1,741,450		1,842,754		2,197,270		2,840,290		2,530,080		2,692,121
	12,235,407		13,086,762		13,829,063		13,974,996		14,162,548		14,751,903
	51,387,286		40,938,222		41,088,513		40,928,413		27,804,984		25,096,331
	3,528,631		897,825		2,874,161		5,308,585		(546,245)		(741,152)
	5,810,000		6,595,000		9,845,000		10,355,000		12,495,000		12,655,000
	6,348,244		6,036,366		8,781,480		8,143,820		5,878,708		5,594,571
	-		-		-		-		5,507,264		-
	-		817,127		-		-		502,725		469,512
\$	440,319,123	\$	453,317,489	\$	480,586,862	\$	496,295,335	\$	497,864,640	\$	503,632,888
3.23%		3.17%		4.43%		4.23%		5.36%		3.97%	

Des Moines Independent Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Current and Previous Nine Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Excess of revenues over (under) expenditures	\$ (6,763,105)	\$ (11,525,420)	\$ 546,841	\$ 5,218,174
Other financing sources (uses):				
Issuance of debt	-	70,000,000	-	71,900,000
Issuance of refunding debt	-	-	-	-
Payments to escrow agent	-	-	-	-
Proceeds from sale of capital assets	116,446	441,743	801,763	21,150
Proceeds from insurance recoveries	387,497	-	-	-
Premiums	-	5,271,516	-	4,453,970
Transfers in	19,551,648	559,078	7,514,020	6,008,000
Transfers out	(19,551,648)	(559,078)	(7,514,020)	(6,008,000)
Total other financing sources				
(uses)	503,943	75,713,259	801,763	76,375,120
Net change in fund balances	\$ (6,259,162)	\$ 64,187,839	\$ 1,348,604	\$ 81,593,294

Source: Comprehensive Annual Financial Report

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ (19,227,001)	\$ (18,269,201)	\$ (28,458,790)	\$ (25,280,135)	\$ (13,837,808)	\$ (8,021,750)
-	70,720,000	-	-	-	56,235,000
-	-	-	-	53,655,000	-
-	-	-	-	(53,655,000)	-
107,648	214,140	86,867	92,730	94,586	239,930
-	-	-	-	-	-
-	5,135,507	-	-	-	4,476,168
12,333,049	12,631,366	18,659,732	18,498,820	23,910,864	19,412,445
(12,333,049)	(13,309,245)	(18,626,480)	(18,498,820)	(23,984,265)	(18,269,571)
107,648	75,391,768	120,119	92,730	21,185	62,093,972
\$ (19,119,353)	\$ 57,122,567	\$ (28,338,671)	\$ (25,187,405)	\$ (13,816,623)	\$ 54,072,222

Des Moines Independent Community School District

Taxable Value and Actual Value of Taxable Property Current and Previous Nine Fiscal Years (Unaudited)

Levy Year	Collection Year	Real Property		Personal Property	
		Taxable Value	Estimated Actual Value	Taxable Value	Estimated Actual Value
2007	2008-09	\$ 6,287,922,470	\$ 10,354,470,310	\$ -	\$ -
2008	2009-10	6,492,990,940	10,515,202,140	-	-
2009	2010-11	6,787,866,460	10,753,974,740	-	-
2010	2011-12	6,906,961,444	10,805,005,808	-	-
2011	2012-13	6,845,833,397	10,453,353,698	-	-
2012	2013-14	7,030,673,370	10,507,339,484	-	-
2013	2014-15	6,905,500,764	10,363,626,769	-	-
2014	2015-16	6,894,664,897	10,431,160,954	-	-
2015	2016-17	7,215,082,273	10,924,647,220	-	-
2016	2017-18	7,407,396,041	11,060,020,747		

Source: Polk County Auditor, Warren County Auditor, and Iowa Department of Management

Railroad and Utilities							
Without Gas & Electric		Gas & Electric		Total			
Taxable	Estimated	Taxable	Estimated	Taxable	Estimated	Total	
Value	Actual Value	Value	Actual Value	Value	Actual Value	Direct Rate	
\$ 44,719,491	\$ 45,514,985	\$ 229,880,963	\$ 285,085,397	\$ 6,562,522,924	\$ 10,685,070,692	17.78888%	
44,706,450	45,515,560	233,093,334	320,082,558	6,770,790,724	10,880,800,258	17.64277	
47,026,045	47,026,045	222,317,184	328,932,292	7,057,209,689	11,129,933,077	17.64347	
52,757,932	52,757,932	235,362,890	337,445,312	7,195,082,266	11,195,209,052	18.34848	
55,092,528	55,092,528	232,662,908	345,375,275	7,133,588,833	10,853,821,501	18.34845	
57,982,509	57,982,509	231,076,580	357,993,296	7,319,732,459	10,923,315,289	18.14592	
52,397,622	53,251,989	233,578,596	303,652,622	7,191,476,982	10,720,531,380	17.99477	
46,373,454	48,073,610	234,441,061	351,197,379	7,175,479,412	10,830,431,943	18.42809	
44,423,941	46,304,465	227,640,443	376,010,748	7,487,146,657	11,346,962,433	18.50586	
44,330,131	46,401,518	209,778,221	382,451,027	7,661,504,393	11,488,873,292	18.56349	

Des Moines Independent Community School District

Direct and Overlapping Property Tax Rates Current and Previous Nine Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Levy Year	Collection Year	District Direct Rates						
		General Fund	Management Fund	PPEL Fund	PERL Fund	Schoolhouse	Debt Service	Total
2007	2008-09	\$ 15.13904	\$ 1.55484	\$ 0.96000	\$ 0.13500	\$ -	\$ -	\$ 17.78888
2008	2009-10	14.99293	1.55484	0.96000	0.13500	-	-	17.64277
2009	2010-11	14.99363	1.55484	0.96000	0.13500	-	-	17.64347
2010	2011-12	15.69864	1.55484	0.96000	0.13500	-	-	18.34848
2011	2012-13	15.69861	1.55484	0.96000	0.13500	-	-	18.34845
2012	2013-14	15.14156	1.90936	0.96000	0.13500	-	-	18.14592
2013	2014-15	14.99041	1.90936	0.96000	0.13500	-	-	17.99477
2014	2015-16	16.08309	1.25000	0.96000	0.13500	-	-	18.42809
2015	2016-17	16.16086	1.25000	0.96000	0.13500	-	-	18.50586
2016	2017-18	16.16849	1.30000	0.96000	0.13500	-	-	18.56349

(Continued)

Overlapping Rates										
Polk County	County Hospital	City of Des Moines	City of Norwalk	City of Pleasant Hill	City of Urbandale	City of Windsor Hts	City of WDM	Bloomfield Township	Ag Extension	Assessor
\$ 6.83696	\$ 2.92408	\$ 16.57606	\$ 14.36542	\$ 11.48208	\$ 9.22000	\$ 14.79484	\$ 12.05000	\$ 0.60766	\$ 0.03717	\$ 0.32711
6.82855	2.80423	16.57614	14.60000	11.65000	9.22000	13.76398	12.05000	0.87750	0.03752	0.30104
6.81833	2.92111	16.57614	14.60000	11.65006	9.32000	13.31499	12.05000	0.87750	0.03631	0.27848
6.80992	2.92193	16.58000	16.34634	11.65000	9.52000	13.31486	12.05000	0.87750	0.03696	0.24628
6.80992	2.97819	16.91982	15.69000	11.65000	9.62000	13.31499	12.05000	0.87750	0.03866	0.24382
6.94381	2.99567	16.92001	15.69000	11.64997	9.57000	13.89892	12.05000	0.87733	0.03945	0.27822
7.16880	3.11769	16.92000	15.68944	11.65000	9.72000	15.34886	12.05000	0.87731	0.04061	0.27750
7.30880	3.21296	16.92000	15.69376	11.65000	9.82000	15.07588	12.00000	0.87750	0.04102	0.27920
7.30880	2.77545	16.92000	15.69499	11.65000	9.92000	15.66110	12.00000	0.87750	0.03985	0.27220
7.30880	2.77545	17.04000	15.42340	11.65000	10.02000	16.96522	12.00000	0.87744	0.03939	0.27177

Des Moines Independent Community School District

Direct and Overlapping Property Tax Rates (Continued)

Current and Previous Nine Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Levy Year	Collection Year	Overlapping Rates										
		State	Area XI College	Urbandale-WH SS Dist	Downtown SSMID	Sherman Hills Lighting #1	Sherman Hills Lighting #2	Highland Park SSMID	Ingersoll SSMID	Beaverdale SSMID	SW9th SSMID	Roosevelt SSMID
2007	2008-09	\$ 0.00350	\$ 0.56386	\$ 0.16550	\$ 0.99813	\$ 1.49999	\$ 1.49999	\$ 1.75000	\$ 1.75000	\$ -	\$ -	\$ -
2008	2009-10	0.00300	0.56778	0.24131	1.00000	1.49983	1.49996	1.74992	1.75000	-	-	-
2009	2010-11	0.00340	0.56008	0.28411	1.00472	1.49989	1.50727	1.75003	1.75001	-	-	-
2010	2011-12	0.00320	0.59018	0.38435	1.00472	1.49996	1.50727	1.74999	1.75004	-	-	-
2011	2012-13	0.00330	0.58466	0.47069	1.00000	1.50011	1.50002	1.75001	1.75001	-	-	-
2012	2013-14	0.00330	0.69120	0.47163	1.15002	1.50021	1.50001	1.75002	2.25000	-	-	-
2013	2014-15	0.00330	0.67574	0.44216	1.15000	1.50019	1.50024	1.75002	2.25000	1.74994	-	-
2014	2015-16	0.00330	0.67574	0.29126	1.30000	1.50012	1.50002	1.75010	2.25000	1.75007	-	-
2015	2016-17	0.00330	0.72334	0.30810	1.30000	1.50001	1.50001	1.75001	2.25000	1.74996	-	-
2016	2017-18	0.03100	0.67458	0.38597	1.30000	1.50003	1.50000	1.75014	2.25000	1.75008	2.25000	1.75010

Source: Polk County Auditor

Des Moines Independent Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2018			2009		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
MidAmerican	\$ 202,199,763	1	2.64%	\$ 53,600,900	6	0.92%
Nationwide	151,308,090	2	1.97%	184,594,200	2	3.17%
Principal Life Insurance	128,595,384	3	1.68%			
Principal Mutual Life Insurance	117,985,410	4	1.54%			
Wellmark Inc	108,439,200	5	1.42%			
Wells Fargo Financial	100,296,900	6	1.31%	51,402,100	7	0.88%
Employers Mutual Casualty	76,121,550	7	0.99%	50,403,070	8	0.87%
Macerich Southridge Mall	29,727,900	8	0.39%			
Hoxies Addition	29,230,740	9	0.38%			
Merle Hay Investors	28,981,530	10	0.38%			
Principal Financial Group, Inc.				260,785,000	1	4.47%
Polk County				117,975,840	3	2.02%
Valley West DM				67,710,000	4	1.16%
Pioneer				55,609,500	5	0.95%
IFBF Property Management				45,599,700	9	0.78%
Deerfield Retirement				45,599,700	10	0.78%
	972,886,467		12.70%	933,280,010		16.00%

Source: Polk County Assessor

Des Moines Independent Community School District

Property Tax Levies and Collections Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2009	\$ 105,892,487	\$ 105,550,164	99.68%	\$ -	\$ -	\$ -
2010	107,733,427	107,454,211	99.74%	-	-	-
2011	113,255,898	112,742,827	99.55%	-	-	-
2012	120,926,483	119,010,714	98.42%	1,472,269	120,482,983	99.63%
2013	118,233,562	116,612,288	98.63%	1,364,597	117,976,885	99.78%
2014	122,372,255	120,135,631	98.17%	1,397,537	121,533,168	99.31%
2015	118,679,473	117,530,023	99.03%	1,305,381	118,835,404	100.13%
2016	121,390,508	120,894,205	99.59%	1,122,654	122,016,859	100.52%
2017	127,369,855	126,191,778	99.08%	1,296,903	127,488,681	100.09%
2018	130,095,935	130,225,910	100.10%	-	130,225,910	100.10%

Source: Polk County Auditor and District records.

Due to timing of collections there are instances where the property tax is collected before the official due date.

Des Moines Independent Community School District

Ratios of General Bonded Debt Outstanding Last Ten Fiscal Years (Unaudited)

Fiscal Year	Population	Assessed Value Property	Legal Debt Limit (5%)	General Bonded Debt Outstanding				Total	Debt to Assessed Value	Per Capita
				General Obligation Bonds	General Obligation Capital Loan Notes	Qualified Zone Academy Bonds				
2009	196,093	\$ 10,685,070,692	\$ 534,253,535	\$ -	\$ 1,060,000	\$ 1,000,000		\$ 2,060,000	0.02%	\$ 10.51
2010	193,886	10,880,800,258	544,040,013	-	540,000	1,000,000		1,540,000	0.01%	7.94
2011	193,886	11,129,933,077	556,496,654	-	-	-		-	0.00%	-
2012	206,599	11,195,209,052	560,590,108	-	-	-		-	0.00%	-
2013	206,688	10,853,821,501	542,691,075	-	-	-		-	0.00%	-
2014	207,510	10,923,315,289	546,165,764	-	-	-		-	0.00%	-
2015	209,220	10,720,531,380	536,026,569	-	-	-		-	0.00%	-
2016	210,330	10,830,431,943	541,521,597	-	-	-		-	0.00%	-
2017	215,472	11,346,962,433	567,348,122	-	-	-		-	0.00%	-
2018	217,521	11,488,873,292	574,443,665					-	0.00%	-

Source: Polk County Auditor, Warren County Auditor, Iowa Department of Management, U.S. Census Bureau, and District Records

Des Moines Independent Community School District

**Outstanding Debt by Type
Current and Previous Nine Fiscal Years
(Unaudited)**

Fiscal Year	Governmental Activities						Total Primary Government	Percentage of Personal	
	General	General Obligation	Qualified Zone	LOST/ Statewide Penny	Unamortized	Income		Per Capita	
	Obligation Bonds	Capital Loan Notes	Academy Bonds	Revenue Bonds	Premium / Discount				
2009	\$	-	\$ 1,060,000	\$ 1,000,000	\$ -	\$ 5,746	\$ 2,065,746	0.02%	\$ 10.53
2010		-	540,000	1,000,000	70,000,000	5,274,127	76,814,127	0.92%	\$ 396.18
2011		-	-	-	68,360,000	4,716,243	73,076,243	0.89%	\$ 352.58
2012		-	-	-	137,670,000	8,730,217	146,400,217	1.60%	\$ 666.36
2013		-	-	-	131,860,000	7,827,835	139,687,835	1.49%	\$ 637.97
2014		-	-	-	195,985,000	12,109,155	208,094,155	2.14%	\$ 944.46
2015		-	-	-	186,140,000	10,644,178	196,784,178	1.98%	\$ 940.56
2016		-	-	-	175,785,000	9,296,539	185,081,539	1.80%	\$ 879.96
2017		-	-	-	162,510,000	5,690,611	168,200,611	1.58%	\$ 780.61
2018					206,090,000	9,313,683	215,403,683	2.00%	\$ 990.27

Source: District Records

Comes off the debt1 worksheet that Jessica completes in the Auditor fold for PBC's.

Des Moines Independent Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2018

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable	Estimated Share of Direct and Overlapping Debt
Overlapping:			
City of Des Moines	\$ 460,364,586	96.4%	\$ 443,791,000
City of Pleasant Hill	11,245,000	24.1%	2,710,000
City of Urbandale	72,020,000	10.0%	7,202,000
City of Windsor Heights	11,575,376	0.9%	104,000
City of West Des Moines	116,009,777	0.1%	116,000
Des Moines Area Community College	78,820,000	30.1%	23,725,000
Polk County	263,029,000	35.3%	92,849,000
Warren County	329,984	5.4%	18,000
Subtotal, overlapping debt	<u>1,013,393,723</u>		<u>570,515,000</u>
Direct, Des Moines Independent Community School District:			
Sales tax revenue bond	215,403,683	100.0%	215,403,683
Subtotal direct debt	<u>215,403,683</u>		<u>215,403,683</u>
Total direct and overlapping debt	<u><u>\$ 1,228,797,406</u></u>		<u><u>\$ 785,918,683</u></u>

Source: State Treasurer of Iowa, Outstanding Obligation Report (2016 latest available data); District records.

The percentage applicable to the District is determined by the portion of the District geographical boundary included in the total boundary of the respective governmental entity.

Des Moines Independent Community School District

Legal Debt Margin Information Current and Previous Nine Fiscal Years (Unaudited)

	2009	2010	2011	2012
Debt limit	\$ 534,253,535	\$ 544,040,013	\$ 556,496,654	\$ 559,760,453
Total net debt applicable to limit	2,060,000	71,540,000	68,360,000	137,670,000
Legal debt margin	\$ 532,193,535	\$ 472,500,013	\$ 488,136,654	\$ 422,090,453
Total net debt applicable to the limit as a percentage of debt limit	0.39%	13.15%	12.28%	24.59%

Source: Polk County Auditor and District Records

Legal Debt Margin Calculation for Fiscal Year 2018

Assessed value \$ 12,619,183,588

Debt limit (5% of assessed value) \$ 630,959,179

Debt applicable to limit 206,090,000

Legal debt margin \$ 424,869,179

	2013		2014		2015		2016		2017		2018
\$	546,165,764	\$	546,165,764	\$	536,026,569	\$	541,521,597	\$	567,348,122	\$	630,959,179
	131,860,000		195,985,000		186,140,000		175,785,000		162,510,000		206,090,000
\$	414,305,764	\$	350,180,764	\$	349,886,569	\$	391,563,122	\$	404,838,122	\$	424,869,179
	24.14%		35.88%		34.73%		30.98%		28.64%		32.66%

Des Moines Independent Community School District

Pledged-Revenue Coverage Current and Previous Nine Fiscal Years (Unaudited)

Fiscal Year	Local Option Sales and Services Tax				
	Revenue	Debt Service		Coverage	
		Principal	Interest		
2009	\$ 30,821,593	\$ 18,300,000	\$ 685,300	61.60%	
2010	24,841,106	#	#	0.00%	
2011	28,174,783	1,640,000	4,313,500	21.13%	
2012	26,045,238	2,590,000	3,418,000	23.07%	
2013	27,364,977	5,810,000	6,348,244	44.43%	
2014	27,874,657	6,595,000	6,036,366	45.31%	
2015	30,744,831	9,845,000	8,781,480	60.58%	
2016	29,329,789	10,355,000	8,143,820	63.07%	
2017	29,968,822	12,495,000	5,878,708	67.12%	
2018	30,057,621	12,655,000	5,594,571	60.72%	

N/A - There were no revenue bonds outstanding in each of these years.

- There were no payments due on revenue bonds outstanding during fiscal year 2010.

Note:

The statewide penny sales (SWP) tax was implemented in the District on July 1, 2010. The District's SWP tax revenue for each fiscal year is calculated by multiplying the certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total statewide penny sales tax revenue by the statewide enrollment.

Des Moines Independent Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population	Per Capita Personal Income	Personal Income for Polk County	Unemployment Rate
2009	193,886	43,098	\$ 8,356,098,828	6.4%
2010	193,886	42,381	8,217,082,566	6.0%
2011	206,599	44,178	9,127,130,622	5.4%
2012	206,688	45,356	9,374,540,928	4.8%
2013	207,510	46,753	9,701,715,030	4.2%
2014	209,220	47,612	9,961,382,640	4.3%
2015	210,330	48,797	10,263,473,010	4.3%
2016	215,472	49,415	10,647,548,880	3.5%
2017	217,521	49,485	10,764,026,685	3.0%

Note: FY2009 from the 2000 US Census.

FY10 Information taken from 2006 population estimate from the US Census Bureau

FY11 Population data based on Census 2006, 2010 data not available for Des Moines

Per Capita Personal Income from IA Workforce Development 2013 data - most recent

Source: Iowa Workforce Development, U.S. Census Bureau

Des Moines Independent Community School District

Largest Public and Private Employers in Greater Des Moines Region Current Year and Nine Years Ago (Unaudited)

Employer	2018			2009		
	Employees *	Rank	Percentage of Total Employment	Employees ****	Rank	Percentage of Total Employment
Wells Fargo	14,500	1	3.84%			
UnityPoint Health(Iowa Health System)	8,026	2	2.12%			
Principal Financial Group, Inc.	6,500	3	1.72%		1	
Hy-Vee Inc.	6,400	4	1.69%			
Des Moines Independent CSD***	4,960	5	1.31%	4,877	2	
Nationwide/Allied Insurance	4,525	6	1.20%			
Mercy Medical Center	4,228	7	1.12%			
John Deere	3,089	8	0.82%			
Vermeer	2,500	9	0.66%			
Dupont Pioneer	2,495	10	0.66%		7	
Kum & Go						
Iowa Health Systems					3	
Blank Children's Pediatric					4	
CDS Global					5	
Firestone Agricultural Tire					6	
Lutheran Services of Iowa					8	
United Parcel Service					9	
Younkers					10	
Total employment **	378,000					

Source:

* Greater Des Moines Partnership

** Bureau of Labor Statistics, US Dept. of Labor:

*** District records

**** Per Iowa Workforce Development in 2009, data regarding the number of employees for private sector employers was not available

Des Moines Independent Community School District

Full-Time Equivalent District Employees By Type Current and Previous Nine Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2009	2010	2011	2012	2013
Administrators					
Central Office	40.0	39.0	29.0	30.0	35.0
Elementary Schools	36.0	37.0	37.0	37.0	37.0
Middle Schools	22.0	20.0	22.0	21.0	21.0
High Schools	28.0	29.0	21.0	22.0	22.0
Special Schools	5.0	5.0	6.0	7.0	8.0
Total Administrators	131.0	130.0	115.0	117.0	123.0
Teachers					
Academic Support	-	-	24.0	26.0	25.0
Behavior Coach	-	-	-	-	7.5
Non-classroom (other)	21.3	22.6	28.7	29.4	14.9
Classroom teachers	1,538.5	1,514.4	1,493.9	1,503.6	1,499.5
Counselors	81.9	76.1	57.0	51.5	58.3
Dean of Students	31.4	31.0	15.0	17.0	16.2
Educational tech support	4.0	2.5	3.0	-	-
ELL	81.3	81.3	84.3	85.3	86.8
Facilitator	8.0	2.0	1.0	1.0	-
Gifted and Talented	7.5	7.5	8.0	9.0	11.0
Head Start	15.0	18.5	17.5	15.5	14.5
Home Instruction	8.5	8.0	7.0	7.0	7.0
Instructional Coach	-	-	-	-	-
International Baccalaureate Coordinator	-	-	-	5.0	7.0
Library/Media specialists	8.0	8.0	5.0	5.0	3.0
New Horizons teachers	8.0	4.0	-	-	-
Nurses	55.4	54.7	57.9	57.3	57.6
Preschool	48.0	46.5	43.5	34.5	38.5
Special Ed teachers	558.4	524.9	493.9	506.4	508.8
Special Ed consultants	31.0	30.5	33.0	32.0	30.0
Special Ed Support	126.1	124.5	112.7	124.2	128.2
Title I	185.3	194.8	180.8	181.0	171.4
Float	1.0	14.2	1.0	-	2.0
Total teachers	2,818.6	2,766.0	2,667.2	2,690.7	2,687.2
Associates					
Central Office	3.6	5.8	8.8	7.8	9.8
Elementary Schools	252.9	219.5	202.3	223.8	211.0
Middle Schools	62.8	52.0	58.8	59.5	62.0
High Schools	72.5	63.5	56.0	53.2	44.6
Special Schools	161.9	154.6	164.4	163.5	191.9
Total associates	553.7	495.4	490.3	507.8	519.3

Source: District records

(Continued)

Full-Time Equivalent Employees as of June 30					Percentage Change
2014	2015	2016	2017	2018	2009 - 2018
36.0	37.0	39.0	36.0	41.0	2.5%
37.0	37.0	38.0	38.0	38.0	5.6%
21.0	20.0	20.0	20.0	20.0	-9.1%
22.0	24.0	24.0	23.0	23.0	-17.9%
8.0	5.0	5.0	5.0	5.0	0.0%
124.0	123.0	126.0	122.0	127.0	-3.1%
26.0	32.0	36.5	31.6	29.1	21.3%
9.5	19.7	26.8	26.0	35.0	366.7%
14.8	11.8	12.8	12.0	14.7	-31.0%
1,555.0	1,563.7	1,578.3	1,562.1	1,556.3	1.2%
58.4	63.0	67.4	80.5	82.0	0.1%
14.5	4.6	3.6	3.3	1.0	-96.8%
-	-	-	-	-	-100.0%
88.8	91.0	106.5	111.0	119.0	46.4%
-	-	-	-	-	-100.0%
11.0	15.0	18.0	18.0	21.0	180.0%
13.5	14.0	14.0	14.0	14.0	-6.7%
6.0	6.0	5.0	5.0	5.0	-41.2%
-	49.5	109.9	92.6	95.1	92.1%
8.0	8.0	6.5	5.0	4.0	-20.0%
2.0	2.0	2.0	2.0	1.0	-87.5%
-	-	-	-	-	-100.0%
57.7	58.4	60.2	60.0	59.5	7.4%
38.5	34.0	34.0	34.0	34.0	-29.2%
509.3	499.4	494.0	483.5	483.0	-13.5%
31.0	34.0	33.0	32.0	32.0	3.2%
126.4	121.6	125.9	130.8	136.3	8.1%
187.8	208.9	213.0	183.8	179.3	-3.2%
4.0	1.0	5.0	8.0	7.2	620.0%
2,762.2	2,802.6	2,969.9	2,895.2	2,908.5	3.2%
11.8	24.8	26.8	17.0	12.8	372.2%
222.0	195.0	189.8	188.0	195.0	-25.7%
61.0	58.8	61.0	59.5	58.3	-5.3%
46.0	57.0	54.0	52.0	46.0	-28.3%
180.2	182.6	183.8	193.8	197.8	19.7%
521.0	518.2	515.4	510.3	509.9	-7.8%

Des Moines Independent Community School District

Full-Time Equivalent District Employees By Type (Continued) Current and Previous Nine Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2009	2010	2011	2012	2013
Specialist, Clerical, and Paraprofessionals					
Central Office	194.1	189.6	191.1	187.0	181.7
Elementary Schools	114.7	105.2	101.0	100.6	119.4
Middle Schools	47.2	58.6	61.4	63.6	63.9
High Schools	119.9	109.7	126.3	125.1	122.9
Special Schools	9.4	22.6	11.4	19.0	20.9
Total specialists, clerical, and paraprofessionals	485.3	485.7	491.2	495.3	508.8
Food Service, Operations, Transportation and Child Care					
Central Office	365.1	345.6	414.6	380.6	373.0
Elementary Schools	272.0	265.3	166.9	215.8	216.4
Middle Schools	111.9	113.1	105.9	100.9	97.0
High Schools	127.6	134.3	131.4	118.3	119.1
Special Schools	12.3	10.8	12.8	10.4	11.2
Total food svc, oper, transportation, and child care	888.9	869.1	831.6	826.0	816.7
Total	4,877.5	4,746.2	4,595.3	4,641.6	4,655.0

* Detail unavailable

Source: District records

Full-Time Equivalent Employees as of June 30					Percentage Change
2014	2015	2016	2017	2018	2009 - 2018
206.5	231.0	243.8	237.2	266.4	37.2%
124.4	103.9	106.0	107.0	111.0	-3.2%
65.6	65.0	62.4	60.4	58.0	22.9%
124.1	135.1	131.6	118.6	103.8	-13.4%
21.5	17.0	20.0	23.0	20.0	112.8%
542.1	552.0	563.8	546.2	559.2	15.2%
344.9	336.4	342.0	310.2	334.5	-8.4%
221.1	245.6	247.5	285.6	288.5	6.1%
99.5	101.3	103.6	104.6	103.1	-7.9%
124.9	114.1	118.5	117.5	113.1	-11.4%
13.3	13.1	16.0	18.4	16.3	32.1%
803.7	810.5	827.5	836.3	855.5	-3.8%
4,763.5	4,806.3	5,002.6	4,910.0	4,960.0	1.7%

Des Moines Independent Community School District

Operating Statistics

Current and Previous Nine Fiscal Years

(Unaudited)

Fiscal Year	Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change	Business-Type Expenses	Cost Per Pupil	Percentage Change
2009	31,128.8	360,575,096	\$ 11,583	0.04	\$ 18,356,947	\$ 590	-
2010	30,783.0	367,472,512	11,967	0.04	17,514,358	569	(3.56)
2011	30,953.9	377,071,229	12,282	0.03	16,914,145	546	(0.04)
2012	31,546.3	383,099,908	12,144	0.01	17,509,877	555	(0.02)
2013	32,062.1	386,110,699	12,043	0.01	19,492,031	608	0.07
2014	32,413.2	412,187,728	12,717	0.06	20,740,564	640	0.12
2015	32,396.1	430,873,303	13,300	0.11	21,898,261	676	0.19
2016	32,581.9	455,983,772	13,375	0.09	23,201,203	712	0.30
2017	32,979.2	472,417,154	13,633	0.12	25,451,036	772	0.39
2018	33,057.4	498,953,834	15,094	0.24	26,476,917	801	0.44

Fiscal Year	Teaching Staff	Percentage of Students Receiving Free or Reduced-Priced Meals
2009	2,819.1	64
2010	2,766.0	65
2011	2,667.0	67
2012	2,690.7	66
2013	2,687.2	68
2014	2,772.7	69
2015	2,802.6	69
2016	2,969.9	73
2017	2,895.2	67
2018	2,908.5	74

Source: District Records

Note: Operating expenditures represent governmental activity expenditures less interest on long-term debt

Des Moines Independent Community School District

School Building Information Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Brubaker	Brubaker	Brubaker	Brubaker
Square feet	78,224	78,224	78,224	78,224
Capacity	792	792	792	792
Enrollment	684	680	661	694
Name (Year)	Capital View	Capital View	Capital View	Capital View
Square feet	75,740	75,740	75,740	75,740
Capacity	720	720	720	720
Enrollment	541	551	518	483
Name (Year)	Carver	Carver	Carver	Carver
Square feet	91,500	91,500	91,500	91,500
Capacity	720	720	720	720
Enrollment	560	606	558	557
Name (Year)	Cattell	Cattell	Cattell	Cattell
Square feet	47,821	47,821	47,821	47,821
Capacity	408	408	408	408
Enrollment	400	393	405	393
Name (Year)	Cowles	Cowles	Cowles	Cowles
Square feet	42,800	42,800	42,800	42,800
Capacity	432	432	432	432
Enrollment	299	319	261	284
Name (Year)	Downtown	Downtown	Downtown	Downtown
Square feet	32,767	34,966	34,966	34,966
Capacity	264	264	264	264
Enrollment	258	293	285	278
Name (Year)	Edmunds	Edmunds	Edmunds	Edmunds
Square feet	45,930	45,930	45,930	45,930
Capacity	240	240	240	240
Enrollment	180	211	171	274
Name (Year)	Findley	Findley	Findley	Findley
Square feet	38,354	38,354	38,354	38,354
Capacity	384	384	384	384
Enrollment	345	323	273	292
Name (Year)	Garton	Garton	Garton	Garton
Square feet	65,648	65,648	65,648	65,648
Capacity	720	720	720	720
Enrollment	619	596	596	522

(Continued)

Fiscal Year						
2013	2014	2015	2016	2017	2018	
Brubaker	Brubaker	Brubaker	Brubaker	Brubaker	Brubaker	Brubaker
78,224	78,224	78,224	78,224	78,224	78,224	78,224
792	816	816	816	816	816	816
672	642	704	697	727		709
Capital View	Capital View	Capital View	Capital View	Capital View	Capital View	Capital View
75,740	75,740	75,740	75,740	75,740	75,740	75,740
720	720	720	720	720	720	720
539	534	551	568	556		551
Carver	Carver	Carver	Carver	Carver	Carver	Carver
91,500	91,500	91,500	91,500	91,500	81,885	81,885
720	720	720	720	720	720	720
611	626	577	555	573		549
Cattell	Cattell	Cattell	Cattell	Cattell	Cattell	Cattell
47,821	47,821	47,821	47,821	47,821	48,188	55,125
408	408	408	408	408	408	408
408	411	397	388	392		410
Cowles	Cowles	Cowles	Cowles	Cowles	Cowles	Cowles
42,800	42,800	42,800	42,800	42,800	45,130	45,130
432	456	517	517	432		432
348	361	364	374	375		326
Downtown	Downtown	Downtown	Downtown	Downtown	Downtown	Downtown
38,125	38,125	38,125	38,125	38,125	38,125	38,125
312	312	312	312	312	312	312
274	263	267	268	268		271
Edmunds	Edmunds	Edmunds	Edmunds	Edmunds	Edmunds	Edmunds
76,385	76,385	76,385	76,385	76,385	76,385	76,385
576	576	576	576	576	576	576
287	409	435	346	329		312
Findley	Findley	Findley	Findley	Findley	Findley	Findley
43,548	43,548	43,548	43,548	43,548	43,628	43,628
384	384	384	384	384	384	384
314	320	342	344	338		343
Garton	Garton	Garton	Garton	Garton	Garton	Garton
65,648	65,648	65,648	65,648	65,648	65,648	65,648
720	720	720	720	720	720	720
564	595	624	612	649		650

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Greenwood	Greenwood	Greenwood	Greenwood
Square feet	61,744	61,744	61,744	61,744
Capacity	456	456	456	456
Enrollment	453	450	412	413
Name (Year)	Hanawalt	Hanawalt	Hanawalt	Hanawalt
Square feet	43,246	43,246	43,246	43,246
Capacity	408	408	408	408
Enrollment	416	365	358	345
Name (Year)	Hillis	Hillis	Hillis	Hillis
Square feet	57,720	57,720	57,720	57,720
Capacity	420	600	600	600
Enrollment	460	471	431	425
Name (Year)	Howe	Howe	Howe	Howe
Square feet	38,505	38,505	38,505	38,505
Capacity	312	312	312	312
Enrollment	300	307	304	276
Name (Year)	Hubbell	Hubbell	Hubbell	Hubbell
Square feet	53,327	53,327	53,327	53,327
Capacity	456	456	456	456
Enrollment	390	394	405	435
Name (Year)	Jackson	Jackson	Jackson	Jackson
Square feet	35,872	45,585	45,585	45,585
Capacity	432	456	456	456
Enrollment	385	345	403	395
Name (Year)	Jefferson	Jefferson	Jefferson	Jefferson
Square feet	42,750	42,750	42,750	42,750
Capacity	408	408	408	408
Enrollment	426	432	426	433
Name (Year)	King	King	King	King
Square feet	54,171	54,171	54,171	54,171
Capacity	408	408	408	408
Enrollment	282	318	344	335
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Lovejoy	Lovejoy	Lovejoy	Lovejoy
Square feet	31,806	31,806	31,806	31,806
Capacity	288	288	288	288
Enrollment	357	366	322	333

(Continued)

Fiscal Year							
2013	2014	2015	2016	2017	2018		
Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	
61,744	61,744	61,744	61,744	61,744	62,227	62,227	
456	456	456	456	456	456	456	
446	414	384	325	299		283	
Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	
43,246	43,246	43,246	43,246	43,246	43,246	43,246	
408	408	408	408	408	408	408	
352	376	373	362	358		343	
Hillis	Hillis	Hillis	Hillis	Hillis	Hillis	Hillis	
57,720	57,720	57,720	57,720	57,720	57,720	57,720	
600	600	600	600	600	600	600	
483	507	534	447	381		370	
Howe	Howe	Howe	Howe	Howe	Howe	Howe	
38,505	38,505	38,505	38,505	38,505	34,320	33,220	
312	312	312	312	312	312	312	
297	282	298	312	310		307	
Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	
53,327	53,327	53,327	53,327	53,327	53,327	49,440	
456	456	456	456	456	456	456	
455	447	428	423	415		433	
Jackson	Jackson	Jackson	Jackson	Jackson	Jackson	Jackson	
45,585	45,585	45,585	45,585	45,585	45,585	45,585	
456	456	456	456	456	456	456	
413	418	435	429	467		427	
Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	
45,830	45,830	45,830	45,830	45,830	45,830	45,830	
408	408	456	456	456		456	
434	430	425	439	408		392	
King	King	King	King	King	King	King	
54,171	54,171	54,171	54,171	54,171	54,171	54,171	
408	408	456	456	456		456	
335	362	376	358	336		329	
Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	
39,154	39,154	39,154	39,154	39,154	39,154	39,154	
456	456	456	456	456	456	456	
332	349	380	389	383		394	

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Name (Year)	Madison	Madison	Madison	Madison
Square feet	42,049	42,049	42,049	42,049
Capacity	408	408	408	408
Enrollment	334	368	316	333
Name (Year)	McKinley	McKinley	McKinley	McKinley
Square feet	49,994	49,994	49,994	49,994
Capacity	360	360	360	360
Enrollment	292	292	316	342
Name (Year)	Mitchell			
Square feet	31,682			
Capacity	264			
Enrollment	-			
Name (Year)	Monroe	Monroe	Monroe	Monroe
Square feet	73,997	73,997	73,997	73,997
Capacity	576	576	576	576
Enrollment	523	485	501	495
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Morris	Morris	Morris	Morris
Square feet	70,656	70,656	70,656	70,656
Capacity	744	744	744	744
Enrollment	630	691	602	616
Name (Year)	Moulton	Moulton	Moulton	Moulton
Square feet	121,650	121,650	121,650	121,650
Capacity	744	744	744	744
Enrollment	419	398	366	357
Name (Year)	Oak Park	Oak Park	Oak Park	Oak Park
Square feet	59,497	59,497	59,497	59,497
Capacity	408	408	408	408
Enrollment	403	410	403	407
Name (Year)	Park Avenue	Park Avenue	Park Avenue	Park Avenue
Square feet	59,565	59,565	59,565	59,565
Capacity	552	552	552	552
Enrollment	482	502	457	465
Name (Year)	Perkins	Perkins	Perkins	Perkins
Square feet	56,540	56,540	56,540	56,540
Capacity	432	432	432	432
Enrollment	460	438	461	436
Name (Year)	Phillips	Phillips	Phillips	Phillips
Square feet	41,936	41,936	41,936	41,936
Capacity	336	336	336	336
Enrollment	379	394	359	362

(Continued)

Fiscal Year							
2013	2014	2015	2016	2017	2018		
Madison	Madison	Madison	Madison	Madison	Madison	Madison	
42,049	42,049	42,049	42,049	42,049	42,049	42,049	42,049
408	408	408	408	408	408	408	408
409	377	346	317	267			279
McKinley	McKinley	McKinley	McKinley	McKinley	McKinley	McKinley	
49,994	49,994	49,994	49,994	49,994	49,994	49,994	49,994
360	360	360	360	360	360	360	360
319	331	343	293	264			267
Monroe	Monroe	Monroe	Monroe	Monroe	Monroe	Monroe	
73,997	73,997	73,997	73,997	73,997	73,997	73,997	73,997
576	576	600	600	600	600	600	600
533	553	536	535	547			513
			Moore	Moore			
				51,848	51,848		51,848
				432	432		432
				188	260		297
Morris	Morris	Morris	Morris	Morris	Morris	Morris	
70,656	70,656	70,656	70,656	70,656	70,656	70,656	70,656
744	744	744	744	744	744	744	744
617	612	595	579	601			600
Moulton	Moulton	Moulton	Moulton	Moulton	Moulton	Moulton	
121,650	121,650	121,650	121,650	121,650	121,650	121,650	121,650
744	744	744	744	744	744	744	744
428	474	457	471	469			488
Oak Park	Oak Park	Oak Park	Oak Park	Oak Park	Oak Park	Oak Park	
59,497	59,497	59,497	59,497	59,497	59,497	59,497	59,497
408	408	408	408	408	408	408	408
399	396	406	424	418			369
Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue	
64,925	64,925	64,925	64,925	64,925	64,925	64,925	64,925
552	552	600	600	600	600	600	600
472	472	424	451	430			431
Perkins	Perkins	Perkins	Perkins	Perkins	Perkins	Perkins	
56,540	56,540	65,064	65,064	65,064	65,064	65,064	65,064
432	432	528	528	528	528	528	528
438	441	464	482	457			451
Phillips	Phillips	Phillips	Phillips	Phillips	Phillips	Phillips	
41,936	41,936	41,936	41,936	41,936	41,936	41,936	46,207
336	336	336	336	336	336	336	336
404	407	387	373	359			339

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Name (Year)	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill
Square feet	36,161	36,161	36,161	36,161
Capacity	312	312	312	312
Enrollment	316	310	270	283
Name (Year)	River Woods	River Woods	River Woods	River Woods
Square feet	58,126	58,126	58,126	58,126
Capacity	504	504	504	504
Enrollment	501	530	489	509
Name (Year)	Samuelson	Samuelson	Samuelson	Samuelson
Square feet	56,586	56,586	56,586	56,586
Capacity	504	504	504	504
Enrollment	467	475	481	514
Name (Year)	South Union	South Union	South Union	South Union
Square feet	68,508	68,508	68,508	68,508
Capacity	696	696	696	696
Enrollment	560	533	542	545
Name (Year)	Stowe	Stowe	Stowe	Stowe
Square feet	56,967	56,967	56,967	56,967
Capacity	408	408	408	408
Enrollment	364	408	416	389
Name (Year)	Studebaker	Studebaker	Studebaker	Studebaker
Square feet	42,272	42,272	42,272	42,272
Capacity	456	456	456	456
Enrollment	437	435	454	401
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Walnut Street	Walnut Street	Walnut Street	Walnut Street
Square feet	58,212	58,212	58,212	58,212
Capacity	384	384	384	384
Enrollment	248	250	205	281
Name (Year)	Willard	Willard	Willard	Willard
Square feet	59,301	59,301	59,301	59,301
Capacity	600	600	600	600
Enrollment	434	437	432	439
Name (Year)	Windsor	Windsor	Windsor	Windsor
Square feet	60,475	60,475	60,475	60,475
Capacity	408	408	408	408
Enrollment	415	400	384	416
Name (Year)	Wright	Wright	Wright	Wright
Square feet	30,300	30,300	30,300	30,300
Capacity	312	312	312	312
Enrollment	273	252	273	248

(Continued)

Fiscal Year						
2013	2014	2015	2016	2017	2018	
Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	
41,270	41,270	41,270	41,270	41,270	41,270	41,270
312	312	408	408	408	408	408
312	309	309	315	255	255	269
River Woods	River Woods	River Woods	River Woods	River Woods	River Woods	
59,950	58,126	64,773	64,773	64,773	64,773	64,773
504	504	600	600	600	600	600
509	540	545	541	594	594	570
Samuelson	Samuelson	Samuelson	Samuelson	Samuelson	Samuelson	
58,678	58,678	58,678	58,678	58,678	58,678	58,678
528	528	528	528	528	528	528
526	515	527	470	452	452	449
South Union	South Union	South Union	South Union	South Union	South Union	
68,508	68,508	68,508	68,508	68,508	68,508	68,508
696	696	696	696	696	696	696
578	562	520	504	513	513	494
Stowe	Stowe	Stowe	Stowe	Stowe	Stowe	
56,967	56,967	56,967	56,967	56,967	56,967	56,967
408	408	408	408	408	408	408
362	363	365	374	399	399	367
Studebaker	Studebaker	Studebaker	Studebaker	Studebaker	Studebaker	
45,400	45,400	45,400	45,400	45,400	45,400	45,400
504	504	504	504	504	504	504
416	479	451	454	500	500	495
Walnut Street	Walnut Street	Walnut Street	Walnut Street	Walnut Street	Walnut Street	
58,212	58,212	58,212	97,020	97,020	97,020	97,020
384	414	414	630	630	630	630
312	278	283	292	291	291	269
Willard	Willard	Willard	Willard	Willard	Willard	
59,301	59,301	59,301	59,301	59,301	59,301	59,301
600	600	600	600	600	600	600
426	437	429	410	355	355	362
Windsor	Windsor	Windsor	Windsor	Windsor	Windsor	
60,475	60,475	60,475	60,475	60,475	60,475	60,475
408	408	408	408	408	408	408
425	394	360	338	358	358	375
Wright	Wright	Wright	Wright	Wright	Wright	
30,300	30,300	30,300	30,300	30,300	30,300	39,139
312	288	288	288	288	288	288
271	258	289	284	265	265	280

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Middle:				
Name (Year)	Brody	Brody	Brody	Brody
Square feet	90,500	90,500	90,500	90,500
Capacity	637	637	637	637
Enrollment	720	688	689	680
Name (Year)	Callanan	Callanan	Callanan	Callanan
Square feet	116,037	116,037	116,037	116,037
Capacity	828	828	828	828
Enrollment	612	604	607	643
Name (Year)	Goodrell	Goodrell	Goodrell	Goodrell
Square feet	110,495	110,495	110,495	110,495
Capacity	871	871	871	871
Enrollment	591	614	608	594
Name (Year)	Harding	Harding	Harding	Harding
Square feet	125,339	125,339	125,339	125,339
Capacity	828	828	828	828
Enrollment	557	581	556	534
Name (Year)	Hiatt	Hiatt	Hiatt	Hiatt
Square feet	103,060	103,060	103,060	103,060
Capacity	743	743	743	743
Enrollment	504	533	579	609
Name (Year)	Hoyt	Hoyt	Hoyt	Hoyt
Square feet	99,874	99,874	99,874	99,874
Capacity	850	850	850	850
Enrollment	608	594	580	533
Name (Year)	McCombs	McCombs	McCombs	McCombs
Square feet	78,978	78,978	78,978	78,978
Capacity	701	701	701	701
Enrollment	582	594	626	591
Name (Year)	Meredith	Meredith	Meredith	Meredith
Square feet	107,316	107,316	107,316	107,316
Capacity	871	871	871	891
Enrollment	645	638	607	687
Name (Year)	Merrill	Merrill	Merrill	Merrill
Square feet	89,500	89,500	89,500	89,500
Capacity	658	658	658	658
Enrollment	592	615	623	671
Name (Year)	Weeks	Weeks	Weeks	Weeks
Square feet	112,390	112,390	112,390	112,390
Capacity	1,041	1,041	1,041	1,041
Enrollment	757	749	677	675

(Continued)

Fiscal Year						
2013	2014	2015	2016	2017	2018	
Brody	Brody	Brody	Brody	Brody	Brody	Brody
90,500	98,082	98,082	98,082	99,182	99,182	
871	871	871	871	871	871	
702	744	736	749	745	770	
Callanan	Callanan	Callanan	Callanan	Callanan	Callanan	Callanan
116,037	116,037	116,037	116,037	116,037	116,037	
828	828	828	828	828	828	
626	620	572	561	592	603	
Goodrell	Goodrell	Goodrell	Goodrell	Goodrell	Goodrell	Goodrell
110,495	110,495	110,495	110,495	110,495	110,495	
871	871	893	893	893	893	
591	619	633	632	628	571	
Harding	Harding	Harding	Harding	Harding	Harding	Harding
125,339	125,339	125,339	125,339	125,339	125,339	
828	850	850	850	850	850	
619	700	767	773	743	788	
Hiatt	Hiatt	Hiatt	Hiatt	Hiatt	Hiatt	Hiatt
103,060	109,879	109,879	109,879	109,879	109,879	
850	850	850	850	850	850	
634	626	551	589	592	656	
Hoyt	Hoyt	Hoyt	Hoyt	Hoyt	Hoyt	Hoyt
99,874	100,691	100,691	100,691	100,691	100,691	
850	893	893	893	893	893	
518	488	488	510	522	598	
McCombs	McCombs	McCombs	McCombs	McCombs	McCombs	McCombs
78,978	88,258	88,258	88,258	88,258	88,258	
807	807	829	829	829	829	
664	657	662	691	722	733	
Meredith	Meredith	Meredith	Meredith	Meredith	Meredith	Meredith
107,316	107,316	107,316	107,316	107,316	107,316	
891	891	891	891	891	891	
666	715	713	737	734	805	
Merrill	Merrill	Merrill	Merrill	Merrill	Merrill	Merrill
89,500	94,162	94,162	94,162	94,162	94,162	
658	658	701	701	701	701	
658	705	718	730	741	743	
Weeks	Weeks	Weeks	Weeks	Weeks	Weeks	Weeks
112,390	112,390	112,390	112,390	112,390	112,390	
1,041	1,041	1,063	1,063	1,063	1,063	
689	633	670	717	742	766	

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
High:				
Name (Year)	East	East	East	East
Square feet	344,376	344,376	344,376	344,376
Capacity	2,337	2,337	2,337	2,337
Enrollment	2,160	2,224	2,266	2,230
Name (Year)	Hoover	Hoover	Hoover	Hoover
Square feet	183,400	183,400	183,400	183,400
Capacity	1,083	1,083	1,083	1,105
Enrollment	1,115	1,130	1,075	1,065
Name (Year)	Lincoln	Lincoln	Lincoln	Lincoln
Square feet	312,628	312,628	312,628	312,628
Capacity	1,848	1,848	1,848	1,848
Enrollment	2,181	2,262	2,252	2,218
Name (Year)	Kurtz	Kurtz	Kurtz	Kurtz(Lincoln 9th Grade)
Square feet	106,264	106,264	106,264	106,264
Capacity	637	637	637	637
Enrollment				%
Name (Year)	North	North	North	North
Square feet	220,960	220,960	220,960	220,960
Capacity	1,147	1,147	1,147	1,253
Enrollment	1,133	1,170	1,133	1,121
Name (Year)	Roosevelt	Roosevelt	Roosevelt	Roosevelt
Square feet	282,050	239,117	239,117	239,117
Capacity	1,145	1,678	1,678	1,785
Enrollment	1,654	1,654	1,628	1,659

(Continued)

Fiscal Year							
2013	2014	2015	2016	2017	2018		
East	East	East	East	East	East	East	
344,376	344,376	344,376	344,376	344,376	344,376	344,376	344,376
2,337	2,337	2,337	2,337	2,337	2,337	2,337	2,337
2,288	2,291	2,286	2,303	2,329	2,329	2,329	2,236
Hoover	Hoover	Hoover	Hoover	Hoover	Hoover	Hoover	
183,400	191,700	191,700	191,700	191,700	191,700	191,700	191,700
1,105	1,105	1,105	1,105	1,105	1,105	1,105	1,105
1,028	966	1,016	1,070	1,062	1,062	1,062	1,106
Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	
312,628	312,628	312,628	312,628	312,628	312,628	312,628	312,628
1,848	1,848	1,848	1,848	1,848	1,848	1,848	1,848
2,144	2,185	2,166	2,245	2,355	2,355	2,355	2,350
Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	
106,498	106,264	106,264	106,264	106,264	106,498	106,498	106,498
637	637	637	637	637	637	637	637
%	%	%	%	%	%	%	%
North	North	North	North	North	North	North	
220,960	249,639	249,639	249,639	249,639	249,639	249,639	249,639
1,253	1,253	1,253	1,253	1,253	1,253	1,253	1,253
1,182	1,251	1,196	1,253	1,274	1,274	1,274	1,319
Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	
239,117	239,117	240,317	240,317	240,317	240,317	240,317	306,722
1,785	1,785	1,785	1,785	1,785	1,785	1,785	1,785
1,658	1,708	1,819	1,790	1,925	1,925	1,925	1,943

Des Moines Independent Community School District

School Building Information (Continued)

Current and Previous Nine Fiscal Years

(Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Special Schools:				
Name (Year)	Central Campus	Central Campus	Central Campus	Central Campus
Square feet	456,660	456,660	456,660	456,660
Capacity	1,615	1,615	1,615	1,530
Enrollment	\$	\$	\$	\$
Name (Year)	Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$
Square feet	86,426	86,426	86,426	86,426
Capacity	658	658	658	658
Enrollment	\$	\$	\$	\$
Name (Year)	Scavo @ Central Campus	Scavo @ Central Campus	Scavo @ Moore	Scavo @ Moore
Square feet	- - - - -	- - - - -	45,334	45,334
Capacity	- - - - -	- - - - -	504	504
Enrollment	399	301	266	272
Name (Year)	Smouse ****	Smouse	Smouse	Smouse
Square feet	53,809	53,809	53,809	53,809
Capacity	NA	384	384	384
Enrollment	136	137	110	100
Name (Year)	Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****
Square feet	56,460	56,460	56,460	56,460
Capacity	NA	403	403	403
Enrollment	189	170	168	174

(Continued)

Fiscal Year						
2013	2014	2015	2016	2017	2018	
Central Campus	Central Campus	Central Campus	Central Campus	Central Campus	Central Campus	
456,660	456,660	456,660	456,660	456,660	456,660	
1,328	1,328	1,848	1,848	1,848	1,848	
\$	\$	\$	\$	\$	\$	
Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$	
86,426	86,426	86,426	86,426	86,426	86,426	
658	658	658	658	658	658	
\$	\$	\$	\$	\$	\$	
Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	
45,334	45,334	see Central Campus	see Central Campus	see Central Campus	see Central Campus	
504	504	see Central Campus	see Central Campus	see Central Campus	see Central Campus	
304	265	359	459	390	459	
Smouse	Smouse	Smouse	Smouse	Smouse	Smouse	
53,809	53,809	53,809	53,809	53,809	53,809	
384	384	384	384	384	384	
128	110	93	83	71	72	
Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****	
56,460	56,460	56,460	56,460	58,636	58,636	
403	403	553	553	553	553	
170	163	156	158	138	126	

Des Moines Independent Community School District

School Building Information (Continued) Current and Previous Nine Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Other:				
Name (Year)	Casady	Casady	Casady	Casady
Square feet	43,709	43,709	43,709	43,709
Name (Year)	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab
Square feet	12,500	12,500	12,500	12,500
Name (Year)	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center
Square feet	56,186	56,186	56,186	56,186
Name (Year)	Walker Street %	Walker Street %	Walker Street %	Walker Street %
Square feet	33,481	33,481	33,481	33,481
Name (Year)	Operations Center	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean
Square feet	-	97,404	97,404	97,404
Name (Year)	McKee	McKee	McKee	McKee
Square feet	43,400	43,400	43,400	43,400
Name (Year)		Mitchell	Mitchell	Mitchell
Square feet		31,682	31,682	31,682
Name (Year)	Mann	Mann	Mann	Mann
Square feet	32,490	32,490	32,490	32,490
Name (Year)	MSSV-1915 Prospect	MSSV-1915 Prospect	MSSV-1915 Prospect	MSSV-1915 Prospect
Square feet	52,573	52,573	52,573	52,573
Name (Year)	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin
Square feet	58,212	58,212	58,212	58,212
Name (Year)				
Square feet				
Name (Year)				
Square feet				
Name (Year)				
Square feet				
Name (Year)	Welcome Center	Welcome Center	Welcome Center	Welcome Center
Square feet	6,200	6,200	6,200	6,200
Name (Year)				
Square feet				

Source: District records.

**** Special needs schools do not have an "ideal capacity". It depends on the needs of the children that are attending and may vary year to year.

% Building being used to house the 9th graders. The enrollment is rolled into high school totals

\$ Magnet schools, students who attend are included with enrollment totals at home Middle or High School:

Revised in 2014 to better match District schedules. Closed buildings moved to 'other', 'special' schools category broken out

Fiscal Year						
2013	2014	2015	2016	2017	2018	
Casady	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy	Jesse Taylor @ Cassidy
43,709	45,297	45,297	45,297	45,297	45,297	45,297
Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab
12,500	12,500	12,500	12,500	19,292		15,342
Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center
56,186	56,186	56,186	56,186	56,186		56,186
Walker Street %	Walker Street %	Walker Street %	Walker Street %	Walker Street %	Walker Street %	Walker Street %
33,481	33,481	33,481	33,481	32,300		32,300
Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean
97,404	97,404	97,404	97,404	97,404		97,404
McKee	McKee	McKee	McKee	McKee	McKee	McKee
43,400	43,400	43,400	43,400	43,400	43,400	43,400
Mitchell	Mitchell	Mitchell	Mitchell	Mitchell	Mitchell	Mitchell
31,682	31,682	31,682	31,682	31,682	31,682	31,682
Mann	Mann	Mann	Mann	Mann	Mann	Mann
32,490	32,490	32,490	32,490	30,866		30,866
1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect
52,573	52,573	52,573	52,573	52,573		52,573
Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin
58,212	58,212	19,404	-	-		-
		2323 Grand	2323 Grand	2323 Grand	2323 Grand	2323 Grand
		53,200	49,734	49,734		49,734
			2100 Fleur	2100 Fleur	2100 Fleur	2100 Fleur
			36,673	36,673		36,673
Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr
46,548	46,548	46,548	46,548	46,548	46,548	46,548
Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center
6,200	6,200	6,200	6,200	6,200		6,200
				Central Campus Aviation	Central Campus Aviation	
				24,900		24,900

Des Moines Independent Community School District

Capital Asset Information Current and Previous Nine Fiscal Years (Unaudited)

Schools:	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Buildings	46	43	44	44
Square feet	2,418,986	2,305,821	2,335,017	2,338,302
Capacity	20,532	20,040	19,584	19,680
Enrollment	15,428	15,565	15,286	15,105
Middle:				
Buildings	12	12	12	12
Square feet	1,196,213	1,196,213	1,196,213	1,196,213
Capacity	8,665	9,068	9,068	9,088
Enrollment	6,357	6,380	6,320	6,391
High:				
Buildings	7	7	8	8
Square feet	1,886,500	1,843,567	1,888,901	1,888,901
Capacity	9,833	10,366	10,870	11,020
Enrollment	8,243	8,745	11,262	8,565
Special Schools:				
Buildings				
Square feet				
Capacity				
Enrollment				
Other:				
Buildings	6	8	7	7
Square feet	214,397	445,095	289,553	347,765
Total District Sq Ft (less modulars)	5,716,096	5,790,696	5,709,684	5,771,181
Transportation:				
Garages	1	1	1	1
Buses	131	134	135	135
Athletics:				
Football fields	5	5	5	5
Soccer fields	-	-	-	-
Running tracks	6	6	6	6
Baseball/softball	10	10	10	10
Swimming pools	8	8	8	8
Playgrounds	46	46	44	44

Revised in 2014 to better match District schedules. Closed buildings moved to 'other', 'special' schools category broken out.

Scavo, Ruby Van Meter, Smouse enrollments only; Central Campus and Central Academy enrollments are included with students' home middle or high school.

Source: District records.

Fiscal Year					
2013	2014	2015	2016	2017	2018
	#	#	#	#	#
44	36	36	37	37	37
2,338,302	2,117,554	2,132,725	2,223,381	2,212,841	2,227,901
19,968	17,840	18,261	19,459	19,374	19,374
15,848	15,944	15,930	15,944	15,618	15,363
12	10	10	10	10	10
1,196,213	1,062,649	1,062,649	1,062,649	1,063,749	1,063,749
9,535	8,560	8,669	8,669	8,669	8,669
6,537	6,507	6,510	6,689	6,761	7,033
8	6	6	6	6	6
1,888,901	1,443,724	1,444,924	1,445,158	1,445,158	1,511,563
10,818	8,965	8,965	8,965	8,965	8,965
8,604	8,401	8,483	8,661	8,945	8,954
	5	4	4	4	4
	698,689	653,355	653,355	655,531	655,531
	3,277	3,443	3,443	3,443	3,443
	538	608	700	599	657
7	12	13	14	15	15
347,765	515,973	530,365	544,168	573,055	569,105
5,771,181	5,838,589	5,824,018	5,928,711	5,950,334	6,027,849
1	1	1	1	1	1
132	136	130	135	137	137
5	4	4	4	4	4
-	-	-	-		
6	5	5	5	5	5
10	10	10	10	10	10
8	8	8	7	7	7
44	41	39	42	42	42

Des Moines Independent Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2018

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Grantor's Number	Federal Expenditures	Passed Through To Subrecipients
U.S. Department of Agriculture:				
(Direct):				
Federal Farm to School Program	10.575		\$ 11,919	\$ -
(Passed through Iowa Department of Education):				
Child Nutrition Cluster:				
School Breakfast Program	10.553	42-6004525	4,800,476	-
National School Lunch Program	10.555	42-6004525	12,028,897	-
NSLP—Fruit and Vegetable Program	10.555	42-6004525	607,771	-
Subtotal			12,636,668	-
NSLP—USDA Commodities (Noncash)	10.555	77-1737	1,303,578	-
Summer Food Service Program for Children	10.559	42-6004525	408,379	-
Subtotal Child Nutrition Cluster			19,149,101	-
(Passed through Iowa Department of Public Health),				
State Administrative Matching Grants for				
Food Stamp Program	10.561	42-6004523	189,139	-
Total U.S. Department of Agriculture			19,350,159	-
U.S. Department of Education:				
(Direct):				
Transforming School Climate	84.184G		533,873	-
(Passed through Iowa Department of Education):				
Title I Grants to Local Educational Agencies	84.010A	42-6004525	14,844,628	63,269
Title I School Improvement	84.377	42-6004525	2,087,759	-
Special Education High Cost Fund (A)	84.027	42-6004525	101,689	-
IDEA - Admin and Projects (AEA Leadership Workteam) (A)	84.027	42-6004525	8,573	-
Subtotal			110,262	-
Part B Section 619, Preschool (A)	84.173	42-6004525	3,253	-
Special Education Special Design Instruction	84.323	42-6004525	14,461	-
Vocational Education Basic Grants to States	84.048	42-6004525	521,555	-
Improving Teacher Quality State Grant (Title II)	84.367	42-6004525	1,476,099	-
Education for Homeless Children & Youth	84.196	42-6004525	40,000	-
English Language Acquisition Grants (Title III ELL/LEP)	84.365	42-6004525	1,001,506	-
21st Century Community Learning Centers	84.287	42-6004525	1,269,364	-

(Continued)

Des Moines Independent Community School District

**Schedule of Expenditures of Federal Awards (Continued)
Year Ended June 30, 2018**

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Grantor's Number	Federal Expenditures	Passed Through To Subrecipients
(Passed through Heartland Area Education Agency 11):				
Special Education Grants to States (Individuals with Disabilities Education Act) (A)	84.027	42-1028173	1,830,784	-
Special Education Grants to States (Handicapped Preschool Program Vocational Assessment) (A)	84.027	42-1028173	6,273,782	-
Parent Education Project (A)	84.027	42-1028173	19,550	-
Subtotal			<u>8,124,116</u>	<u>-</u>
Federal Part C	84.181	42-1028173	165,239	-
Least Restrictive Environment Coordinator (A)	84.173	42-1028173	167,598	-
(Passed through Iowa State University), Mathematics and Science Partnerships	84.366B		3,472	-
(Passed through State of Iowa Vocational Rehabilitation), Project SEARCH	84.126	42-6004525	79,999	27,727
(Passed through Iowa College Student Aid Commission), Gaining Early Awareness and Readiness (GEAR UP)	84.334	42-00891451	321,469	-
Total U.S. Department of Education			<u>30,764,653</u>	<u>90,996</u>
U.S. Department of Health and Human Services:				
(Passed through Iowa Department of Education):				
Youth At Risk	93.938	42-6004525	-	-
Refugee Assistance Program	93.576	42-6004525	90,000	-
School Wellness	93.945	42-6004525	16,452	-
Title IV Foster Care Transportation	93.658	42-6004525	12,369	-
(Passed through Iowa Economic Development Authority), AmeriCorp	94.006	42-6004525	280,567	-
(Passed through Drake University), Head Start	93.600	42-0680460	1,835,400	-
Total U.S. Department of Health and Human Services			<u>2,234,788</u>	<u>-</u>
Total expenditures of federal awards			<u>\$ 52,349,600</u>	<u>\$ 90,996</u>

See notes to schedule of expenditures of federal awards.

(A) Total Special Education Cluster (IDEA) - CFDA Nos. 84.027 and 84.173

Des Moines Independent Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2018

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of Des Moines Independent Community School District under programs of the federal government for the year ended June 30, 2018. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of Des Moines Independent School District, it is not intended to and does not present the financial position, changes in net position, or cash flows of Des Moines Independent Community School District.

Note 2. Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following, as applicable, either the cost principles contained in the Uniform Guidance, or the cost principles in OMB Circular A-133, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10 percent de minimis indirect cost rate allowed under the Uniform Guidance.

Note 4. Noncash Assistance

The schedule includes federal awards in the form of noncash assistance (commodities) received during the year in the amount of \$1,303,578 related to USDA Commodities grants provided by the U.S. Department of Agriculture and passed through the Iowa Department of Education.

Des Moines Independent Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2018**

Findings		Status	Corrective Action Plan or Other Explanation
Findings Related to Financial Statements:			
None			
Findings Related to Federal Awards:			
None			
Other Findings Related to Required Statutory Reporting			
17-IV-F	Board minutes were not properly published within the two week requirement.	Corrected	See response and corrective action plan at 18-IV-F
17-IV-G	Various certified enrollment variances identified by the State.	Uncorrected	See similar finding and corrective action plan at 18-IV-G
17-IV-M	The Child Care Fund and Collage Fund had a deficit balance as of June 30, 2017 of \$1,007,071.	Uncorrected	See similar finding and corrective action plan at 18-IV-M
17-IV-Q	Various board fees charged by the District did not align with the board fee schedule implemented by the District.	Partially Corrected	See similar finding and corrective action plan at 18-IV-Q

**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an
Audit of Financial Statements Performed in
Accordance with *Government Auditing Standards***

Independent Auditor's Report

To the Board of Education
Des Moines Independent Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Des Moines Independent Community School District (the District), as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated October 31, 2018.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2018 are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Responses to Findings

The District's responses to the findings identified in our audit are described in the accompanying schedule of findings and questioned costs. We did not audit the District's responses and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Des Moines, Iowa
October 31, 2018

**Report on Compliance For Each Major Federal Program
and Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Independent Auditor's Report

To the Board of Education
Des Moines Independent Community School District

Report on Compliance for Each Major Federal Program

We have audited Des Moines Independent Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2018. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts and grants applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM VS LLP

Des Moines, Iowa
October 31, 2018

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2018

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- | | | |
|---|------------------------------|---|
| ▪ Material weakness(es) identified? | ☐ Yes | ☒ No |
| ▪ Significant deficiencies identified? | ☐ Yes | ☒ None Reported |
| ▪ Noncompliance material to financial statements noted? | ☐ Yes | ☒ No |

Federal Awards

Internal control over major programs:

- | | | |
|--|------------------------------|---|
| ▪ Material weakness(es) identified? | ☐ Yes | ☒ No |
| ▪ Significant deficiencies identified? | ☐ Yes | ☒ None Reported |

Type of auditor's report issued on compliance for major programs: Unmodified

- | | | |
|--|------------------------------|--|
| ▪ Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? | ☐ Yes | ☒ No |
|--|------------------------------|--|

Identification of major programs:

CFDA Number	Name of Federal Program
84.010A	Title I Grants to Local Education Agencies
84.184G	Transforming School Climate

Dollar threshold used to distinguish between type A and type B programs: \$1,570,488

Auditee qualified as low-risk auditee? ☒ Yes ☐ No

(Continued)

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2018

II. Findings Relating to the Financial Statement Audit as Required to be Reported in Accordance with Generally Accepted Government Auditing Standards

A. Internal Control

No matters reported.

B. Compliance Findings

No matters reported.

III. Findings and Questioned Costs for Federal Awards

A. Internal Control

No matters reported.

B. Compliance Findings

No matters reported.

IV. Other Findings Related to Required Statutory Requirements

18-IV-A—Certified Budget and General Fund Spending Authority—The District's certified budget was not in excess of spending authority. District expenditures did not exceed the certified budget.

18-IV-B—Questionable Expenditures—No expenditures that may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.

18-IV-C—Travel Expense—No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted. However, the following item was noted.

Finding: One travel expense was noted that included a \$13.61 charge for food and beverage on a hotel receipt, which was not further supported by an itemized receipt.

Recommendation: The District should ensure all travel expenditures are supported by itemized receipts.

Response and Corrective Action Plan: The District will ensure all travel expenditures are supported by itemized receipts. The employee subsequently reimbursed the District.

18-IV-D—Business Transactions—No business transactions between the District and District officials or employees were noted.

18-IV-E—Bond Coverage—Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure the coverage is adequate for current operations.

18-IV-F—Board Minutes—Board minutes were properly published, signed off on and each member's vote was properly recorded.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2018

18-IV-G—Certified Enrollment—No material variances in the basic enrollment data certified to the Iowa Department of Education was noted. However, the following item was noted.

Finding: There were various certified enrollment variances identified by the State and the District that resulted in a reduction of 2.18 students from the October 1, 2017 certified enrollment numbers reported by the District.

Recommendation: The District should correct the errors prior to providing the information to the State to avoid subsequent adjustments.

Response and Corrective Action Plan: The District has reviewed and agreed to the certified enrollment variances identified by the State as well as responded to the State with the District's assessment performed.

18-IV-H—Supplementary Weighting—No significant variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

18-IV-I—Deposits and Investments—The District's policy for deposits and investments is in compliance with the Code of Iowa.

18-IV-J—Certified Annual Report—The Certified Annual Report was certified timely to the Iowa Department of Education.

18-IV-K—Categorical Funding—No instances of categorical funding being used to supplant rather than supplement other funds were noted.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2018

18-IV-L—Statewide Sales, Services and Use Tax—No instances of non-compliance with the use of the statewide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2018, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 60,073,912	
Local option sales tax		30,706,897	
Earnings on investments		642,427	
Other local sources		9,351	
		<u>31,358,675</u>	
Other sources:			
Issuance of revenue bonds		56,235,000	
Premium of revenue bonds		4,476,168	
		<u>60,711,168</u>	
Expenditures/transfers out:			
School infrastructure:			
Land	\$ 593,087		
Buildings	19,369,388		
Equipment	385,322		
Other improvements	539,912		
Transfers for debt service for school infrastructure:			
General obligation debt	-		
Bond issue costs	469,512		
Revenue debt	18,249,571	39,606,792	
Ending balance		<u>\$ 112,536,963</u>	

For the year ended June 30, 2017, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

18-IV-M—Deficit Balances—The Child Care Fund had a deficit balances as of June 30, 2018 of \$1,150,734.

Finding: As of June 30, 2018, the Child Care Fund had reported a deficit balance.

Recommendation: The District should continue to investigate alternatives to eliminate the deficit in order to return funds to a sound financial condition.

Response and Corrective Action Plan: The primary cause of the deficit balance in the Child Care Fund is due to the implementation of GASB 68 during the year ended June 30, 2015. The District continues to analyze the Child Care Fund's activities and have taken steps to reduce the deficit fund balance.

Des Moines Independent Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2018

18-IV-N—Revenue Bonds—The District has established the reserve account required by all revenue bond resolutions as of June 30, 2017. The required monthly transfers from the revenue account to the sinking account were made by the District.

18-IV-O—Student Activity Fund—No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1) were noted.

18-IV-P—Early Childhood Iowa Area Board—The District is not the fiscal agent for the Early Childhood Iowa Area Board.

18-IV-Q—Receipts/Revenue—The District has limited school fees charged to categories identified in the Department of Education declaratory order #62. However, the following item was noted.

Finding: Board fees charged by the District, primarily for towel fees at the school level, did not align with the board fee schedule implemented by the District on multiple occasions.

Recommendation: The District should monitor Board fees to determine they are consistent with the District's approved schedule.

Response and Corrective Action Plan: The District has taken steps to become consistent by assigning of fees through implementation of an uploaded fee schedule and system controls that prevent charging a different rate.